

Awfis Space Solution (AWFIS)

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Call: Jun 2024

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Date: June 26, 2024

To,
National Stock Exchange of India Limited
("NSE")
Listing Department
Exchange Plaza, C -1 Block G, Bandra Kurla
Complex Bandra [E], Mumbai – 400051 To,
BSE Limited ("BSE")
Listing Department
Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai - 400 001

NSE Scrip Symbol: AWFIS BSE Scrip Code: 544181

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SUBJECT: Transcript of the conference call on ■inancial results for the quarter and ■inancial year ended March 31, 2024

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please ■ind enclosed the transcript of the conference call for the quarter and ■inancial year ended March 31, 2024, conducted on June 20, 2024.

The above information is being made available on the website of the Company at <https://www.awfis.com/investor-relations>

We request you to kindly take this on your record.

Thanking You,

For Awfis Space Solutions Limited

Amit Kumar
Company Secretary and Compliance Officer
M. No. A31237
Address: C -28 and 29 Kissan Bhawan, Qutub Institutional Area New Delhi 110016

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Q4 & FY24
Earnings Conference Call
June 20, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 20th June 2024 will prevail.

MANAGEMENT :

MR. AMIT RAMANI – CHAIRMAN AND MANAGING DIRECTOR
MR. SUMIT LAKHANI – DEPUTY CHIEF EXECUTIVE OFFICER
MR. RAVI DUGAR – CHIEF FINANCIAL OFFICER

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Moderator: Ladies and gentlemen, good day and welcome to Awfis Space Solutions Limited Q4 and Full Year FY '24 Earnings Conference Call hosted by IIFL Securities Limited. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Ramani, Chairman and Managing Director from Awfis Space Solutions Limited. Thank you and over to you, sir.

Amit Ramani: Good morning and a very warm welcome to everyone present on the call. Along with me, I have Mr. Sumit Lakhani, our Deputy CEO, Mr. Ravi Dugar, our Chief Financial Officer and SGA, our Investor Relations Advisors. To begin with, I would like to thank and congratulate all our stakeholders, investment bankers and business partners for helping us achieve a milestone of getting listed on the Indian Stock Exchanges.

We were delighted to see such a strong response to our IPO. Since this is our maiden earning call, I would like to take you through Awfis Space Solutions journey so far, broad industry update and strategies going forward, followed by our operational and financial highlights for quarter and the full year ended FY '24. Post that, we will open the floor for Q&A. We have also uploaded our Investor Presentation on Stock Exchanges and I hope everybody had a chance to go through the same.

Awfis started its business in 2015 and has since emerged as one of the leading flexible workplace solutions companies in India with network leadership. We identified three deficiencies in the Indian commercial real estate service sector which we aim to address by offering a comprehensive range of flexible workplace solutions tailored to meet the need of our various clients from individual freelancers to large multinational corporations. Awfis services include everything from individual flexible desk options to fully customized office spaces designed for startups, SMEs and large corporates.

The first aspect we focused on was transparency in pricing and tenure for office spaces. We realized that businesses often struggled with inconsistent pricing models and rigid lease terms. Awfis's Space Solutions are highly adaptable catering to diverse range of seat requirements. Clients can book anything from a single seat to multiple seats with flexible contracting periods that span from as short as one hour to several years. This flexibility allows Awfis to meet the dynamic and evolving needs of modern businesses. Over the years, Awfis has transitioned from being merely a co-working space provider to an integrated workplace solutions platform offering a broader array of services and solutions.

The second aspect was creating more accessibility towards space options. We understood that companies needed office spaces in a variety of locations including diverse micro markets to meet
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their unique operational needs. Therefore, we expanded our footprint to ensure that businesses could find suitable office spaces in different parts of the city thereby enhancing their ability to operate efficiently and conveniently. The company's presence is widespread encompassing all Tier 1 cities and seven Tier 2 cities across India. In total, Awfis operates in 17 cities, 53 micro markets within the

country. As of March 2024, Awfis has 181 centers across 17 cities totaling 1,10,540 seats. The company's total chargeable area amounts to 5.56 million square feet.

Currently, 21 of these centers offering about 15,500 seats are under fit out.

The third aspect we addressed was flexibility. We recognize that businesses require flexible workplace solutions that can adapt to their changing needs. Our model allows clients to lease spaces for varying durations from short term to long term, from small offices to larger workspaces. Moreover, clients have the flexibility to upscale or downsize their space as their business needs evolve.

We provide three primary services. Our core offering is space solution, encompassing co-working solutions tailored for a client seeking flexible workspace options available by the day, week, month, or a year with a seat pricing structure and enterprise solutions customized for businesses needing tailored office setups, with fees based on service scope and client specification.

Additionally, we offer allied services like meeting rooms, day passes, ideal for temporary workspace needs, virtual office, virtual office plus solutions, which provide businesses location addresses and package handling services. Another service we offer is Awfis Transform, providing comprehensive design and build solutions for developing our centers, as well as assisting in development of external commercial offices for our clients.

And lastly, we have Awfis Care, through which we provide end-to-end property and facility management services for clients at their conventional offices. Awfis is the only platform across the globe, which provides complete integrated services of the CRE needs with great cross-selling opportunities across our service segments.

Now coming to our supply side of our business, we have a differentiated model for sourcing and procuring workspace. First, the Straight Lease model, and second is the Managed Aggregation model. Under the Straight Lease model, we typically enter into arrangement for a period of five to nine years and the capital expenditure for fitting out the property is entirely owned by Awfis. Under the Straight Lease model, the risk of capital occupancy buildup and preoperative operational burn is borne by Awfis, turning out to be a capex heavy model.

Under the Managed Aggregation model, our agreements are structured on a profit or revenue sharing model, making it risk-averse, and capital of fit-outs is largely being borne by the space owner, making the whole model capital-light. We typically provide a minimum guarantee to the space owner, payable generally starting anywhere from fifth to 13th month of operation, until the

end of term of the contract. As of March 31, 2024, the minimum guarantee at the company's Managed Aggregation center was at an average of 46% of the micro-market rental.

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Over the years, we have increased our focus on lower-risk, asset-light Managed Aggregation model and as of March 31, 2024, 64% of our centers are in the Managed Aggregation model. We have increased the percentage of seats under the Managed Aggregation model from 46% in FY '21 to 66% in FY '24. We have the largest number of centers under the Managed Aggregation model among the organized workplace players as of March 31, 2024. The Managed Aggregation model allows for significant improvements in return ratios.

Due to the increasing share of Managed Aggregation in our total portfolio of 181 centers, this asset-light strategy will continue to enable us to rapidly scale our business, expand our footprint, and without being subjected to any high capital investment costs and fixed lease rental payment obligation resulting in a high return on capital employed. So, these two structures will help expand our capital light model and will diversify our risk.

While the MA mo

del continues to be a key part of our supply strategy, we enter into Straight Lease arrangements primarily when it aligns with our strategic interest or client demand is clearly identified in advance. For instance, we may enter into arrangements under S L model in prime locations where our brand presence is crucial or when a client demand is already established in a certain site or a micro-market. At Awfis, we will continue to prioritize investments with sharp focus on return on capital employed.

Let me spend some time, a little bit of time on the industry. Our industry has witnessed accelerated demand post the pandemic. The penetration level of flexible workspace sector in the office space non-SEZ segment has seen a steep jump from 9% in 2020 to 12.5% in December 2023. This is expected to rise to 16% on the expanded base in 2026, which means that one in six leases across the country will be in a flexible workspace model. The demand for seats in flexible workspaces has been continuously increasing in the last three to four years and growing at an average annual growth rate of 30% to 40% from 2019 to 2021.

The year-on-year seat take-up is increasing at a CAGR of approximately 42% from approximately 59,000 to 69,000 seats per year in 2019 to 1,67,000 seats to 1,77,000 seats per year in 2022 and expected to reach 3,35,000 seats to 3,45,000 seats per year by 2026. IT,

technology, and software development sectors have been the major demand drivers for flexible workspace in the last three to four years, followed by banking, financial services and insurance, which has witnessed an increase in demand for space from flexible workspace operators over the years.

In addition, according to the CBRE report, the market size of the flexible workplace segment has more than tripled in the last three to four years from 20 million square feet before 2019 to approximately 62 million square feet as on December 31, 2023 in Tier 1 cities and approximately a total of 1.7 million square feet in 2019 to 5.7 million square feet as of December 31, 2023 in Tier 2 cities. The total projected market size in Tier 1 and Tier 2 cities for flexible workspace segment is projected to be approximately 105 million square feet by 2026.

We recently concluded our IPO of INR 599 crores through a combination of fresh issue of INR129 crores and an offer for sale of INR 471 crores by selling shareholders. We propose to
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utilize the net proceeds from fresh issue towards funding capital expenditure towards establishment of new centers, funding our working capital requirements and general corporate purposes.

Awfis has been a continuous recipient of awards and accolades.

- We received the best co-working brand of the year at Economic Times Real Estate Conclave in 2024
- Received the co-working brand of the year award at Reality+ Flex Spaces Conclave & Excellence Awards in 2024
- Received the Managed Spaces Design of the Year Award at Reality+ Flex Spaces Conclave and Excellence Awards in 2024.

Let me conclude by saying that we strongly believe the co-working industry is at an interesting junction. With increased investment in India by MNCs, continuous growth of large corporates and SMEs and startup ecosystem, we are confident to strengthen our leadership position in flexible workspace segment in India.

Let me give you a brief on future growth strategies .

Point number one : Continue to build on industry-leading capital efficient model. This is where our managed aggregation model will come in focus because as the share of the business through MA model increases, it will have a positive impact on our return ratios and thereby on our ability to scale the business.

Point number two : Expand in a new and existing market. Our approach will be to have a controlled and methodical expansion of market. We will continue to invest i

n markets where we

believe there are strong return in long term. Our experience of last many years coupled with strong understanding of our client needs, we will also make strategic early investments in Tier 2 cities.

Point number three : Enhance our product and service offering by applying our understanding of client needs and increasing focus on Awfis Transform , Awfis Care and allied services. Our efforts will also be geared towards widening the range of clients we cater to.

Point number four is to improve operational efficiency. Here we will build a strong vendor base, leverage on technological tools and improve employee learning and development.

Let me now hand over the call to Mr. Sumit Lakhani, our Deputy CEO to share Q4 operational highlights and guidance for FY25. Over to you, Sumit.

Sumit Lakhani: Thanks, Amit. Good morning everyone and a very warm welcome to everyone. Let me give you a quick overview on our performance.

We ended FY24 with a revenue from operations of IN R849 crores registering a growth of 56% on year-on-year basis. For Q4, we registered a growth of 46% on year-on-year basis and reported revenue from operations of INR232 crores.

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In FY24, 73% of the revenues came from the co-working space on rent and allied services, 24% from construction and fit-out projects and the balance from others. On absolute basis for FY24, we witnessed 48% year-on-year growth in co-working space, 95% from construction and fit-out projects and 17% growth in rest of the business.

Our revenue base is extremely diversified. Top five clients contributed 13.8% to space revenues while the largest client stood at 4.9% share. Based on number of occupied seats, ~ 68% of client base belongs to large corporates or multinational companies, ~20% to small and medium

enterprises and 11% to startups and the rest to freelancers.

We cater to all seat cohorts ranging from a single seat to multiple seats. Our cohort of over 100 seats has been steadily increasing and now it stands to 58% (was erroneously mentioned as 48% on earnings call) in FY24, from 50% in FY21 to 58% in FY24 demonstrating the growing confidence of our clients with larger cohorts in us.

An important metric in our business is the weighted average total tenure and weighted average lock-in tenure on the basis of seat cohorts. This metric indicates the revenue visibility in our business. Currently, total weighted average tenure of the portfolio is approximately 33 months while the total weighted average lock-in tenure is at 24 months. These two metrics are steadily increasing.

Our multi-channel approach of engaging real estate brokerages, digital media, advertising strategies and our in-house team coupled with strategically located centers and a high quality product allows us to be at these healthy levels for total tenure and lock-in tenure at a portfolio level.

As a commercial real estate player, occupancy levels are an important metric to assess the utilization level and plan future capex in our business. Currently, the overall or blended occupancy levels are at 71%.

Within this, it is important to note that the occupancy levels increase gradually as we launch a center. For instance, 85% of the centers launched since fiscal 2022 crossed 80% occupancy within 7.5 months of starting operations. Occupancy levels for centers with more than 12 months of operation stood at 84%. This explains the strong client sourcing practices at Awfis while also validates the selection of micro market and within micro market a specific office complex.

We manage demand for our services by employing various renewal and churn management strategies. For instance, we actively monitor our renewals through our 'E xpiry 90' tool that gives us insight to forecast and monitor renewal of our clients during the next 90 days thereby enabling us to plan efficient

tly in advance for vacancies at our centers.

In terms of operational highlights for the quarter, operational number of centers increased from 119 in FY23 to 160 with an additional 21 centers under fit-outs and totaling to 181 centers in FY24.

For FY23, operational seats stood at 68,203. During the year, we added 27,490 operational seats. 15,510 seats are under fit-outs making the total seat count for FY24 at 110,540. We have also

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signed LOI for 16,522 seats. Overall, operational centers and seats grew by 35% and 39% respectively from FY23 to FY24. During the year, we sold 36,857 new seats and for Q4 FY24, about 9,000 seats were sold.

For FY24, 66% of seats under managed aggregation model driving capital efficiencies for the business. Average monthly churn rate stood at 1.2% for FY24. As of March 24, we served a marquee customer base of 2,459 unique clients.

In terms of new openings during the quarter, 22 new centers were launched with 73% centers under managed aggregation model and 15,084 new seats were added with 69% seats in managed aggregation model.

In terms of new openings during the year, 43 new centers were launched with 79 % centers under managed aggregation model and 27,490 new seats were added with 79% seats in managed aggregation model. Overall, 86% of the supply addition was in Tier 1 cities.

So, from our FY25 guidance perspective, as you can see, currently we have approximately 95,000 operational seats. We plan to add around ~40,000 new seats in FY25 reaching a total of ~135,000 seats by end of FY25.

As you would have observed that as of March 24, we already have approximately 15,500 seats in the fit outs and for approximately 16,500 seats we have signed LOI in place. So we have good comfort of delivering this growth. The supply team is continuing to engage with space owners for new supply opportunities. This is the supply growth and the increase in occupancy across our existing operational centers. We expect to grow our revenue by 30% in FY25.

Due to an increase in occupancy and operating leverage on costs, we should be able to improve our EBITDA margins by approximately 1.5% for FY25 versus FY24. Business will continue to see higher ROCEs at level higher than FY24.

This is all from my end. I now invite Ravi, our CFO for the financial discussion.

Ravi Dugar: Thank you, Sumit. Good morning everyone and a very warm welcome to everyone. Let me give you a quick overview on our financial performance.

For FY24 our consolidated revenues from operations stood at INR849 crores a growth of 56% on a Y-o-Y basis. The EBITDA stood at INR271 crores which is a growth of 54% on a year-on-year basis. The margins stood at 31% for FY24 and at 31.5% for Q4 FY24.

The depreciation charge for FY24 stood at INR196 crores. Out of this INR55 crores was related to fixed assets depreciation and the balance INR141 crores was related to lease rentals accounting under IND-AS 116. Similarly, finance cost for FY24 stood at INR93 crores. Out of this INR4 crores was related to borrowings and other finance charges and the balance INR89 crores was related to lease rentals accounting under IND-AS 116.

For FY24 our cash EBIT which is EBITDA less the actual lease payments stood at INR97 crores which is a growth of 168% on a Y-o-Y basis and was INR36 crores in FY23.

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We are a PAT positive company in Q4FY24 and the loss of our company has reduced from INR47 crores to INR18 crores in FY24 which is a significant improvement in the performance of the company driven by higher revenue and operating efficiencies.

As you would know that under IND-AS accounting, EBITDA does not include rental payments. Therefore, to give a complete clarity we are also sharing IND-AS 116 adjusted estimates. This is in a way equivalent to IGAAP accounting adjusted

for lease accounting. On IND-AS 116

adjusted basis the EBITDA has improved to 10.4% in FY24 against a 4.3% in FY23 on the back of strong revenue growth and operating efficiencies.

Correspondingly, PBT has improved to 2.3% in FY24 against negative 3.9% in FY23. For Q4 FY24, EBITDA has improved to 11.7% against a 3.2% of Q4 FY23 again on the back of a strong revenue growth and operating efficiencies.

On a full year IND-AS 116 adjusted if we have to further do an equivalent IND-AS to IGAAP accounting adjustments, the impact would be around INR5.8 crores largely coming from other IND-AS adjustments namely IND-AS 109 which is on financial instruments and IND-AS 102 which is on share based accounting payments.

As a result, an equivalent to EBITDA number would be around INR96.8 crores. Our debt at consolidated level stood at INR32 crores. Gross debt to equity is at 0.13. At the net level, we are a debt-free company and net debt to equity ratio is at minus 0.1. With IPO money is coming and further improvement in profitability, we further expect to cement our position in the market and continue with our growth aspirations.

Our ROCE stood at 43% for FY24 and on an annualized basis it is at 53% for Q4 FY24.

Operating cash flows for FY24 stood at INR228 crores and accordingly OCF to EBITDA stood at 84% which indicates a very healthy cash conversion ratio. Our capex spends excluding the right of use assets for FY24 stood at INR142 crores while for FY25 we expect capex spends in

a very similar range. This again will be a function of the mix/split between MA and SL.

In a business it is important to measure us on an annualized basis. We say this because there could be additions in capacity in specific quarters leading to upfront investments in infrastructure, manpower due to new centers, rollout or expansion in network which may have a short-term impact on margins. As we have showcased our occupancy levels trend improving by end of year we expect margins to move up and get benefit of operating leverage.

Having said this, as Sumit mentioned we are confident to deliver a margin improvement on an annualized basis of approximately 1.5% in FY25 over FY24.

This is all from our end. We now open the floor for Q&A.

Moderator: Thank you very much sir. We will now begin the question and answer session. The first question is from the line of Mohit Agrawal from IIFL Securities. Please go ahead.

Mohit Agrawal: Yes thanks for the opportunity and congratulations to the entire team on the listing. My first question is on Managed Aggregation model. So it's a bit - it's a longish question. So how do you

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see in this 40,000 seats guidance that you have given for FY25? Is the mix of Managed Aggregation and SL going to be in the same two-third, one-third ratio?

And do you see any challenges in terms of -- do you see any challenges in terms of supply being a challenge in expanding under the Managed Aggregation model especially considering from a landlord perspective because they need to put in the capex? And lastly on this would be, in

general do you see the industry moving towards the Managed Aggregation model? You've mentioned that you're the largest player. So some color on that considering that this is pretty

ROCE accretive. So your thoughts on that?

Amit Ramani: Thanks Mohit for the wishes and thank you for the question. So your first question was around the split. Our endeavor would be to continue the split as we have been able to achieve which is approximately 65% to 68% of MA, Managed Aggregation and the rest being Straight Lease. So

we'll continue in that model.

Second, you said about sourcing supply. So Mohit clearly I think it's been a journey over the last 9 years. Clearly when we position the Managed Aggregation model to the landlords it seems a bit tough to start with, but clearly now us having presence in a

approximately 17 cities today 53

micro markets. In addition, today if you look at it out of the total 180 odd centers, almost 120 centers are in Managed Aggregation.

And this is across Tier 1 and Tier 2 cities. So we have proven ourselves as one of the best in class when it comes to partnering with our landlords and delivering returns. And we have also developed a very strong network of our both international property consultants and domestic property brokers, almost close to about 350 to 400 across India, that acts as our extended partners to help source that supply.

So to answer the question in a nutshell with this brand we have, with the credibility we have built, with the returns we have delivered to our landlords, we don't foresee any challenges. To your final question on will the other people in the industry look at it? Well, the reality today Mohit is that we are the largest. We do as I said almost 65%, 66% of our portfolio is in MA. We are the proven entity. Will other landlords partner with other operators?

I'm sure they will. But clearly we are on this journey. Sumit outlined the growth that we have for this year close to about 40,000 odd seats out of which almost 65% plus is going to be in MA model. So clearly we have a leg up on everybody else in the industry. When you want to partner with a brand you will go with the largest proven brand usually in this kind of model versus taking a bet with somebody entering new. So I hope I answered your question.

Mohit Agrawal: Yes, sure. My second question is about, you know, you mentioned in your opening remarks about making investments in Tier 2 cities. So what kind of opportunity do you see there in terms of exposure? Where do you want to see, let's say, number of seats or revenue? What kind of opportunity do you see in the next 2 to three years? And what is also, if you could give some color on the kind of clients you would see there, will it be a similar mix, like you have mentioned about corporate MNCs having about 68% of your demand? So would it be similar in the Tier 2 markets as well?

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Amit Ramani: So, Mohit, we were the first ones to expand into Tier 2 cities. Our first city was Chandigarh in 2018. And we strongly believed in the growth of the Tier 2 cities. Today, we are in eight Tier 2 cities. We will expand to a few more. We believe that the future of India from the 5 trillion to 10 trillion economy is going to be written across the nine metro cities and, you know, 10 or 11 Tier 2 cities of which we are already in eight.

We strongly believe that, you know, people are moving to Tier 2 cities because of the demand opportunity of talent. It is no other reason. Clearly, if you look at post COVID, if you did analysis of the large IT companies, about 65 % of their talent went back to these eight odd cities where we are already present.

And we believe that many of those cities have great infrastructure, great lifestyle opportunities, and many people will probably end up staying back in those cities. And we are seeing some very, very strong demand across those cities. We also strongly believe that the demand ecosystem is going to be similar. A large portion of it is going to come from IT ideas or large corporates. And a subset will come from banking, finance, consulting, construction, many of those cities. And clearly, in FY '24, 14 % of our cities, of our seats were launched in Tier 2 cities.

So, we are a strong believer. We have the largest presence in Tier 2 cities across the industry today. And we believe that the growth journey will continue across the nine metro cities where we have almost 90 % of our seats and our Tier 2 cities where we are expanding fairly quickly.

Mohit Agrawal: So, 15 % is what I heard, right? That's the number we should work with going forward as well?

Amit Ramani: Broadly, yes, Mohit. So, today, the

portfolio split is 90-10. But if you look at Q4 FY '24, about

14% happened in Tier 2 cities. So, that will move closer across the years to 85-15 split.

Mohit Agrawal: Okay, understood. Thanks a lot, Amit. You know, those were my questions. If I have more, I'll join back to queue, but best wishes to your team for future quarters.

Amit Ramani: Thank you, Mohit.

Moderator: Thank you. The next question is from the line of Viral Shah from Enam Holdings. Please go ahead.

Viral Shah: Yes, thank you for the opportunity, and congratulations on a successful listing. I had a couple of questions. Firstly, just to clarify, Ravi did allude to this point earlier about the cash EBITDA. I think he was trying to state that FY '24 cash EBITDA is actually closer to INR 90 odd crores.

Can you just help us explain this part again? Because it was not fully clear.

Ravi Dugar: Yes, hi. Thank you, Viral. So, cash EBIT number for FY '24 is INR 97 crores to be precise. And the way we calculate the cash EBIT is EBITDA less than the actual lease payments. And the reason for doing this is because as you are aware that under IND-AS, the lease payments are below the EBITDA line. So, what we do is essentially we subtract the actual lease payments from the EBITDA to arrive at the cash EBIT for us. So, that's how this number is INR 97 crores, which is a growth of 168% year-on-year basis and was INR 36 crores last year.

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Viral Shah: Okay. So, this is cash EBIT or cash EBITDA?

Ravi Dugar: It's cash EBIT.

Viral Shah: Okay. Secondly, I just want to understand your strategy. It seems that you are more focused on the smaller cohort, both on the demand as well as the supply side. Now, if I look at this, this seems to be at a variance with your competitors. Can you just help us understand what is the rationale behind this?

Ravi Dugar: Sumit, you want to take this?

Sumit Lakhani: Yes. So, Viral it's the point around on the overall fundamental business model. So, let me give you a perspective from the demand side. The best way is to take an analogy of retail banking versus NBFC. Now, the advantage of a retail banking is a diversified portfolio of clients with a lower risk, while it takes longer to build and it's more hard to build but it's more sustainable from a long-term perspective.

So, we have followed a similar approach by creating a larger number of centers. So that we can attract a larger segment of users. So, be it SME, mid-corporates, larger enterprises. There could be a situation where a small cohort of 25 seats could be taken by a larger enterprise as a starting point of relationship with the Awfis, but that same enterprise is taking almost about 300 or 400 seats with us in some other center after experiences those 25 seats with us.

Secondly, what we have seen is a smaller cohort ends up getting a better pricing realization as compared to a larger cohort. That's why we love the aspect of catering to a smaller cohort. Third, it makes a churn more manageable and less risk averse. So, what we see is a typical center sizes of about 600 to 700 seats usually ends up having 20 to 25 different clients across various kind of cohort. So, across years as the companies keep moving out. So, it's very easy for us to manage the churn and create a more sustainable and risk-averse kind of a business model.

It's a bit tough capability to build because it requires very strong operations processes and we're proud that we are one of the only players to deliver this capability at a scale and I think it's a mote and a tough one for a lot of players to replicate. So, that's the primary aspect on the demand side why we look at smaller cohorts. With respect to the supplier side, as you would see our center sizes are generally about 30,000 odd square feet with a lot of players looking at a large center. On the business

model we have a perspective in the size. A mid-size center brings decent level of operating efficiencies in terms of the total operating costs. So, there is no kind of loss of operating efficiencies but it's a very risk-averse scenario. We are able to build the occupancy in a span of about seven to nine months to about 80% odd of the occupancy. So, it's easier to build the occupancy.

Second, it's easier to manage the churn. Third, one can have a very strong kind of a larger network. So, that's the reason why we have now 181 centers across 17 cities. An interesting aspect over here is if you have a larger network, the network effect from customers also come in. As you would see, almost 30% plus of our customers have taken seats with us in more than one center. So, that's how a larger network with mid-size centers as a strategy has worked out well and our endeavor is to continue with this kind of a business model.

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Viral Shah: Perfect. Thank you, Sumit. That's all from me.

Moderator: Thank you. The next question is from the line of Adhidev Chattopadhyay from ICICI Securities. Please go ahead.

Adhidev Chattopadhyay: Yes, good morning. Thank you for the opportunity. The first question is on your margin trajectory for FY '25, simulated that you're expecting a 150-bps sort of expansion next year. So, could you help us understand in Q4 what has been the exit churn rate for the month of March, right, which would give us some directional headroom? And for this margin expansion, what are the levers for this expansion to come in gradually? Yes, that's the first question.

Ravi Dugar: Thank you, Adhidev. So, for Q4, the EBITDA exit margin is at around 11.7. The levers for the improvement in margin, the 150 bps what you're talking about, will largely come from the

operating efficiencies and the operating leverage. So, as we expand our network, we expect efficiencies to come in further.

Adhidev Chattopadhyay: Okay. Sir, if you're already at 11.7% in Q4, right, so for the full year '25, shouldn't this number be a little higher at 12% plus? It's looking at more operational efficiencies coming in as the new seats come into operation?

Ravi Dugar: We are also expanding very rapidly into new, you know as Amit mentioned, in few of the new cities and also, you know, we're expanding in some of the new centers in the existing cities. So, there'll be also an impact of, you know, new centers and the cost-related to that, coming in. So, what we are expecting is that at some point of time it will balance out with the improvement in the operating margins. And hence 1.5 % is what we are taking as an improvement in the operating margin.

Adhidev Chattopadhyay: Okay, for the full year. So, then the second question and so just to follow on that, so then what would on absolute terms in the month of March what would be the EBITDA run rate we'll be doing monthly as we have exited March 24 on a monthly basis, if you could share that number?

Ravi Dugar: That number would be around INR9.5 crores, with all the IND-AS 116, 102, 109 accounted for. So, this is the EBITDA equivalent to an IG AAP kind of a scenario.

Adhidev Chattopadhyay: Okay, around INR9.5 crores for the month of March. And the second question is for the full year in 24 in your expenses either an IGAAP or IND-AS, are there any one-off expenses or gains which are part of the EBITDA, if you could just clarify that, please?

Ravi Dugar: There are no one-offs in the real sense. However, we had a couple of legal costs related to the selective capital reduction what we did and the fund raise what we did. So, there are one-offs pertaining to that. The fund raise and the selective capital reduction process what we went through.

Adhidev Chattopadhyay: Final question is obviously pre-IPO as of March 24, what is our net debt on books? Because there

seems to be -- as per the reported cash and cash equivalents do not seem to reflect the total cash on books. So, you just help us understand the net debt as of March 24.

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Ravi Dugar: The net debt would be around minus Rs. 25 crores net of cash. So, Rs. 32 crores is the gross and the net debt is around minus Rs. 25 crores as of March 24.

Adhidev Chattopadhyay: No, fine. That is clear. I will come back in the queue if I have more questions. Thank you.

Moderator: Thank you. The next question is from the line of Bhavik Dave from Nippon India Mutual Fund. Please go ahead.

Bhavik Dave: Yes. Hi. Good morning, sir. A couple of questions here. One is on pricing. So, just wanted to understand when we are adding incremental seats depending on the location maybe the top 10, 15 locations versus the tier 2 locations, how is the pricing moved incrementally in fourth quarter and how do you expect that to move in for FY '25 like to like basis?

Ravi Dugar: Sumit, do you want to take this?

Sumit Lakhani: Yes. So, Bhavik our pricing is a direct function of the input real estate cost. The way our financial models are built is we look at two parameters very strongly. One is the overall center EBITDA margin which could come around. And second is the payback period. This is the kind of capital which we are investing. So, these are the two primary drivers which is driving the pricing. So, within the same micro market two buildings could have a different rental and that is why we would have a different kind of pricing realization.

So, as you would see we already have a diversified kind of portfolio on supply side with micro markets like BKC and CBD in Bangalore with higher rentals to micro markets in Calcutta, which have a very low rental. So, our pricing of the product on a per se at basis ranges from about INR6,000 to INR18,000 per seat per month. We expect that we will follow a similar kind of rule and the financial metrics to determine the pricing.

In any case, the way we look at as we grow into tier two cities, we don't see that the blended average realizations will go down. Because the micro market rentals of tier two cities are also equivalent to the micro market rentals of the peripheral places of the larger towns. So, let's take an example.

Let's say if we end up being in a micro market in Jaipur the micro market rental could be also similar to the micro market rental of Navi Mumbai. So, our pricing would follow the similar trend but we focus more on the keeping the center EBITDA margins and payback periods intact.

Bhavik Dave: Sure. Just to make this simplified, when we look at FY '25 over '24, on a blended basis, you made a point that incrementally 15% of the seat addition or the outstanding would be tier two cities versus 10% today. So, like to like, if we have to compare FY '25 over '24 the blended realizations all else equal will be like zero to 5% higher than what they stand today, right? Like, considering all the escalations and the new additions and the mix shift everything included, the number should be 0% to 5% higher than what it is in FY '24 overall blended, right? Is that a fair assumption?

Sumit Lakhani: So, with respect to an existing center a customer, so on a client contract, we already have escalations being built in. Generally, for a larger cohort these escalations range from about 4% to 6%. And for a smaller cohort it ranges from about 5% to 8%. So, yes, from an existing center portfolio perspective there is going to be a like to like increase in the overall pricing.

Bhavik Dave: Understood. The second point is Sumit, when we look at our mix today on revenues, you highlighted 75% -76% is the co- working space and the remaining 20%-25% is the tr

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business or the build and fit out business. Do you expect this mix to remain broadly in this range or do you think that can change over the next couple of years? Like, if we look at two- year horizon will the mix of revenue remain similar or will it change?

Amit Ramani: So, from our standpoint, we offer this as a complete comprehensive solution. So, as I mentioned in my opening remarks that we are a solutions platform. So, clients come to us for co -working, for doing customized solution for them as well as for design and build, which is our Awfis Transform business. So, it is an integrated offering. Now, what we feel strongly is that we will continue to have about 75% of our business in co-working and about similar about 20%- 25% in design and build. So, this w ill continue but we will continue to offer the comprehensive solutions. So, client can choose us for either taking co-working seats with us, managed office solutions or if they take up their own space then we can deliver a design solution for them.

Bhavik Dave: Sure. And the transform business, EBITDA margins are we optimized or do you think there is some bit of improvement there as well? And what would that range be today and if it can improve, how much more can it go up to?

Amit Ramani: So, currently this is about 14%- 15% as you can see from our financial. We believe that as we continue with our scale, as we mentioned, we are doing 40,000 seats in our expansion for this year. In addition, obviously, this does not include the design and build business, which effectively will also translate to seats or buying power in the marketplace is very high. So, we believe through our procurement strategies through our efficiencies in terms of our delivery, in terms of our solutions we will probably be able to get another 1.5% to this 14%-15% margin for FY '25.

Bhavik Dave: Sure. I guess one last point or suggestion that I would request is if we can give us very clear last 2-3 year pre-IND-AS P&L balance sheet cash flow because it's very difficult to reduce the adjustment that we're trying to make because for last 2 -3 years, if we can provide that kind of data every quarter from year on it will be very important because you, yourself are lookin g at the business on a pre -IND-AS basis. And from an investor perspective also, that will be very helpful if you can simpl ify the way we report our P&L balance sheet on a pre-index basis. That's a request. Thank you.

Amit Ramani: Sure.

Moderator: Thank you. The next question is from the line of Arpit Shah from Stallion Asset. Please go ahead.

Arpit Shah: Yes, congratulations on a super listing. I have a couple of questions. I just list out all my questions. I just wanted to understand the square feet breakup or the per seat kind of breakup or

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capex in MA as well as in S L. That is my number one question. I just wanted to understand the INR30 crores cash debit number which you reported in Q4 FY '24.

Would you say this is a steady state number for the quarter or do you think there is some operating leverage which is going to play out in FY '25 and FY '26? And what would be the tax number for the quarter, if you have to include that? And I just want to understand what would be the ESOP expenses for FY '25 and FY '26, since you have just listed now to have some ESOP pool. And I believe there was some INR 50 crores kind of a payout to Mr. Ramani on the IPO listing. And just want to understand how are we going to account for that number? What would be our corporate overheads on an annualized basis? Just wanted to understand that.

Amit Ramani: So, I will answer the last question that you had, and then I will request Sumit to discuss the MA and SL split. So, the number was not INR 50 crores, it was INR 5 crores to clarify. And as per the current committee, I have completely foregone that numbe

r. So, over to you Sumit on the capex part on MA and versus SL.

Sumit Lakhani: So, with respect to the total capex which we spend on centers, we end up spending about

INR1,700-INR 1,800 per square feet on the center capex. So, irrespective of that center being under managed aggregation or straight lease model, the difference generally in a capex varies from a bit site-to-site depending on the site condition. So, that's the kind of only 5 % or 8% kind of variability across various kinds of sites where the whole capex would vary. So, that's the overall capex spent per square feet. Second, your question is around on the cash EBITDA basis. Can you just repeat that question on cash EBITDA?

Arpit Shah: Yes. So, we have reported about INR 30 crores cash EBITDA in Q4 FY '24. So, is this a steady state number or we've already got it for 1.5% margin expansion. So, that I think includes a lot of operating leverage. So, this INR30 crores is a steady state number or you should see more, is there a downside to this number or this is a steady state number going ahead?

Sumit Lakhani: So, see going ahead, the absolute basis of the cash EBITDA will also change with the change in revenue. And for the full year, you will see a 1.5% improvement in the margins that could be distributed across multiple quarters. As we are giving more on annual guidance, I'll not be able to exactly give you a perspective whether Q1, how much improvement is going to come around. But on a blended for a full year basis, we will have a 1.5% improvement.

Arpit Shah: Got it. And what will be the ESOP expenses for FY '25, '26?

Ravi Dugar: So, the current unamortized pool for ESOP expenses is around INR 6 crores between FY '25 and '26.

Arpit Shah: Okay. And the corporate overheads?

Ravi Dugar: So, let me split that - so essentially the corporate overheads is comprising of the employee expenses. Now, within the employee expenses, we have two ways of accounting for that. So, the employee expenses which are at the centre - is what we have, that is as part of the MA structure deal, part of the centre EBITDA margin. So, in the real sense that is not a corporate overhead

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for us. The corporate overhead for that cost gets distributed between the landlord and us. On the other corporate overhead, which is the salary for the HO staff is in the range of 5%-6%.

Arpit Shah: 5%-6% of total revenues, right?

Ravi Dugar: Total revenues, yes.

Arpit Shah: Okay. And the 30% revenue growth that you have guided is on total revenues or is it on co-working business segment?

Amit Ramani: It is on total revenue.

Arpit Shah: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Bijal Shah from RTL Investments . Please go ahead.

Bijal Shah: Yes, hi. Thank you for the opportunity and congratulations on listing and building a very solid business over a period of time. My question relates to competition in the segment. Now, every day in the newspaper we read that there are multiple companies in the space and they are raising money also. In fact, 3 -4 IPOs are also lined up. So, how do you see competition?

And in fact, in your industry report also, there are like 20 players operating, 80 players operating in a city like Bangalore and I didn't see anywhere more than 20 players operating. So, from a competitive perspective, do you see that there could be a demand and supply mismatch and which can impact pricing or occupancy over the next two, three years?

Amit Ramani: So, as kind of we mentioned in our opening remark, the industry is fast growing, right? By 2026, it's projected to be almost 16% of total commercial real estate equating to almost 105 odd million square feet. So, I think it's a sunrise sector. And I think healthy competition across the country has provided the right solution for the customer. I think just a

s in real estate, there are multiple developers who coexist and do well. I think in our industry also, competitors will all coexist and do well.

As far as we go, I think we clearly have differentiated ourselves. Obviously, being the largest when it comes to our network, 181 centers and projection is to grow by almost 40 plus centers in FY '25. The platform approach, which we believe is very unique, which is the ability to offer somebody one seat, 2000 seats, we can now design, we can build, we can maintain, we can operate, we can do all of that under one umbrella.

So, all commercial real estate requirements are fulfilled. Our differentiated supply model, I think we strongly believe that by having capital efficient model in our managed aggregation structure and diversifying our risk by partnering with the landlord completely differentiates us from everybody. And we have a very, very different scale, almost 120 odd centers out of 180 are in managed aggregation today. The size of centers matters. Sumit talked about the centers, typically about 30,000 square feet. As a result, we can have multiple locations across a city in cities like Mumbai and Bangalore.

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Today, we have close to about 20 plus centers in each of these cities. So, kind of the size of the center matters and obviously reduces our preoperative burn, reduces the concentration risk. We cater to all kinds of customers. A large portion of India's demand is less than 100 seats. And we probably are one of the only branded players left in that space catering to that customer base. And even less than 100 seats, which is almost 50% of our demand today, it's split equally between 1-25, 25-50 and 50-100.

So, clearly, we cater to SMEs, mid-corporates, large corporates, startups, freelancers, every type of customer segment in this country. And clearly, when it comes to Tier 2 cities, we strongly believed in it and went into expansion in those cities. Today, we strongly believe that the Tier 2 strategy is a big differentiator for us when our ability to offer kind of solutions for our customers.

So, I think competition is great and is healthy. We welcome all other people to come to the public markets. But we currently believe that we are extremely differentiated business. And we believe that that's the reason that we obviously will continue to grow while mitigating the competitive landscape.

Bijal Shah: So, just to understand, overall at industry level, you do not see much risk of oversupply. So, demand is really that strong that it can accommodate growth plans of most of the players who are there. And in fact, all of them are looking at significantly increasing their seat capacity. So, you think that demand is strong enough to accommodate all the players?

Sumit Lakhani: Yes. See, primarily, if you look at the way we are generating demand, it's a primary shift of people choosing conventional offices to moving to flex spaces. The total amount of leasing which happens every year is anyway increasing and the percentage of flex space leasing is growing.

So, we are having the share because the customer preference is moving from conventional to flex spaces. So, that's why there is a very large demand, which a couple of players are catering to. Because the business doesn't have much entry barriers as it looks like to begin with, be it like even from a hospitality play, if you look at an example of hotels, there are a lot of branded players, there are a couple of branded players, a lot of players in the wing but ultimately, the larger market share is taken by the branded players.

This is exactly what is happening in our industry that the top five or six players are having a larger market share and they're growing with the network effect of the customers. So, we don't worry around on the large number of co-working players opening up in every city.

Our customer

base is increasing and the customer base preference is shifting from conventional office to flex office.

Bijal Shah: Okay, got it. And so, right now, you explained that there is impact of newer properties on margins, but eventually, say, probably two, three years down the line, when the proportion of new property really reduces to a small number, what kind of steady state margin we can look at?

Sumit Lakhani: See, while we are not giving a guidance right now for the overall steady state, margins over the next couple of years, but you are right, at least for the next couple of years, we see a strong

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growth for the whole thing. As the percentage of existing centers versus new centers reduces, you will see a natural increase in our overall margin profile, is what I can say right now.

Bijal Shah: So, lastly, one request. See, it seems that the data which is available as per IND-AS this is significantly different from the way you yourself analyze the business. So, it would really help if you can split the employee cost into center and if you can give center level profitability for the quarter and then give us the corporate overheads and also spell out the exact number of rent amount and adjustment, it will really help not only for the quarter but probably for 2 years, 3 years so we can actually see the trend as somebody also pointed out. So, that would really help all the investors in better understanding a new company which is from new sectors. Thanks a lot.

Moderator: Thank you. The next question is from the line of Kunal Sharma from SP Capital. Please go ahead.

Kunal Sharma: Yes, thanks for the opportunity and congrats on the good set of number and the listing as well.

So, I just wanted to ask on a cost front that our rental as a percentage of sales has stands at nearly 21%, 22% which has been increased from 7%, 6% over the last 3 years, 4 years. So, are we entering into a higher leasing property kind of thing over the last 2 years, 3 years? If you could just throw some light on it and what kind of the rental as a percentage of sales that we are going to maintain going forward?

Sumit Lakhani: See, when you look at the annual number, you are looking at a blended rental value irrespective of the blended occupancy percentage. The way we look at the rental percentage is for the center

which has 12 months plus of occupancy, the rental percentage is generally in our business for straight lease centers range about 40 -odd-percent and for managed aggregation business ranges about 50%, 53%.

Now, as of today, the percentage which you are mentioning is more of a blended percentage because there are a lot of centers which are less than 12 months old. But the general perspective which we look at for 85% plus of stable occupancy centers, it's about 40% for straight lease and 50%, 53% for managed aggregation. So, just one more point, on the managed aggregation, when I say rental, it's a rental and landlord share including because it's a variable model.

Kunal Sharma: So, on a blended, we can say that on MA side, we have a 40% and the SL side, we just have a 55% as a rental expense as a percentage of sales?

Sumit Lakhani: So, it's the other way around. On MA side, it's about 50 %, 53% of rental and landlord share and on SL side, it is about 40%.

Kunal Sharma: So, are we going to maintain this kind of range or what?

Sumit Lakhani: See, this is the range which we have been working with over the last couple of years and that's what we at least internally also look at trying for any kind of a center.

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Kunal Sharma: On the second question that we are depending 40% on brokers, right? So, don't you think it could be a risk driver going forward as those brokers must have a good amount of client-centric things? So, they can be

competitors going forward, if you could throw some light on a particular thing?

Sumit Lakhani: So, see the way the overall real estate business is built, even if you look at from a commercial estate leasing developer perspective, the brokers provide a larger business. Rather for a lot of large developers, almost about 90 %, 95% of the leasing would be driven through the brokers. The way we look at our business, we are not looking at brokers as a partner but more like a distributor than channel partners for us.

The business is built in collaboration with these consultants. What I would say is, without commenting a bit less on the competition, is the 40% dependence on brokers is probably the lowest in the industry and by far it is best in the industry with respect to the dependence. The 60% which we are doing on our own is one of the best metrics which you would see within the overall co-working segment.

And this has been built because we have built a very strong business development, account management and a sales engine, which is the whole demand engine in-house. So, from our industry perspective, it is a great metric if you would look at a couple of competition as well.

Kunal Sharma: So, we are comfortable with this 40% as well?

Sumit Lakhani: Yes, we are very comfortable and it is more of a collaborative approach where we look at them more like a partner.

Kunal Sharma: And lastly, last question on that. Firstly, just wanted to understand that on interior and office designing, are we outsourcing the partners and the vendors outside or what kind of approach we are applying while building a new office?

Amit Ramani : Yes, so we obviously developed this business to deliver extended services to our clients. From that standpoint, we built the in-house design and project management team and a very strong procurement team. So, all of the design, majority of the project management and all of the procurement happens in-house. Then we leverage our extended partners who basically do the execution at site, which would be these trades delivering interior, Mechanical, Electrical, Plumbing Systems. All the procurement of bought-out items, which includes let us say Carpet, Lights, Furniture, Chairs, Loose Furniture, etc. is all done by us.

Hence, we get a lot of efficiencies there. But it is the internal team that designs and project manages the whole thing and then an extended partner network that delivers and executes at site. Currently, we have 150 plus in-house project managers, designers, which includes our MEP designers. A lot of the team members are currently LEED certified, WELL certified, and we have exclusive tie-ups with Factories for doing a lot of our Loose Furniture, and all the Modular Furniture as well.

Kunal Sharma: Thank you so much.

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Moderator: Thank you. The next question is from the line of Akshay Jogani from Xponent Tribe. Please go ahead.

Akshay Jogani: Thank you for the opportunity and congratulations on the listing. I have a couple of questions. And pardon me if I'm repeating them because I got dropped off for a few minutes in between.

When I see the DRHP, there is an illustration of return on capital in the two different models and margins on the two different models. If you could kind of that margin and the current margin has a reasonable gap. So, I just want to understand that at what stage in the life of a center do we get to what is shown in the DR HP, as an illustration margin? And in our mix of centers, what is the mix of centers where we've already reached to an economic share versus where we have not? Yes, that's my question.

Sumit Lakhani: So, see, primarily, we have mentioned, the DRH P, the ideal margin for straight -leave centers f or us ve ry, between 30 % to 35 %. This is the center EBITDA margin. And for the managed aggregation centers, clos

er to about 23% to ~25% is the center EBITDA margin, which we look at for lead centers.

Now, these margins we are generally able to hit when we hit about more than 85 % of stable occupancy, which we are able to hit after 9 months to 12 months of occupancy of that center. Suppose that we are able to. So, within our current portfolio, as we have mentioned, almost for about 12 month -plus centers, th e blended occupancy is about 84%.

So, for a larger segment of our centers which are in greater than 12 months, we are already, hitting these kind of, numbers. I don't have the number of centers which are exactly hitting or meeting these kind of numbers, but you can very safely assume that a very large section of our greater than 12 months of centers are hitting these kind of numbers. As the greater than 12 month of vintage centers keeps on increasing, you will start seeing the overall impact of increasing the EBITDA margin also coming up.

Akshay Jogani: And then, would it be fair to assume that, let's say, 4 years, 5 years out, and not right now, but when we have a significantly larger scale, the overheads from the center to eventually like the blended, total EBITDA at the corporate level, the overheads will be significantly smal ler and as a result, our longer term EBITDA margins will be 17 %, 18% of such numbers as sort of from the current 9 %, 10%, 11% that we are?

Sumit Lakhani: See, so you are correct. Over the next couple of years, as the base for the mature centers keep on increasing, our overheads as a percentage of the total sales will, keep on shrinking down and we will hit to, better EBITDA margins. While I'm not giving a specific guidance of, the exact percentages, but we also expect and we are working towards, a very significant impr ovement over the next couple of years.

Akshay Jogani: That's helpful. Thank you.

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Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question for today. I would now like to hand the conference over to Mr. Sumit Lakhani for closing comments. Over to you, sir.

Sumit Lakhani: So, we thank everyone for joining the call today. We hope we have been able to give you a detailed overview of our business and also answer your queries. Should you have further queries or clarifications, please feel free to reach out to SGA, our Investor Relations Advisors . Thank you and good day.

Moderator: Thank you, members of the management. On behalf of IIFL Securities Limited , that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

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CIN: U74999DL2014P LC274236

Date: 22/08/2024

To,
National Stock Exchange of India Limited
("NSE")
Listing Department
Exchange Plaza, C -1 Block G, Bandra Kurla
Complex Bandra [E], Mumbai – 400051 To,
BSE Limited ("BSE")
Listing Department
Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai - 400 001

NSE Scrip Symbol: AWFIS BSE Scrip Code: 544181

ISIN: INE108V01019 ISIN: INE108V01019

SUBJECT: Transcript of the conference call on financial results for quarter ended June 30, 2024

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015,
Please find enclosed the transcript of the conference call for the quarter ended June 30, 2024 , conducted on
August 14, 2024.

The above information is being made available on the website of the Company at
<https://www.awfis.com/investorrelations>

We request you to kindly take this on your record.

This is for your information and record .

Thanking You,

For Awfis Space Solutions Limited

Amit Kumar
Company Secretary and Compliance Officer
M. No. A31237
Address: C -28 and 29 Kissan Bhawan, Qutub Institutional Area New Delhi 110016

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"Awfis Space Solutions Limited
Q1 FY '25 Earnings Conference Call"
August 14 , 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock

exchange on 14th August 2024 will prevail.

MANAGEMENT : MR. AMIT RAMANI – CHAIRMAN AND MANAGING
DIRECTOR – AWFIS SPACE SOLUTIONS LIMITED
MR. SUMIT LAKHANI -- DEPUTY CHIEF EXECUTIVE
OFFICER – AWFIS SPACE SOLUTIONS LIMITED
MR. RAVI DUGAR -- CHIEF FINANCIAL OFFICER –
AWFIS SPACE SOLUTIONS LIMITED

MODERATOR : MR. RUSHAD KAPADIA – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Awfis Space Solutions Limited Q1 FY 25 earnings conference call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Rushad Kapadia from ICICI Securities. Thank you and over to you, sir.

Rushad Kapadia: Thank you. Good morning, ladies and gentlemen, and welcome to the Q1 FY25 results conference call of Awfis Space Solutions Limited. We have with us from the management Mr. Amit Ramani, Chairman and Managing Director, Mr. Sumit Lakhani, Deputy Chief Executive Officer, and Mr. Ravi Dugar, Chief Financial Officer. So without further delay, I would now like to hand over the call to Mr. Amit Ramani for his opening comments. Thank you and over to you, sir.

Amit Ramani: Good morning and a very warm welcome to everyone present on the call. Along with me, I have Mr. Sumit Lakhani, our Deputy CEO, Mr. Ravi Dugar, our CFO, and S GA., our Investor Relations Advisor. For Q1 results, we have uploaded our presentation on the exchanges and I hope everybody had an opportunity to go through the same.

Let me start with a brief overview of the business for the quarter. This was a strong quarter for our business, community, and the industry. For Q1 FY25, we are delighted to present a strong performance across all key metrics and segments of our business. Our reported revenue from operations reached INR258 crores, making an impressive 37% year -on-year growth. EBITDA stood at INR79 crores, also reflecting a robust growth of 56% year -on-year with an EBITDA margin of 30.7%. These results underscore our continued momentum and operational excellence.

In particular, our co-working and allied services segment demonstrated notable progress, achieving a growth rate of 33% to reach INR185 crores. This segment continues to be a cornerstone of our strategy, driven by growing demand for flexible workplace solutions. Our construction and fit -out projects, which encompasses our design and build business, have shown remarkable performance with a growth rate of 55%, culminating in a revenue of INR67 crores. This segment is gaining significant traction, buoyed by a healthy order pipeline and favourable market outlook.

As of June 30th, we proudly surpassed 1 lakh operational seats and expanded our footprint to 169 operational centers . Awfis operates in 17 cities and 54 micro -markets, encompassing 185 centers , 112,038 seats, and 5.6 million square feet of chargeable area that are either operational or are in the process of being fitted out.

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Additionally, we have signed a letter of intent of 15,668 seats and 23 centers , building a robust pipeline of 1,27,726 seats across 208 centers . This achievement reflects our successful execution of growth strategies and our ability to scale effectively in response to market demand. Both the supply and demand side of our business are showing healthy growth. On the supply side, our managed aggregation and sourcing models are performing well, while on the demand side, we

are witnessing increased customer interest across the various sectors.

We will continue to focus on three key areas of business, building an industry-leading capital-efficient managed aggregation model, expanding in new and existing markets, making strategic investments in tier 2 cities, enhancing our product and service offerings. We are seeing healthy growth in our design and build business and will continue being a key area of growth for us.

Our

efforts will also be geared towards further widening the range of clients we cater to with customized offerings for GCCs, large corporates, and SMEs.

Some other exciting things on the anvil for Awfis include a more enhanced user experience incenters and online with mobile app and website revamp, more focus on leadership and talent development through learning and development initiatives, improved operational efficiency by building a stronger and wider vendor base, leveraging our technological tools, and further streamlining allied services operations. The co-working industry stands at an exciting juncture. The flexible space segment is experiencing rapid expansion with remarkable growth of 17 % in tier 1 cities and 27 % in tier 2 cities. This significant growth reflects a greater integration of flexible spaces with the broader commercial office market. In the first half of 2024, the industry saw a surge in office space absorption fuelled by continued expansion from global capability centers, domestic occupiers, flexible space operators, and firms in BFSI and technology sectors. With substantial investments flowing into India from multinational corporations and the continuous expansion of corporate, SME, and startup ecosystems, we are confident in our ability to strengthen our leadership position in the flexible workplace segment. Our customer-centric approach, sustainable practices, and commitment to innovation position us for sustained success and growth in the evolving market landscape.

Let me hand over the call to Mr. Sumit Lakhani, our Deputy CEO, to share Q1 FY25 operational highlights.

Sumit Lakhani: Good morning, everyone. I would like to share with you the operational highlights of Q1 FY25.

On the supply side, we are pleased to report the addition of approximately 5,368 seats and nine centers during the quarter. In the last 12 months, we have added 30,156 seats and 48 new centers, marking the year-on-year growth of 43% and 40% respectively. We have increased our tier 2 presence by 90%, growing from 10 centers to 19 centers since June 23.

Out of the new seats added or under-fit out, 79% were under our asset-light managed aggregation model, reinforcing our commitment to this effective business model. We continue to maintain a strong portfolio of 67% seats under this risk-averse model. As of June 30, 2024, our total operational seats stand at 100,398 and we have 169 operational centers. We remain on track with our FY26 guidance to add 40,000 seats.

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Currently, we have 11,640 seats under fit-out and letter of intent in place for 15,688 additional seats, providing us with strong visibility on achieving our growth targets. On the demand side, we signed demand contracts for 11,000 new seats in Q1 FY25. Our revenue base continues to be highly diversified.

In terms of occupied seats, approximately 65% of our client base consists of large corporates or MNCs, 22% are SMEs, 13% are startups and the remainder are freelancers. In our portfolio, we have 36% multi-centre clients. The contribution of 100-plus seat cohorts to our total cohort remains robust at 56%, reflecting the increasing confidence of clients in transitioning from traditional offices to flexible workspaces.

Our exit month occupancy rate was 71%, indicating strong demand for flexible workspaces, aligned with our supply additions. It is important to note that this is a blended occupancy level. Occupancy typically increases as new centers mature. For centers older than 12 months, the occupancy rate stands at 84%. The total average client tenure in our portfolio is 34 months, with a lock-in period of 24 months. For greater than 100-seat cohorts, the average tenure is 46 months, with a lock-in tenure of 34 months.

The tenure across portfolio demonstrates a strong long-term client commitment and

providing

us with excellent revenue predictability. During the quarter, we successfully serviced 2,684 active clients, supported by our extensive network and customer-centric approach. That concludes my update.

I will now hand over to Ravi, our CFO, for the financial discussion.

Ravi Dugar: Thanks Sumit. Good morning everyone and a very warm welcome to everyone. Let me give you a quick overview on our financial performance. For Q1 FY25, on a reported basis, our consolidated operating revenue stood at INR258 crores, which is a growth of 37% on a year-on-year basis. The operating EBITDA stood at INR79 crores, which is a growth of 56% on a year-

on-year basis. The margins stood at 30.7%.

This was 28.9% in Q4 of the last fiscal year, 2024, and we have seen an improvement of 1.8% quarter -on-quarter. This is broadly in line with our guidance on the operating margins given in the last earnings call. Reported PAT stood at INR3 crores, which was a loss of INR8 crores in Q1 of last financial year. On the IG AAP equivalent basis, which is adjusted for Ind AS 1 16 lease rentals and IndAS 109 and INDAS 102, our operating revenue stood at INR257 crores, which is a growth of 38% year -on-year.

Our operating EBITDA on IGAAP Equivalent basis stood at INR30 crores, which is showing a robust growth of 249% year -on-year. Our margins are at 11.5%. IG AAP equivalent depreciation stood at INR17 crores, and finance cost for Q1 FY2 5 is at INR1 crores , which is flat versus Q1 of FY24. Other income has been adjusted for Ind AS 109 , which is arising due to fair valuation of security deposits under Ind AS 109 .

PAT stood at INR15 crores, which was a loss of INR3 crores in Q1 of last year. On Ind AS basis for Q1 of FY25, our cash EBIT is at INR38 crores, which is a growth of 15 8% year -on-year.

And this number was INR15 crores in the same period of last year. As of 30th June, our liquidity

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position stood at a very comfortable INR185 crores. The gross debt at consolidated level stood at INR30 crores.

As a result, our debt -to-equity is INR0.08, which was INR0.20 in Q1 of FY '24. And our net debt-to-equity stood at negative INR0.41, which was negative INR0.13 in Q1 of last fiscal. We see a further decline in our debt -to-equity ratio as our profitability and liquidity situation continues to improve. Our ROCE has improved from 43% in FY'24 to 68% (on an annualised basis) for Q1 of the current financial year.

In our business, it is important to measure us on an annualised basis. We say this because there could be additions in capacity in specific quarters leading to upfront investments in infrastructure, manpower, which may have a short -term impact on markets. As we have showcased our occupancy levels trend improving by the end of year end, we expect the margins to further improve and get benefits of operating leverage.

That is all from our end. We now open the floor for question and answer.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Mohit Agarwal from I IFL Securities. Please go ahead.

Mohit Agarwal: Good morning, everyone, and congratulations on a good set of numbers. My first question is on your margins. In the presentation, you have given the IG AAP equivalent margins of about 11.5% for this quarter. Last quarter, you had guided to a full -year improvement of about 1.5 percentage points for the full year. Just trying to understand how to see these margins going forward. You mentioned in your opening remarks that over the year, this could improve further.

So, some color on should we assume a similar trajectory in terms of margins or we could see a gradual improvement for the full year from 11.5?

Ravi Dugar: Hi, Mohit. As you can see, our EBITDA margin has improved from 28.9% to around 30.7%, which in itself is a 1. 8% impr

ovement quarter -on-quarter. That said, we stick to our guidance of 1.5% for the year because we will keep on adding new centers and cities to our portfolio. And hence, there could be a short -term impact. But however, we continue with our guidance of 1.5% for the year as a whole.

Mohit Agarwal: Okay. So, for now, you are basically the Ind AS margins 30.7 % and IGA AP equivalent 11.5 %. You expect this to sustain for the full year?

Ravi Dugar: Yes.

Mohit Agarwal: Okay. The second question is on the pricing environment. We've seen like strong revenue growth of 37% year -on-year and also sequentially. A large part of it seems to be from the seat addition, right? So, how has been the pricing growth, especially on your old or mature centers? What kind of pricing growth have you seen and what is the outlook there? If you could give some color on that?

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Sumit Lakhani: So, as you can see, we added about 15,000 new seats in Q4 FY24 and about 5,000 seats in Q1 FY25. So, one, the sale of these new seats added is driving the revenue growth. The occupancy rate of 71% was maintained over the larger base of seats and which has also helped us improve the margins. Now, the new seats which are being sold are being sold at 3 % to 5% year -on-year escalation as compared to the earlier seats.

Similarly, what we see is annual escalation, which in our case ranges from about – on average about 5% for smaller cohorts between 5 % to 8% and for larger cohorts between 3 % to 5% is the kind of increase that also starts kicking in. So, this is how the overall seat price escalation happens for us.

Mohit Agarwal: Okay, perfect. And last question is on the construction and the fit -out business seems to be doing very well. You've mentioned that in your opening comments as well. Can you explain basically what is driving the growth? Is it the external clients, which is basically driving this or is it all led by the managed aggregation center? So, if you could just give some color on that and also what kind of profitability you are seeing in that segment?

Amit Ramani: So, Mohit, clearly, I think the India stack is doing really well, right? Clearly, the commercial real estate market is doing well. So, if you look at our business, which is the overall T ransform business, about 50% comes from our landlords funding our centers, right? And there we are kind of in some ways capped out at about 15% gross margin in that segment of the business. If you look at the other part, which is obviously continuing to grow .

And both are growing quite healthy, which is basically our design and build services for third -party clients that is driven from the global capability centers coming to India, the Indian corporate growing, the SME and the startup ecosystem continuing to expand. So, I think all of that is coming from that side of t he business.

And in that piece of business, the gross margin is between 18 % to 20%. So, blended, then we arrive at somewhere around 16 % to 17% blended margin for the business. Now, as the business grows, we believe in that business also, the design and build, which is third -party design and build will probably grow a bit faster.

And as a result, we see some margin improvement in that business as well.

Mohit Agarwal: Okay, perfect. Those were my questions. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Trusha from Boring AMC. Please go ahead.

Trusha: Hi, congratulations on a good set of numbers. My question is related to Awfis transform, the construction and fit -out segment. So, I just wanted to understand how do we select projects because in the last quarter, we were not profitable in this segment. But ideally, when you select the interior or a fit -out project, you will keep your margin and then only if it is viable, will you do the project, right? So, j

ust wanted to understand that business mentality?

Amit Ramani: So, I think the business has two parts, as I explained. One is the portion of the business, which comes from our current landlords where we are fitting out our centers, these co -working centers.

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In that piece of the business, obviously, we see the margins are fixed in some ways. If we look at the other portion of our business, which is essentially the design and build business, there we are fairly selective.

We work with large grade A plus clients, which could be our co -working clients, could not be our co -working clients. But we maintain a very strong focus on the quality of the clients in that space because we believe that that space has a lot of volume.

But clearly, selection of the right type of clients that we work with is going to be important. In terms of the gross margin, at the gross margin level, as I mentioned earlier, we do about 15% to 16% on the T ransform business, which is essentially coming primarily from our landlords, giving us the capital to fit -out our centers. And on the other part of the business, ranges between 18% to 20% at a gross margin level.

So, those are the numbers that we are seeing in that business.

Trusha: Okay. So, at the PBT level or the segmented profit level, it will take some time before it reaches a meaningful number, right?

Ravi Dugar: Yes. if you see our segment results on the construction and fit -out projects, our segment results have improved to a INR 0.49 million in the current quarter, from a negative INR 24 million of last quarter.

Trusha: Yes. Okay. -- Another thing was, I wanted to understand, so, what is the revenue on a quarterly basis, which you are looking at, like, or is it, is it in similar lines to Q1 or if we expect further growth, like, how would Q1 reflect the best quarter?

Amit Ramani: So, the overall guidance that we had given was that we will grow from about INR850-odd crores that we did for the full fiscal '24 by 30%. So, that guidance continues to remain. In terms of the, you know, quarter on quarter, I think it will flow in a similar manner, so that the year guidance of 30% we are able to meet.

Trusha: Okay. And just a last question, what is the capacity which you are expecting to reach by the year end?

Amit Ramani: Yes. So, we had, last earnings call, we had given a capacity addition of 40,000 seats. We had ended the year at 95,000 seats. We are looking to add about 40 ,000 additional to reach 1,35,000

seats total. As we mentioned in the overall commentary, we currently have , 100,000 seats as operational, about 11,500 seats are under fit-out. And we have another 15,500 seats that are essentially under LOI.

So, that puts us at a total of about 1,28,000 seats. So, we are fairly moving along well to our target of 1,35,000 seats being in the fifth month of the year.

Trusha: All right. Thank you.

Moderator: Thank you. The next question is from the line of Ashish Shah from HDFC AMC. Please go ahead.

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Ashish Shah : Hi, good morning. So, just one question. Could you give a brief walk down on the cash flow, how that would have been for the quarter? If you can maybe start from the operating cash flow, capex, and interest expense, etc etc?

Ravi Dugar: Ashish, our cash EBIT is around INR38 crores . If you look at our EBITDA number on the Ind AS basis , operating EBITDA number is around INR79 crores . But if you look at our IGA AP equivalent number, it is INR30 crores , which is roughly translating into a cash EBIT of around INR38 crores, which includes the other income also. The cash EBIT element also has the other income included in it. So, that is how the cash flow is. On the capex side, we have done an operating cash outflow of around INR35 crores on the capex.

Ashish

Shah: Sorry, could you come again? INR35 crores is the capex you are saying you have done?

Ravi Dugar: Yes, the cash flow on account of new capex we have done around INR35 crores . That is on the cash flow.

Ashish Shah: Sure. Thank you. Yes, that is all. Thank you.

Moderator: Thank you. The next question is on the line of Rishith Shah from Nuwama Wealth. Please go ahead.

Rishith Shah: Yes. Good morning, sir. Thank you for the opportunity and congrats on a great set of margins that you posted this quarter. The first question was regarding space as overall has been kind of seeing more traction on the managed area than the co-working space area. And our competition also in a way caters to a cohort of more than 200 to 500 seats. So, our strategy is the same. Can you elaborate on the strategy that we have over here?

Sumit Lakhani: Yes. See, if you look at the overall demand dynamics in India it is a mix of large corporates, SMEs and startups. A large portion of India's demand is less than 100 seats. And we are the leading player catering to these smaller seat cohorts. As you mentioned, the most of our competition is only focused on larger cohorts.

According to a CBRE report, the demand for flexible workspaces across these sub-500 seat cohorts, which is 1 to 50, 51 to 100 and 100 to 500 seats had been growing consistently with a CAGR of almost about 30 %, 41% and 54% between 2020 and 2022.

Why we get excited about this cohort is because this cohort helps us with better price realization. Then we are able to manage it's a manageable churn and it leads to a lower risk. We focus on mid-size centers leading to a mix of personalization and operational efficiency.

Smaller seat cohorts generally require very strong operational processes. And we are the only player to deliver this capability at a scale. So it's a kind of a moat for us and it's tough for the competitors to replicate. We have developed a kind of an extensive network of 169 live centers and 1 lakh plus live seats. 36% of the clients have taken seats with us at more than one center. So enabling entities to move to a core plus flex strategy.

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Secondly, if you see no single center, we are not dependent on any single kind of a center. So there's a massive diversity in terms of the number of centers as well. Now, we also focus on the managed office business, but we are a bit more selective.

We select customers based on the kind of lock-in tenures they're giving us and the continuity with which they do us. If you see, we would have signed up almost about 12 managed office centers also since June 23, which enabled large corporates and expanding their office networks.

Rishith Shah: Got it. Thank you so much for the answer. And secondly, we have a target of adding around 40,000 seats for the financial year of 2025 of which around 5,300 is already done. The remaining part, what is the expected capex given the mix of MA as well as SL? What are the capex that we expect for the rest of the year?

Sumit Lakhani: Sorry, can you repeat the second part of your question?

Rishith Shah: So given the mix of SL and MA, what kind of capex that you envisage for this whole year, for

the remaining part of the year?

Sumit Lakhani: Okay. See, so as we mentioned that the overall guidance for us for the whole year is about 40,000 odd seats. Second, in terms of the overall portfolio, we continue to intend to maintain 65 % to 68% of MA versus SL mix in the overall, so managed aggregation versus straight -lease mix in the overall portfolio for the complete year of FY '25. In Q1, the total capex outflow from a cash flow basis had been about Rs. 35 odd crores. And for the full year, also, we expect it to be in a similar kind of a range.

Rishith Shah: Got it. Thank you so much for the answer.

Ravi Dugar: So just to clarify, so the annualized numb

er would be obviously 35 multiplied by 4. We had given a similar guidance on the capex as was last year. So last year was around in INR 142 crores. We gave a similar guidance on the capex for current year.

Moderator: Thank you. The next question is from the line of Chintan Sh ah from Girik Capital . Please go ahead.

Chintan Shah: Okay. Thanks for the opportunity. First question is on co working and allied segment. If we look at our numbers the revenue has grown sequentially but the seed capacity as well has grown sequentially, while operating occupancy has remained steady sequentially. If you see the reported EBIT, we have seen a slight decline. Can you throw some light on why we saw profitability impacting on the sequential basis?

That's one. Second is if you can provide the quarterly rent expense that is the MA share for the quarter because that is also another significant line item equivalent to the transform subcontracting expense. That would be really helpful to understand how the share of profits are building up in the business that will drive the profitability going forward. So these are the two questions, and I will follow up with a couple of things as well.

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Ravi Dugar: Yes. Hi, Chintan. This is Ravi. So on your first question, as you would have seen, our EBITDA has grown overall by 1.8%, vs the last quarter of last year. Now, specific to your question on the co -working space the segment results is showing a marginal decline. Now, if you look at our numbers, we have added around 20,000 s eats in the last six months.

The s eats typically get filled up over a period. So we are seeing some impact maybe in the current quarter. And as I mentioned in my opening remarks that it has to be seen over a longer period.

The quarter may not reflect the numbers. So in that sense...

Chintan Shah: Basically, the new se ats are eating away the vintage profitability.

Ravi Dugar: It's not eating away. That new seats are getting added. So their impact on the profitability will come in the near course of time.

Chintan Shah: Okay. What I'm trying to understand is whether the MA or profitability or share has started in the vintage seats is also impacting that line item or not or the EBIT number or not. Or is it just the new seats which is getting added is tracking down the number overall?

Ravi Dugar: So largely, it is because of the 20,000 seats what we've added in the last six months. That has an impact on it. So we'll see a positive upside on that as the seats get filled up.

Chintan Shah: Correct. Got it. And second part?

Ravi Dugar: Second part, we continue to maintain our margins on... In fact, we have slightly improved our margins on construction business at the gross level. So it was around 15.5 %, and now has increased to 16 % and thereabouts. So there has been an uptick in the margin on the construction business.

Chintan Shah: Right. One thing I also wanted to understand is the split between the total seats MA and SL, can percolate into the operating seats as well? It will be similar, more or less?

Amit Ramani: So if you've looked at our guidance, we are basically saying that 65% towards managed aggregation and 35% towards straight lead. For this quarter, at a center level it was 64 -36, MA versus SL. But if you look at the seats, it is 67% MA to SL

Chintan Shah: Okay. And what is the proportion of the rental expense paid in the other opex numbers, if you can share?

Ravi Dugar: The lease payments, which are...

Chintan Shah: The MA share of rent expense ?

Ravi Dugar: One second. I'll just give you that. That is around INR26 crores for the quarter.

Chintan Shah: INR26 crores. And what it was last year and last quarter?

Ravi Dugar: In the last year, it was INR84.6 crores .

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Chintan Shah: Full

year?

Ravi Dugar: Full year. Yes, FY '24 it was INR84.6 crores . And in the current quarter, which is June 30, 2024 it is INR26.0 crores .

Chintan Shah: I was asking if you can share quarterly. Now, we are just building up the quarterly numbers.

Ravi Dugar: Yes. One second. I'll just share it. Yes. So last year same quarter was INR25 crores .

Chintan Shah: Okay. And by when? June last year?

Ravi Dugar: June quarter last year was INR18.67 crores .

Chintan Shah: INR18.67 crores . I'll check back. Thank you and all the very best.

Moderator: Thank you. The next question is from the line of Bijal Shah from RTL Investments . Please go ahead.

Bijal Shah: Hi. Thanks for the opportunity. So my first question is on how do you see the demand at this point in time since you are adding 40,000 seats? Do you think that it will be possible to increase overall occupancy from say, 471%, which we have seen during the quarter by end of the year by a couple of percentage points at the overall level? Or you can see some similar level of occupancy or slightly lower?

Sumit Lakhani: Yes. Hi. So if you look at in Q1 of FY '25, we signed demand contracts for almost about 11,000 new seats. So the new seat demand is anyways going strong and much larger than the kind of supply we are looking to add for the year. In terms of the way we track the businesses, we are very focused in terms of greater than 12 -month centre vintage occupancy. So that is closer to about 84% right now.

And that is where our endeavour is to keep between 83% to 85% on a consistent basis for centers with 12 -month vintage. On a blended portfolio level, it generally will vary from about 70% to 73% on a quarter -on-quarter basis depending on the number of seats which gets added or goes live in the overall quarter. So those are the kind of benchmarks we have for the next couple of quarters as we are going on a very high -growth trajectory.

Bijal Shah: Okay. Got it. Just a small follow -up on that. When you say you have done 11,000 new seats, so how do you calculate the new seat if somebody who is renewing his contract is not counted in this 11,000 new seats?

Sumit Lakhani: So basically, these are the new bookings which we make in the system. These primarily come from a new set of customers around and also factor in the expansions from the existing set of customers either in the same centre or in a different centre. As you would see, almost 36% of our customers are also multi -centre customers.

So these are primarily the new incremental bookings which are adding to the revenue. Now these bookings the seat, the revenue start date could vary from, let us say a week later to almost about, let us say, five to six months later.

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Bijal Shah: Okay. So these are absolutely incremental ones.

Sumit Lakhani: Yes.

Bijal Shah: Yes. Okay. Second question, I mean, just follow up on something else. So can you give us on the vintage portfolio on a blended basis, what price increase you actually realised in 1 Q FY '25 as compared to 1 Q FY '24? Because we understand that you look for some price increase but if you can give us an idea of what is the realised price increase on blended portfolio or on the vintage portfolio, it will be very useful.

Sumit Lakhani: See, I don't have the exact number but as I mentioned on an average basis around 5% is the kind of weighted average price increase which we would have on the overall portfolio from the existing set of customers. Now, this price increase generally happens once the contract for that set of customers would have completed 12 odd months. So in a single month there could be a lot of customers whose contract would be completing 12 months.

So it does not happen from a particular kind of a date. It happens from the date of the contract of that customer. And here also, as I mentioned for a

smaller cohort, which is generally less than

100 seater cohort the price increase is escalation is usually about 5% to 8%. And for a larger cohort it's about 3% to 5%. That's how the whole blend becomes about 5%.

Bijal Shah: Okay. And when you are managing somebody's office like a very large client with 300 kind of seats there also you have this kind of price hikes or where the price hike is in different fashion probably more linked to your cost increases?

Sumit Lakhani: No. So generally, it's an industry practice to have a price increase for even a larger cohort, let's say, like you mentioned about 300 seats to be in the range of a flat year -on-year escalation between 3% to 5%. Broad, you can say for a larger cohort the industry practice is closer to about 4 odd percent .

Bijal Shah: Thank you and all the best.

Moderator: Thank you. The next question is from the line of Raj Malhotra from Hemani Securities . Please go ahead.

Raj Malhotra: So thank you for giving me this opportunity. So I had a question. We are seeing constant increase in construction and fit-out business. So what is the major reason behind the same? And what kind of revenue can we expect from the same in FY '25?

Amit Ramani: So as we mentioned on the earlier question, a similar question was asked. The clear reason for the growth is obviously the India stack is growing, the growth of India. If you look at a subset, a large portion of the growth, almost about 35%, 40% comes from the IT sector. And those are three components, essentially. One is the global capability centers. Second is the IT offshoring business. And then the third piece is India IT offshoring that is growing.

The corporate growth in India, the startup and SME expansion that is happening. So all of that is contributing to the overall growth. Today, if you look at our total co-working business, we

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have about 2,600 clients that are live with us today. So that clearly gives us an opportunity to obviously offer them not just co-working services, but also offer them the design and build services. We are obviously very careful on the kind of customers that we are doing, we go after. So one portion of the business is our client business, which essentially is a landlord business, which drives towards our center. This is the capital that our landlord partners are giving towards expanding our centers. In addition, the third-party business, we are obviously selective. We have also built a strong business development engine. We have a team that is specifically focused on expanding the design and build piece. So those are the reasons that we are continuing to expand. The guidance for the year remains the same. So we had guided about 30% growth on our base of INR850 crores for fiscal '24. And the guidance remains the same.

Raj Malhotra: Okay, thank you. Sir, I have another question here. Have we added any specific lines in this business or are you willing to add any specific lines in this business?

Amit Ramani: I didn't understand the question. New business line?

Raj Malhotra: No, in this existing business, are there any specific lines you would like to mention?

Sumit Lakhani: So I would say this is focused around on commercial interiors. So more around on office spaces. If your question is are we going specifically into the design and build of warehouses or labs, the current focus for us is more on the office interiors.

Raj Malhotra: Okay, got it. Yes, thanks. That helps me. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Chintan Sheth from Girik Capital . Please go ahead.

Chintan Sheth: Thank you for the follow-up. One question only. On the seat addition guidance of 40,000, we added and operated this quarter somewhat around 5,000, 6,000 seats for the quarter. Is it just a timing issue? Because the pipeline

for the post-June seems pretty strong, but moving from the fit-out to operating or from LOI to operating, this quarter seems a little soft in terms of addition, net addition. Is it just a timing issue or you are just tracking the demand which is leading to some deferment of new addition this quarter?

Sumit Lakhani: So it's primarily the timing because it's not going to be a steady quarter-and-quarter linear expansion of seats for us. If you look at on a trailing 12-month basis, we have added about 30,000 plus seats over the last 12 months. It's this particular quarter that the seat addition is looking low, but if you look at, we already have about 11,640 seats under fit-out and for almost about 15,688 seats, the LOIs are in place. So we feel pretty confident with respect to hitting the 40,000-seat number.

Chintan Sheth: No, the pipeline post-June seems strong. I'm just looking at this quarter being a little off, so I was just thinking whether you are tracking the demand, whether the demand is coming through, then you are kind of operating ...?

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Sumit Lakhani: No, it's not that way. It's not that way. It's primarily around the national course of a center fit-out getting completed, we're getting a position from the space owner, the certain dependencies on the project around completion of the project, so it's more around on that aspect.

Chintan Sheth: Okay, and second on the transform business, what is the typical cycle of a particular site getting from zero day to completion, handing over to the landlord or third party?

Amit Ramani: So that varies on the type of, I mean the size of the center as it goes forward. But typically, I would say the cycle starts off with our real estate teams engaging with the landlords that could

take anywhere between two weeks to let's say six weeks to close the deal itself. And then typically once we get the possession, that would take anywhere between 60 to 90 days, depending on the size of the center for the fit-out to be completed.

And then obviously the occupancy buildup could be anywhere between three months to 12 months, depending on the location and the micro market.

Chintan Sheth: Okay, and last on the, if I look at less than one year tenure, it's around 11% in your pie chart presentation. This includes the very short cohort, very short time, short tenured contracts, or this is just certain contracts which are coming closer to the 12-month or six-month or three-month kind of period, which is leading to that seat, that falling into that pie, that share. Or if you can, if you can provide a proportion of smaller contracts in the overall seat occupancy.

Sumit Lakhani: If you look at the tenure bucket, we look at primarily from the seats signed up for the portfolio. About 70% of the tenure is where the customers have signed up for more than 24 months. Another 21% is where they have signed up between 12 to 23 months and 5% between 6 to 11, and 4% for less than five months.

So it's basically 9% of the customers where the tenures are less than 11 months. That's basically the use case of the customers. There are customers who would look at, who'd want to either start with a bit of a smaller tenure and then grow a bit longer tenures with us, or their original requirement is only for a kind of a shorter tenure.

Chintan Sheth: How should we manage churns for those short-tenured customers? Is it alarming or significant for us?

Sumit Lakhani: So this had been the nature of the business to an extent that over the last couple of years and quarters, we have seen the less than 12-month tenure getting reduced significantly. This number over the last couple of years would have been much higher for us. In terms of churn, we have had a consistent churn management around and it had varied consistently between 1.2% to 1.4%, and that we have been very comfortable

around. Rather, we think with the behavioral change

happening within the occupier, the overall lock-in tenures as well as the other tenures across every segment of cohort has increased significantly.

Chintan Sheth: Right. And whether we have seen, obviously there will be incidences, but whether we have seen churn in the landlord side, because certain centers doesn't perform as per either party's expectation and want to move out of it. And how should we manage the customers who will sign up for the centers and have to move to some other centers? How do we manage that as well?

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Sumit Lakhani: Yes. See, here's our strategy to have mid-size centers and more larger number of mid-size centers helps a lot. As I mentioned earlier also, in terms of our own portfolio, it's about a portfolio of 169 plus centers. So, the dependence on a single center with respect to revenue contribution is very, very less. Generally, let's say if there's a churn on the center also, we are able to consolidate the occupancy of that center to nearby centers as well. So, we don't end up losing customers. Rather, we are able to accommodate or bring them to any kind of a newer center in that micro-market. A lot of micro-markets across India, you would see more than of our centers available. Right.

Chintan Sheth: Okay. So, the better strategy is to have at least multiple centers in one micro-market so that eventually, at least we have some centers to help the client to get relocated or move to that center?

Sumit Lakhani: It's a diversification in terms of number of centers is a big differentiator. So, and there, we strongly have a very strong differentiation from the competition as well where they are set up very large centers in a single location.

Chintan Sheth: Correct. Correct. I agree. And yes, I think that's all from mine. Thank you.

Moderator: Thank you. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: Good morning, sir. My first question is on this the tenure side only. So, this 30% bucket which is less than 24 months, how long does it typically take you to refill it once the tenure is over which is less than 24 months, say in 11 months or 15 months? So, what is the gap between trying to refill this?

Sumit Lakhani: So, I'll explain to you the kind of process we follow with respect to our renewal management. We have an in-house digital system which we call as expiry 90 to manage all the renewals.

Generally, with respect to smaller cohorts, 90 days prior to basically three months prior to a kind of a customer lock-in period getting over, our teams have a decent level of probability whether the customer will renew or not renew and the engine shows up the kind of predictability around on it.

Now, this is that aspect the sales team get a kind of notice that this seat may go vacant. So, they already get about 90-day kind of head start. And then with respect to every customer, there's a

notice period in their contract of ranging from about one to three months. This I'm talking specifically about smaller cohorts with them. So, the sales team generally have a head start of what you can say three months prior and then a notice period between one to three months to sell the seat. So, that gives them a sufficient kind of a time to fill up the seat. And that's how the overall occupancy management is being done. With respect to larger cohorts, so that let's say greater than 100 seats or greater than 200 seats, the general notice period which we have for a customer ranges from about three to six months. So, the demand generation teams have a much longer kind of a period to generate the demands.

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If you would see basically, the way we have been able to do consistently for center

s which have

greater than 12 months of occupancy, we have been able to maintain occupancy percentages of you know, 83 % to 85%. So, that demonstrates that within the required kind of timelines, our teams are able to fill in these spaces and you know, replace them with a newer customer. We also look at churn in an interesting manner.

It's not that a churn is you know, generally bad. For a lot of centers which have become mature and let's say are more than 80% plus occupancy, if there is a churn of you know, smaller cohort, it also gives an opportunity for our demand teams to fill them with a seat realization which is higher than the average for that center and bring up you know, higher price realization for it. So, that's how we look at the business.

Aman Vij: And for the tenure which is greater than 24 months, typically how much is the notice period?

Can the contract still be cancelled within the 24 months also?

Sumit Lakhani: So, no. So, every contract generally has a tenure and has a lock -in tenure and a notice period along with it. So, depending on the size of the cohort. So, let's say we talk about a 100 plus seat er cohort and someone would have given us a tenure of 48 months and their lock -in is about let's say 36 months. So, a typical notice period we would have is about 6 months. So, the client is locked in for 36 plus 6 months with us.

If they want to terminate the contract before 42 months, they would have to pay us the remaining lock-in plus notice period value for that contract.

Aman Vij: Sure, sir. And if you can explain the same process for the supply side. So, what is our breakup in terms of the supply from our landlords in terms of the tenures?

Sumit Lakhani: Sure. So, we typically sign up you know, tenures with you know, a nine years kind of thing which is you know, five years of original tenure and then an extension tenure around. In a managed aggregation contract, the lock -in for both the parties between us and the space owner is about 60 odd months post which we both have the option to renew the contract. The obligation on the space owner is if they ask us to vacate the premises before the tenure, they have heavy kind of penalties with respect to the remaining lock -in tenure.

Similarly, with respect to us, we have to pay the written down value of the capex which the landlord has invested. I'm talking about you know, our general contracting scenario for managed aggregation. In an organic manner, because the space owner has invested capex, so they have a natural ability to renew the contract with us. Similarly, on the straight leases, the typical lock -in from the space owner side is generally five years and the lock -in from our side is three years.

Aman Vij: Sure. My final question is typically what is the rate of renewal in case of a managed aggregation versus a normal straight lease model? My understanding is that in managed aggregation, because they put in their own capex initially and it takes them a few years to recoup that, the lock -in, not lock-in, but the renewal rate should be much higher. But if you can explain what is the actual trend you are seeing in terms of renewal rate after the first amount of lease expires?

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Amit Ramani: So, as you rightly pointed out that in the managed aggregation, where the landlord partner has put down the capital, obviously, at the renewal point of five years, there is a better, a much higher chance because obviously with investing 25 -30% more, you can have another five years of revenue from that center. So, we typically see very, very high rates of renewal when it comes to the managed aggregation centers. Now, on the straight lease side, I think it's two ways.

If we have a, let's say we built out a dedicated center for a client and for that center, at the end of that tenure, if the client is not renewing, then to us, w

e would want to, if it's a dedicated center,

100% to a client and he's not renewing, then we'll give up that center. But typically, because of

the sizing of our centers and every center having a large portion of our portfolio, having centers where there are multiple clients, we are even in that scenario able to renew the straight lease. Obviously, it happens on market dynamics, whatever is the, at that point, the market rentals and so on and so forth.

But typically, we would want to renew that as well so that we get about a 10 -year tenure in the straight lease ones. Very small portions of business where there are dedicated centers, where the client is not renewing at the end of it, we would then end up giving up that center.

Aman Vij: So, just to complete this point, can you give some actual range in terms of renewal rate for a straight lease and for a managed aggregation as well as this dedicated center straight lease, just to give a range?

Amit Ramani: I would not have exact numbers, but I would say in case of managed aggregation, this would be somewhere in the 90 % plus range. In case of straight lease, this would be probably in the range of, I would say, between 80 to 90, somewhere in that range. I don't have the exact number with me, but I can get back to you on that.

Aman Vij: Sure. So, this number is still quite high, 80% plus, even if I assume. Is this a normal trend for all such large coworking players or is it something we are able to get 80% plus kind of renewal rate?

Sumit Lakhani: In terms of the way we have done, even in straight lease centers, actually, the renewal rates are much higher. It's primarily our will. If we don't intend to renew, it's when the landlord would want us to be out. Think it from a space owner perspective in straight lease. If an occupier gets changed for a property, they need to pay two months of property brokerage. Then they need to give a bit of a fit -out period to the new occupier.

So, a space owner ends up losing almost about five odd months in a break between two occupiers, even if they have a day one demand with it. Now, for us, because in a straight lease, we have put our capex. So, there is a kind of a very logical discussion which happens between us and the space owner with the guy on the other side going to lose about five odd months if we move out and we are ready to pay closer to market rental or the market rental.

So, there is no need for the space owner to vacate the center. So, that's why the renewal rates are much higher. So, from the way we look at it, we would want to renew almost every center unless and until we have a strong reason with respect to the demand, micro market or any kind of operational reason in that particular center to vacate.

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Aman Vij: Thank you for answering the question .

Moderator: Thank you . Ladies and gentlemen, that was the last question for today. We have reached the end of our question -and-answer session. I would now like to hand the conference over to Mr. Sumit Lakhani, Deputy CEO, for closing comments.

Sumit Lakhani: We thank everyone for joining the call today. We hope we have been able to give you a detailed overview of our business and also answer your queries. Should you have further queries or clarifications, please feel free to reach out to SGA, our investor relation advisors. Thank you and good day.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Dec 2024

Date: 19/11/2024

To,

National Stock Exchange of India Limited

("NSE")

Listing Department

Exchange Plaza, C -1 Block G, Bandra Kurla

Complex Bandra [E], Mumbai – 400051 To,

BSE Limited ("BSE")

Listing Department

Corporate Relationship Department

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Mumbai - 400 001

NSE Scrip Symbol: AWFIS BSE Scrip Code: 544181

ISIN: INE108V01019 ISIN: INE108V01019

SUBJECT: Transcript of the Earning call on financial results of Awfis Space Solutions Limited ('the Company') for quarter and half year ended September 30, 2024

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for financial results for the quarter and half year ended September 30, 2024.

The above information is being made available on the website of the Company at

<https://www.awfis.com/investor-relations>

This is for your information and record.

Thanking You,

For Awfis Space Solutions Limited

Amit Kumar

Company Secretary and Compliance Officer

M.No. A31237

Address: C-28 and 29 Kissan Bhawan, Qutub Institutional Area New Delhi 110016

Corporate and Regd. Office

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CIN: L74999DL2014PLC274236

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"Awfis Space Solutions Limited Q2 & H1 FY'25 Earnings
Conference Call"

November 12, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th November 2024 will prevail.

MANAGEMENT : MR. AMIT RAMANI – CHAIRMAN & MANAGING DIRECTOR
MR. SUMIT LAKHANI – DEPUTY CHIEF EXECUTIVE
OFFICER
MR. RAVI DUGAR – CHIEF FINANCIAL OFFICER

MODERATOR : MR. RISHITH SHAH – NUVAMA WEALTH PCG

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Moderator: Ladies and gentlemen, good day and welcome to the Awfis Space Solutions Limited Q2 & H1 FY'25 Earnings Conference Call.

As a reminder, all participant s' line will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rishi th Shah from Nuvama Wealth PCG. Thank you and over to you, sir.

Rishi th Shah : Good morning. On behalf of Nuvama Wealth PCG, I would like to Welcome You All to the Second Quarter Earnings Call with the Management of Awfis Space Solutions represented by Mr. Amit Ramani, the Chairman and the Managing Director, Mr. Sumit Lakhani, the Deputy CEO, and Mr. Ravi Dugar, the CFO.

So, without further ado, I'll now hand over the call to the "Management for their Opening Remarks" followed by a "Q&A Session." Thank you.

Amit Ramani: Good morning and a very warm welcome to everyone present on the call.

Along with me, I have Mr. Sumit Lakhani – our Deputy CEO, Mr. Ravi Dugar – our Chief Financial Officer and SGA, our Investor Relations Advisors.

For Q2 & H1 Results , we have uploaded our "Presentation " on the Exchanges, and I hope everybody had an opportunity to go through the same.

Let me start with a "Brief Overview of the Business for the Quarter." We are pleased to announce a strong financial performance in Q2 FY'25 with revenue growth of 40% year -on-year reaching Rs.292 crores. This growth was largely fueled by contributions from newly added seats as well as increased occupancy across our established centers. Our strategy to maximize utilization has proven effective with occupancy levels steadily rising in key locations.

Our Co -working and Allied Services segment grew by 43% reaching Rs.218 crores, driven by rising demand for flexible workplace solutions.

Similarly, our Construction and Fit -Out Projects, which includes our Design and Build business, saw a strong growth of 36% , reaching Rs.68 crores. This is supported by solid order pipeline and a favorable market condition.

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Our EBITDA saw strong growth rising by 67% year -on-year to Rs.100 crores with an EBITDA margin of 34.3%. This reflects an improvement of 5 50 basis points compared to the same quarter last year. This margin expansion was primarily driven by strong revenue growth, occupancy improvement, increased contributions from enterprise clients, allied services, and operating efficiency.

As of September 2024, our overall exit monthly occupancy rate stood at 73% with centers having operational for more than 12 months , reaching an impressive 84%. This solid performance underlines the ongoing demand for our flexible workspace solutions and reaffirms our position as a preferred provider in this sector.

I would like to share that we have exceeded 110,000 operational seats across 180 centers, Pan India, a significant milestone in our growth journey. Including centers in fit -out stages and letter of intent stages, our total capacity now surpasses 1,50,000 seats across 224 centers covering an extensive 7.6 million square feet. This expansion underscores our commitment to meeting the growing demand for flexible workspaces and puts us firm ly on track to achieve our target of 1,35,000 operational seats by March of 2025.

In response to the rising demand for flexible spaces in Tier-2 cities, we have significantly expanded our footprint in these emerging markets. We are present currently in Ahmedabad, Bhubaneswar, Chandigarh, Indore, Jaipur, Kochi, Nagpur, and our latest addition is in Guwahati which further strengthens our presence in these regions.

Since September 2023, we have increased our footprint in

Tier-2 cities by 43%, growing from 14 centers to 20 centers, underscoring our ongoing commitment to these high potential markets.

Now, let me "Highlight a Few Key Developments for this Quarter." I am excited to announce the launch of our First Elite Center at Aurobindo Orbit in Hyderabad's renowned H iTECH City. Elite by Awfis redefines luxury in flexible workspace sector setting a new standard for premium work environments. This exceptional space blends elegance with functionality, creating a sophisticated and inspiring atmosphere. Built with the commitment to sustainability a nd well -being, Elite offers an environment that nurtures creativity and collaboration. Featuring carefully curated amenities, it is designed to be more than just a workspace, it is an environment where professionals can excel in both comfort and style.

I am happy to announce that Office has signed a mandate to design, build and manage over 1.65 lakh

square feet new space for (NSE) National Stock Exchange at Adani Inspire in BKC. Mumbai . Awfis already operates a Coworking center in this building , and with this new deal it expands its footprint with two additional centers in the same building. This partnership demonstrates Awfis capability to deliver high quality work space solutions tailored to clients ' business needs and employee well-being .
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We are pleased to have built a strong partnership with Prestige, having collaborated with them on 16 centers that span 6,08,000 square feet of chargeable area.

Building on this foundation, we are excited to announce opening of three new Elite Centers in Mumbai, Delhi, and Bangalore. Expanding our total footprint to 8,13,000 square feet of chargeable area in total of these centers . Each of these centers is designed to be high end workspace , offering the very best in terms of location, design, and functionality. This expansion reflects our shared commitment to delivering exceptional workspaces and further strengthens our collaboration with Prestige .

In September 2024 , we successfully divested Awfis Care, our facility management business, to SMS Integrated Facility Services , a company known for its technology -driven capability. The divestiture will enhance operational efficiency by reducing administrative and compliance tasks, allowing us to focus more on our core flexible workspace business. It also strengthens our financial position by improving cash flow and liquidity, enabling strategic reinvestment in growth and technology. The streamlined cost structure will enhance the ROC , optimize capital usage and deliver stronger returns. Furthermore, this move allows us to sharpen our focus on leadership and flexible workspace market, emphasizing innovation, customer experience and service excellence.

To conclude, I would like to highlight that the flexible workspace market in India is on strong growth trajectory, driven by changing workspace preferences, technological advances, and economic factors. With current valuation at approximately Rs.108 billion, the market is projected to reach Rs.380 billion by 2028, reflecting a CAGR of around roughly 35% over the next four to five years. Awfis is well positioned to capture the demand with Grade-A workspace solutions in prime locations , offering premium design and project management.

Our Design and Build model deliver innovative workspaces, focuses on speed, quality, and flexibility, backed by advanced digital technology . With our expertise , operational efficiencies, and commitment to innovation , Awfis creates environments that meet high standards in design, functionality, and safety, ensuring success in evolving commercial real estate market.

Let me hand over the call to "Mr. Sumit Lakhani, our Deputy CEO, to share Q2 FY'25 Operational Highlights ."

Sumit Lakhani :

Thank you , Amit. Good morning, everyone.

I would like to share with you the "Operational Highlights for Q2 FY2025 ":

On the supply side, as of September 2024, we have successfully crossed 110,000 operational seats, marking a significant achievement in our growth trajectory . Since September 2023, we have launched

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52 new centers, adding 35,651 new seats to our portfolio. This expansion has allowed us to broaden our presence into nine Tier-2 cities and seven new micro markets, further strengthening our footprint across key emerging regions. Including centers under fit outs , we have now reached a total supply of 205 centers with over 130,000 of seats and 6.6 million square feet of chargeable area. Our presence in Tier-2 cities have increased by approximately 43%, growing from 14 centers to 20 centers since September 2023, demonstrating our continued commitment to expanding in high potential markets.

We continue to expand our managed aggregation share with 76% of seats, including additions and those under fit -out signed under this model. This approach aligns with our focus on an asset light , risk averse supply strategy and aimed at maximizing return on investment.

We have a strong pipeline with signed letter of intents for 19 centers , adding almost 20,000 seats and 1 million square feet of chargeable area. This progress gives us confidence in achieving our target of 135,000 operational seats by March 2025.

On the "Demand " side, we have signed demand contracts for 14,000 new seats in Q2 FY '25 and 25,000 new seats in H1 of FY '25. To give you a perspective, we sold a total of 37,000 seats in the whole of financial year 2024. Our revenue base continues to be highly diversified.

We have signed service agreement for two floors spanning approximately 1.65 lakh square feet with National Stock Exchange at Adani Inspire in Bandra Kurla Complex, Mumbai. Partial revenue for this transaction is expected to flow in Q4 of FY '25 and full revenue will start from Q1 of FY '26.

In terms of occupied seats, approximately 66% of our client base consists of large corporates or multinational companies, 20% are SMEs and mid -corporates and 13% are startups and the remainders are freelancers .

In our portfolio we have 39% multi-center clients. The contribution of 100 plus seat cohorts to our total cohort remains robust at 57%, reflecting the increasing confidence of clients in transitioning from traditional offices to flexible workspaces.

Our blended exit month occupancy rate was 73%. Occupancy typically increases as new centers mature or centers older than 12 months the occupancy rate stands at 84%. The total average client tenure is 33 months with a lock-in period of 24 months, demonstrating strong long-term client commitment. Our client profile is well diversified with 2,877 active clients as on 30th September.

That concludes my update. I will now hand over to "Mr. Ravi Dugar, our CFO for the Financial Discussion."

Ravi Dugar: Thanks, Sumit. Good morning, everyone, and a very warm welcome to everyone. Let me give you a "Quick Overview on our Financial Performance." For Q2 of '25, our consolidated operating revenue

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stood at Rs.292 crores, which is a growth of 40% on a year-on-year basis. The operating EBITDA stood at Rs.100 crores, which is a growth of 67% on a year-on-year basis. The margins stood at 34.3% as against 28.8% in Q2 of last year, which is a growth of 550 bps.

For H1 FY '25, our operating revenue stood at Rs.550 crores, which is a growth of 39% on a year-on-year basis. The operating EBITDA stood at Rs. 179 crores, a growth of 62% on a year-on-year basis. The margins stood at 32.6% as against 28% in H1 of last year, a growth of 455 bps.

On the iGAAP equivalent basis, which is adjusted for INDAS 116 lease rentals and other

Ind AS109

and Ind AS 102, for Q2 '25, our consolidated operating revenue stood at Rs. 292 crores, a growth of 41% on a year-on-year basis. The operating EBITDA stood at Rs. 44 crores, which is a growth of 160% on a year-on-year basis. The margins stood at 14.9% as against 8.1% in Q2 of FY '24, which is a growth of 690 bps.

For H1 '25, our operating revenue stood at Rs. 549 crores, a growth of 40% on a year-on-year basis.

The operating EBITDA stood at Rs. 73 crores, a growth of 191% on a year-on-year basis. The margins were at 13.3% as against 6.4% in H1 FY24, a growth of 690 bps.

For Q2 of FY '25, iGAAP equivalent depreciation was at Rs. 19 crores and finance cost was at Rs. 1 crore. For H1 of '25 iGAAP equivalent depreciation stood at Rs. 35 crores and finance cost at Rs.2 crores.

On Ind AS basis for Q2 FY '25, our cash EBIT, which is operating EBITDA plus other income less the actual lease payments stood at Rs.52 crores, which is the growth of 115%, and this number for H1 FY '25 is at Rs. 90 crores, which is a growth of 131% on a year-on-year basis.

On PAT in Q2 of FY '25, (PAT excluding exceptional items) is Rs.15 crores versus the loss of Rs.4 crores in Q2 of last year. In H1, PAT excluding exceptional items is Rs.17 crores versus a loss of Rs.13 crores in H1 FY24.

As of September 30th, our liquidity position is at a comfortable Rs.205 crores. The gross debt stood at Rs.28 crores. As a result, our debt-to-equity is 0.07, which was 0.14 in Q2 of last year. Our net debt-to-equity stood at (-0.42), which was (-0.17) in Q2 of last year. We see a further decline in our debt-to-equity ratio as our profitability and liquidity situation continue to improve. Our ROC on an annualized basis has improved from 68% in Q1 of FY '25 to 73% in Q2 of the current financial year.

This is all from our end. We now open the floor for Q&A.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Rishith Shah from Nuvama Wealth PCG. Please go ahead.

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Rishith Shah: So, I have actually three questions. So, the first question is regarding the design and build segment. So, we have highlighted that we have kind of received orders with about Rs. 175 crores in the first half. So, I just wanted to understand, of this Rs. 175 crores, what part would be executable in the second half and what would spill over to FY '26? Should I assume a part of this order book would also contain the NSE order?

Sumit Lakhani: So, with respect to the design and build, a portion of it will be booked around in H2. With respect to the overall guidance from D&B business, we have not specifically given any guidance with respect to the growth from FY '24 to FY '25, but our total guidance is about 30%-odd. So, you can expect the overall D&B business to also on a whole year grow at a 30%-plus kind of a scenario. Just a clarification. With respect to the NSE, that will not be part of the design and build, that will primarily go into space revenues, it's a managed office kind of a transaction.

Rishith Shah: Sir, second question actually was on the Elite brand that we have kind of launched this quarter. So, I just wanted to understand the rationale behind creating this new luxury or higher more than a premium brand when we already have Awfis Gold, it's already a premium offering. And also as to how the unit economics will differ in case of Elite in terms of revenue per seat or the CAPEX or the

margins?

Sumit Lakhani: See, if you look at , we launched Awfis Gold during the pandemic to cater to demand of large corporates who were adding flex to their portfolio. So , it delivers very strong value for customers seeking premium experience but with Elite what we are trying to do is , it is designed to offer an elevated workspace ecosystem for catering to lar

ger demand and premium workspace segment with

a focus on sustainable practices . The thought primarily stem from two key factors ; one, we see is that the market size of premium workspace segment is showing very strong growth over the past few years, and it is projecting to grow even further ; second is the sheer GCC demand in India, especially in the flex sector. So, with Elite , what we are trying to cater is the demand as a ready -to-move product for GCCs to experience and understand our capabilities before they take up a larger space with us. So, that is the primary goal and GC Cs are the primary target customers . And as I mentioned that the market size of premium workspace is growi ng. So, we also see strong demand from consulting , BFSI and larger startups. In terms of the economics, primarily in a same micro market as compared to a flagship Awfis brand, Awfis Gold generally charges a premium of about 15 % to 25% . From Elite we are expecting the s eat rea lization, which will be about 40 % to 45% higher than the Awfis product. In terms of the overall CAPEX , we are expecting the CAPEX to be about 20 % , 25% higher than what we do for our base Awfis product and our contribution margin profile because the Elite centers can come across both straight lea se as well as managed aggregation remains the same on what we have for the Awfis -based product.

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Rishith Shah: Just to follow up on this . In terms of the centers, what is the future? So , we have already kind of started one center and planned another four. How do we kind of plan on taking this brand going forward?

Sumit Lakhani: So, see, the current plan is we will have these five centers, that we have selected across key micro markets where we see a strong GCC interest , we will continue adding a few of these centers across the country . Just from a perspective , we generally as a company are not very aggressive with our expansion in terms of center s. So, we will see how the response is across these centers and then we will take a call.

Rishith Shah: Regarding our strategy about targeting the Tier-2 space , this quarter we entered Guwahati also. So , can you tell us more about the strategy and how do we see the centers growing in this area and also how the center occupancy is expected to ramp up in Tier-2?

Amit Ramani: So, the rationale for selecting the location, clearly Gu wahati acts as a frontier to northeast with huge opportunities. G uwaha ti also offers strateg ic location as it has an untapped market and obviously a market potential . It has lower operational costs and supportive government incentives , it makes it an attractive market for corporate offices . We feel that over the years we shall be able to get multiple centers in the city and cater to diverse ecosystem of demand. This center, obviously , the first one that we are going live in is about roughly 230 seats. We look to expand to another center shortly, making us almost 500 seats in this loc ation. The first center is a managed office with a large IT, ITES client and hence obviously the occupancy in this specific center is fairly good , almost 100% day one. In terms of your other question on Tier-2 markets, we are fairly confident of the Tier-2 expansion strategy. As I mentioned in my earlier summary, we have gone from 14 centers to almost now 20 centers , expanding our footprint in eight plus Tier-2 cities today . We feel that the economics going from 5 trillion to 10 trillion economy is going to be built on some of these Tier-2 cities coming into the fore front and we have a market leadership position . As for occupancy goes, I think it follows a similar approach that happens in our Tier-1 market. There are two types of strategies that we follow there. There is one where there we do a straight lease . In that scenario we would have to have a portion of the dem

and , 50% to 100% of the demand with us day one . The second we follow is our managed aggregation strategy where we expand into these locations in partnership with our space owners . And the path to occupancy follows the similar approach if I have the ready client day one. If not, then it follows the same process of anywhere between. six to nine months to get to 80 %-plus occupancy.

Moderator: The next question is from the line of Mohit Agrawal from IIFL Securities. Please go ahead.

Mohit Agrawal: My first question is your FY'25 guidance was a 30% year -on-year revenue growth and 1 .5 percentage point improvement in margins. And I am talking about the iGAAP equivalent numbers and guidance on that. If I look at your first half numbers, it seems you've already achieved close to about 60% of

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what your guidance was at the EBITDA level , again on iGAA P equivalent. So, then in that context,

how do you look at the second half performance? And in that case, do we see that this performance that we have delivered in the first half, especially the second half, is sustainable? And would that mean that your guidance stands revised or any comments that you want to share on that?

Sumit Lakhani: So, Mohit, you are right. We are witnessing a very good business momentum from H1, and this is actually accompanied by what we see as a consistent behavioral shift in the occupier segment towards the flexible workspace sector. As you would have noticed, I have mentioned around our total new seats sold in H1 of FY '25 versus what we did in the whole of FY '24. So, that would also reflect the kind of momentum we are talking about. With respect to the growth momentum and the overall occupier demand, it's very strong and consistently we expect it to happen over the next couple of quarters. With respect to the guidance, the one thing what I can only say is that we anticipate upside potential to the guidance which we have shared at the beginning of the financial year.

Mohit Agrawal: But with the second quarter performance of 40% revenue growth and close to 15% margins, is that a number that you expect probably to continue in the second half as well?

Sumit Lakhani: So, Mohit, I would probably not want to get into specifics, but what I would say is we are expecting consistency with respect to our numbers. And so from a full year's perspective, we are expecting that there would be upside potential to the overall guidance which we have given for the financial year.

Mohit Agrawal: My next question is on the seat pricing, and I was just trying to do some math here. What I am seeing is a meaningful increase in the monthly seat price even when I calculate it on a per square foot basis.

Just trying to understand that have you taken some hike which is over and above the usual 5% or is it a case of mix or if you could explain that if my calculations are incorrect, but I am seeing more than a 5% year-on-year increase in the seat pricing?

Sumit Lakhani: See, if you look at the overall trend with respect to our seat pricing, our seat pricing has a direct correlation with the micro market rentals. And as the overall CRE demand has increased, the overall micro market rents have increased and that is currently also reflecting in our seat pricing. So, in a couple of our new contracts of clients as well as when they are getting completely renewed, we see a larger kind of a jump in our seat pricing realization. So, that is one reason what you see. Second, I would primarily say on a quarter-on-quarter, there could be an overall variation in what we see as a seat realization. It's also a function of the total number of new centers which went live in various kind of micro markets. To give you an example, if we go in a Tier-2 city micro market with a very low seat rental, you will see lot of seats which will reflect a kind of a lower

seat pricing versus let's say if

we set up centers in a higher rental micro market, then you will see kind of a higher kind of a seat price. So, it's primarily a function on that. But, yes, overall, there is a trend towards higher seat realization.

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Mohit Agrawal: Do you think the higher seat pricing would have also contributed to the higher margins, or this would have been all offset in the way of higher rentals to landlords?

Sumit Lakhani: So, it is contributing because couple of centers with the higher realization from various customers have jumped in. One of the other reasons why contribution margins are getting impacted is because of the positive momentum we are getting from our alternate space revenue. So, that is also helping us with respect to the better margins apart from the overall seat price realization what you see.

Mohit Agrawal: One last clarification is on the Elite portfolio. The initial centers, could you share, are they all straight lease or managed aggregation or mix of both?

Sumit Lakhani: So, they are a mix of both, so they are straight lease and managed aggregation.

Mohit Agrawal: With the Prestige portfolio also, it's a mix of both or is it managed aggregation?

Sumit Lakhani: So, from a Prestige portfolio also, it's a mix of both, with respect to in few of them where there is the CAPEX contribution by Prestige and a share.

Moderator: The next question is from the line of Ashish Shah from HDFC Mutual Fund. Please go ahead.

Ashish Shah: Just a couple of questions. So, we did speak earlier about the guidance being broadly on the lines that we had indicated earlier. But this margin that we are seeing here of almost close to 15% for this quarter, is this how you would expect the margins to be going ahead given all the mix changes and diversification into Tier-2 towns, etc.,?

Amit Ramani: So, Ashish, I think obviously it's partly because of the operating efficiencies that we are able to drive in the business, a bit in operating leverage. So, as Sumit mentioned earlier, the guidance for the year obviously is going to be better than what we had given earlier and the margin profile obviously the business is continually looking to get these efficiencies and leverage into the mix. And I think we will be somewhere close to that itself for the rest of the year.

Ashish Shah: The blended occupancy is at about 73%. So, this is obviously better than close to 70% that we used to be earlier. And you think that given the rate of expansion that we are having, again, should one look at similar 73% plus/minus occupancy or do you think 70% still is a good benchmark to hold on to for the blended occupancy?

Amit Ramani: So, Ashish, for a year basis, I think the 70% blended would be a good benchmark to hold. Obviously, as you can see, we added about 10,000 seats in this quarter, but we also sold almost 14,000 seats. So,

the momentum of sale of seats for the H1 is almost 25,000 and for the full last year FY '24 we were at about 37,000 . So, I think the sales momentum is keeping up with the seat addition, but I think in
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terms of guidance, if you were to ask us, I think the 70% benchmark is a good benchmark for the whole year. This quarter, obviously , we have done much better than that.

Ashish Shah: Moving on to the cash flows, so this quarter we have done actually well ; we have generated positive cash flow. What would be the CAPEX number for the full year? I think first half, you've done something like 83 -odd crores. So, given your expansion plans, where would you put a year's CAPEX ?

Ravi Dugar : So, Ashish , we will continue investing in CAPEX basis our ROC . We will exceed the CAPEX guidance what we have given at the start of Q1, but obviously looking at our growth needs, we will keep

evaluating our CAPEX spends .

Ashish Shah: So, sorry , if I were to just recap the number, are we looking at Rs. 130, 140 crores if I recall , is that the number we have ?

Ravi Dugar: Rs.140 crores was the guidance what we had given at the beginning of the year and keeping the CAPEX in line with our growth we will keep evaluating our capex expenses .

Ashish Shah: But for this year, for the plans that are already rolled out, 140 seems to be like a number that to go by?

Ravi Dugar: Yes.

Ashish Shah: Obviously , we are doing well , the sector itself is also doing well, but we see that there is obviously a lot of competition also building up , right, a lot of other players are getting funded , and we're hearing a lot of new names coming up. So , how are you seeing the impact of that competition coming in -- is that impacting our ability to lease at reasonable rates or some sort of distortion is happening there ?

Sumit Lakhani: Ashish, the way we look at business is, in our business, the competition had always been since last seven to eight years . Now rather post -COVID what has happened is the top four players are taking a larger portion of the market and the whole competition has become more organized, which has become more interesting. So , we are not worried about the competition intensity because as of now what we see is , it has probably diluted a bit because it has become more organized and streamlined and because it's a kind of a physical brick -and-mortar business and the behavioral changes on the sector is there , so there is an extraordinary kind of demand across various micro markets , across various kind of products, which is driving it . Where we see our primary differentiation is a much larger network of centers , the ability to cater to multiple segment of occupiers, so someone requiring less than 25, 25 to 50 or 100 plus seats , ability to swim across various segment of customers or larger enterprises to startups , so these are the few differentiations which we think are strong votes for us and lot of our competition what we see players are very focused on one or two segments around. So , we feel very confident around on swimming across the current competitive intensity.

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Amit Ramani: Plus, Ashish, clearly our supply strategy is completely differentiated, right. Hence our capital requirement is probably the lowest and hence we get to about 70% on the ROC numbers, right? So, I don't think if you get a great amount of capital, you can just continue to expand. It's a very execution - heavy business and I think capital has a role to play. But I think the ability to cater to the demand we have 2 ,700 plus customers today and obviously the ability to cater to multiple micro markets , we are in 57 micro markets across the country today. So , I think that it differentiates and our ability to cater on the supply, having a differentiated model , and on demand catering to less than 100 seats, being almost 50% of our business , I think clearly differentiates us from the competition and I think we will continue to have healthy growth in the business.

Moderator: The next question is from the line of Adhidev Chattopadhyay from ICI CI Securities. Please go ahead.

A Chattopadhyay : Sir, the first question is on our expansion plans. We are around 150,000 seats with the pipeline. So, as we get into March of '25, any indicated number on the total operational plus pipeline which you are targeting ?

Sumit Lakhani: So, in terms of the operational seats, we are expecting to close at about 135,000 live seats and at any single point of time, we have generally about 10 ,000 to 20,000 seats which are under fit -out and a similar kind of seats, where we have signed the LOI. So, in March '25, I expect that we will be in a similar kind of a situation where we will have about 135,000 live seats, large n

umber of seats , 10,000

to 20,000 seats will be under fit -outs and then we will have signed LOIs of about another 10 ,000 to 20,000 seats.

A Chattopadhyay: So, to understand over the 135 ,000 seats would have another 40,000 seats or the under construction

plus LOI seats, right, is that the right way of understanding it over and above -?

Sumit Lakhani: Yes, you can assume around 30,000 to 40,000 seats over and above 135,000 seats across the category of under fit-out and signed LOIs.

A Chattopadhyay: Second question is obviously on the margins you already highlighted for the quarter, sir. But on the rental costs and other things, are there any one-offs or any one-time savings will be built in which may again come back in the next few quarters over there? Just a clarification on that.

Ravi Dugar: This is Ravi this side. No, there is nothing of that sort, except for the Care transaction which was shown as an exceptional item.

A Chattopadhyay: Sir, next question is on our whatever ESOP policy that we have obviously highlighted now, any expected P&L impact over the next few years or next couple of years rather on that or has it all just taken the normal dilution level?

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Ravi Dugar: Most of the vesting for the existing policy which is 2015 ESOP policy will get completed in the next two quarters and probably in the first quarter of the next year. So, after that, obviously, with the new policy coming in, we can expect a similar trend on the ESOP cost between the years.

Amit Ramani: So, to answer your question, there is no incremental impact, the impact that you see today has already been baked in.

A Chattopadhyay: Again, on the seat pricing, this is for obviously the normal Co-working which we do, right. So, any indication of year-on-year growth in the pricing of the seats which you would like to share for the normal Co-working which we do?

Sumit Lakhani: Primarily, most of our contracts generally have escalation clause built in. For larger enterprises, it ranges from about 4% to 5% for companies with smaller cohorts, about 5% to 7%, and this is how even our new sales are happening for this segment of customers. We expect it to continue in a similar line. Now, when we are signing up new centers completely on new clients, the seat pricing is a direct correlation with the base micro market rentals. And as of the current vantage point, what we see this CRE micro market rentals are growing up steadily, and that's why you see a kind of growth. I think for the upcoming couple of quarters at least internally we have a view that across major micro markets, there is a bit of supply constraint. So, the rentals will continue to be on a higher side.

A Chattopadhyay: Sir, I am just saying excluding the larger enterprises, right, for the normal retail, which we do, are we able to command now sort of higher pricing because obviously that would depend on the demand/supply, right, playing out in that specific micro market. So, -

Sumit Lakhani: Interestingly, if I can tell you and that's where our business becomes more interesting because a decent portion of our business, about 43% of our business also comes from less than 100 seats. The general trend we have over the last couple of years we have seen is the smaller cohort, the seat realization is always higher than the enterprise cohort. So, someone looking at 400 to 500 seats versus someone looking at 30-seater, the seat realization is always higher around for us. The competition in the less than 100 seat cohort is very limited. I am talking about the branded competition. So, we have good ability to get high realization in this segment, so prime leader in the Co-working segment, in the non-enterprise segment there because customers are looking at a very strong consistency of service within that segment as

well.

Moderator: The next question is from the line of Saatvik Shetty from IIFL Securities. Please go ahead.

Saatvik Shetty: I have two questions. Firstly, sir, if you can talk about the current growth trends that you are seeing in the commercial real estate space and the flex market, and what's the outlook there in the coming years and how you as Awfis are looking to capitalize on the same? And secondly, if you can explain the rationale behind the sale of your Awfis Care segment and what benefits do you see coming out of these transactions for you?

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Amit Ramani: Sure. So, on the first part, which is the growth trend, so we are witnessing obviously a dynamic shift in the sector. This is obviously marked by strong growth trends overall in the Indian office space market, which is projected to grow at about 6% to 8% CAGR. However, the flexible offices market is experiencing even more traction than the commercial real estate market. So, with the remarkable projected CAGR of 25% to 27% in the next five-odd years across Tier-1 and Tier-2 markets. In FY'24, the flex space leasing absorption was 25% of the total CRE absorption. Flex space industry size is looking to treble to about 380 billion by FY'28, right from the current about 108 which was in FY'24. The flex space workspace penetration is expected to increase to about 20% by FY'28 from the 10% currently. So, obviously, the key reasons that we see are - flexibility, customization, and the bespoke offering. Obviously, the rise of GCs in the country continues its momentum and the core plus flex or the hub and spoke strategies that the companies are implementing right now are still strong. And as far as we go, obviously, we are among the top five players in the country across all

organized players and when it comes to the network, we are the #1 in the country with the number of centers, plus clearly the strategy in terms of Tier-2, we have one of the largest coverages in Tier-2. We are also the only player to have a large portfolio of risk-averse supply, which is managed aggregation makes us capital efficient and risk mitigated. Last year, we had sold about 37,000 seats in a single year. This year in the first H1 itself, we have sold about 25,000 seats. So, very strong sales team that supports the supply acquisition team. And obviously we are one of the first players in the industry, we are the Pioneers in the Co-working space and so we believe that we can continue to keep that momentum and continue to differentiate ourselves in the space.

On the second part of your question on the Awfis Care transaction, we had strategically divested this transaction, to SMS, which is integrated facility management service company, strong in terms of technology and process. So, essentially, this is the transaction for about Rs. 27.5 crores. This move allows us to focus on our current business, position ourselves better in the flex workspace market, expand our network, and obviously drive innovation and the customer experience and technology integration. The benefit that we see in terms of the overall transaction, one, the divestiture will benefit us by reducing administrative overheads, a lot of compliances were required in terms of 3,000 plus people being directly on our rolls. It also enhances operational efficiencies while providing additional financial flexibility to invest in our growth and expansion. The transaction is expected to be cash flow-accretive, improving our working capital cycle, providing increased liquidity which will help positively impact the ROC E. This will also optimize the use of capital to generate higher and long-lasting returns for its shareholders. It reinforces obviously a commitment to delivering strong financial performance, operational excellen

ce and exceptional service to our clients and creating value for our stakeholders. So, those are some of the things that we believe will have a positive impact.

Moderator: The next question is from the line of Pranav Shrimal from PINC Wealth Advisory. Please go ahead.

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Pranav Shrimal: My question was that in the aggregation model, what can be the risk or what can go wrong with that model?

Sumit Lakhani: In a typical managed aggregation model, what we try to do is we try to create a win-win situation for us as well as the landlord. So, it's not a one-sided kind of an agreement. The primary risk we run in this managed aggregation model is that these are speculative centers. When I say speculative, that means that we need to build the occupancy of these centers post committing to sign up these centers. Now, the risk we run is whether we are able to build the occupancy in a right timeframe for these centers because if the occupancy is not built in the right timeframe, we will not be able to get the desired contribution margins for ourselves as well as the returns for the space owner. Generally to mitigate it, we spend a lot of time and resources in terms of running various kind of research of micro markets, buildings, and the potential demand in these markets. So, occupancy buildup risk is the primary risk in the managed aggregation supply sectors.

Pranav Shrimal: Sir, if vendor demand goes down, let's say over the time, so will this model be affected the most?

Sumit Lakhani: No. So, it works the other way around. The model will not be affected the most. Think of it this way, if we have a 700-seater straight lease center versus a similar size managed aggregation center and in the fourth or fifth year of operation of that center, the demand completely goes off in the micro market or the other aspect. In a straight lease, we will be more adversely impacted because we will have to continue paying the fixed rental. Now, in a managed aggregation, the impact of reduced demand or reduced occupancy is going to be shared between us and the landlord. So, we will be less impacted in managed aggregation versus in a straight lease kind of a center.

Moderator: The next question is from the line of Akshit from Niv eshaay Investments Advisory. Please go ahead.

Akshit: So, first of all I would like to ask what will be the effect of Awfis Care cost? It has around 3,000 employees. So, would we reduce employee cost?

Amit Ramani: So, if I understood your question correctly, the question was with the Awfis Care reduction of 3,000 employees, will it have an impact on our employee cost, right?

Akshit: Yes.

Amit Ramani: So, see, in this Awfis Care business, the employee cost is kind of a cost of goods, right, in some way. So, technically, the business went away, and the cost went away, so I don't think overall on the employee cost, there would be a major impact. But, obviously we had certain impact where the staff was not billed to the client. So, to that effect it will have a positive impact to the overall employee cost. It will actually go down a little bit.

Ravi Dugar: But that cost will come under other expenses line.

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Akshit: So, what number of seats are available under managed Awfis model and how many seats on the Co-

working model?

Amit Ramani: You are asking under managed office and under Co-working , what is the split . Broadly speaking about 30% of our businesses from managed offices and about 70% of our business is from Co-working .

Moderator: The next follow up question is from the line of R ishith Shah from N uvama Wealth PCG. Please go ahead.

Rishith Shah : Just one question in the Elite band. So, we have mentioned the number of centers that we are planning to go ahead with. But in

terms of seats, if you can tell us what is the seat count in the Hyderabad center and also the four centers that we are planning ?

Sumit Lakhani: So, the typical seats we are exploring is about 700 to 1 ,000 seats per center. So, that's the typical guideline with which the supply team is working. 700 seats is primarily across the Hyderabad center.

With respect to a few other centers , a couple of them are a bit larger. Their seats ranges from about 1,000 to 1 ,300. But from our overall expansion in Elite, we are looking at a sweet spot about 70 0 to 1,000 seats per center.

Moderator: The next question is from the line of Krishna Shah from Ashika Stock Broking . Please go ahead.

Krishna Shah : One small question. Do we plan to launch a SM REIT at any point in time to raise funds?

Sumit Lakhani: So, as of now there is no plan.

Moderator: The next question is from the line of Simanto from HS Securities Private Limited. Please go ahead.

Simanto : Just wanted to know that in terms of seasonality, how it affect s our business like QoQ or YoY if you can highlight on that ?

Sumit Lakhani: So, from the overall seasonality perspective in terms of the demand of seats, we don't see any kind of a major impact, some minor impact we see is a bit of seat signing gets a bit deferred for few weeks during the festival seasons or the end of the calendar ye ar, but it doesn't have any kind of meaningful impact on the business. On the cost side, there is a bit of impact on utilities. So, across various regions during the summer months, there is a bit larger impact and utility bills are a bit on a higher side.

Moderator: Ladies and gentlemen, due to time constraints, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

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Sumit Lakhani : We thank everyone for joining the call today. We hope we have been able to give you a detailed overview of our business and also answer your queries . Should you have further queries or clarifications, please feel free to reach out to SGA, our investor relation advisors. Thank you and wish you all a very happy and prosperous day.

Moderator: On behalf of N uvama W ealth PCG , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

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ISIN: INE108V01019 ISIN: INE108V01019
SUBJECT: Transcript of the Earning call on financial results of Awfis Space Solutions Limited ('the
Company') for quarter and nine months ended December 31, 2024

Dear Sir/Ma'am,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed the transcript of the conference call for financial results for the quarter and nine months
ended December 31, 2024 held on February 12, 2025.

The above information is being made available on the website of the Company at

<https://www.awfis.com/investor-relations>

This is for your information and record .

Thanking You,
For Awfis Space Solutions Limited
Amit Kumar
Company Secretary and Compliance Officer
M. No. A31237

Address: C -28 and 29 Kissan Bhawan, Qutub Institutional Area New Delhi 110016

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Q3 & 9M FY25
Earnings Conference Call
February 12, 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings
uploaded on the stock exchange on 12th February 2025 will prevail.

MANAGEMENT : MR. AMIT RAMANI – CHAIRMAN AND MANAGING
DIRECTOR
MR. SUMIT LAKHANI – DEPUTY CHIEF EXECUTIVE
OFFICER
MR. RAVI DUGAR – CHIEF FINANCIAL OFFICER –

MODERATOR : MR. GIRISH CHOUDHARY – SPARK INSTITUTIONAL
EQUITIES PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of Awfis Space Solutions Limited hosted by Spark Institutional Equities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Girish Choudhary from Spark Institutional Equities Private Limited. Thank you, and over to you, sir.

Girish Choudhary: Yes. Good morning, everyone. On behalf of Spark Institutional Equities, I would like to welcome you all to the third quarter earnings call of Awfis Space Solutions Limited. The company is represented by Mr. Amit Ramani, the Chairman and the Managing Director; Mr. Sumit Lakhani, the Deputy CEO; and Mr. Ravi Dugar, the CFO. I'll now hand over the call to the management for opening remarks, and then we can open up for Q&A. Over to Mr. Amit Ramani, sir.

Amit Ramani: Good morning, and a very warm welcome to everyone present on the call. Along with me, I have Mr. Sumit Lakhani, our Deputy CEO; Mr. Ravi Dugar, our CFO; and SGA, our Investor Relations Advisers. For Q3 and 9 months results, we have uploaded our presentation on the exchanges, and I hope everybody had an opportunity to go through the same.

Let me start with a brief overview of the business for the quarter. We are pleased to report a strong financial performance in Q3 FY '25 with a revenue growth of 44% YoY to INR318 crores. This growth was driven by contribution from newly added seats, higher occupancy across the established centers.

Our strategic center selection backed by research and groundwork has been instrumental in maintaining high occupancy levels. Our focus on maximizing utilization continues to yield results with occupancy steadily increasing in key locations. As of December 2024, exit month occupancy stood at 73%, while centers operational for over 12 months reached 84%, reinforcing our strong demand and our leadership in both flexible workspaces.

During the quarter, our co-working and Allied Services segment grew by 52% to INR243 crores, contributing 77% to the total revenue. Meanwhile, the construction fit-out project, including our design and build business, experienced a robust growth of 35%, reaching INR73 crores and accounting for the remaining 23% of our revenue.

Our EBITDA registered strong growth, increasing by 59% YoY to INR107 crores with a margin of 33.8%, an improvement of 320 basis points over the same quarter last year. This expansion was driven by operating leverage from higher occupancy in mature centers, successful absorption of additional seats and increased contribution from enterprise clients and allied services.

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I'm pleased to share that we have surpassed 120,000 operational seats across 193 centers nationwide, moving closer to our target of 135,000 seats operational by March of 2025. Including centers under fit-out and Letter Of Intent (LOI) stages, our total capacity now exceeds 160,000 seats across 237 centers, spanning an extensive 8.0 million square feet.

I'm excited to announce that as of today, we have surpassed the milestone of 200 operational centers. This achievement reflects our continued growth and commitment to delivering exceptional service.

The demand for workspaces in Tier 2 cities has risen significantly since the pandemic. While Tier 1 accounts for 80-85% of all commercial real estate demand, there is a growing trend in Tier 2 cities as well as e-commerce, quick commerce, IT services, both local and global, and

any global capability centers are increasingly exploring these cities for talent.

We are proud to say that Awfis is the first one to go into Tier 2 cities. We believe that India's \$5- to \$10 trillion economy is going to be written in these cities. In line with this trend, we are further strengthening our presence by expanding into another Tier 2 city, Lucknow. Since December '23, we have grown our footprint in Tier 2 cities by 29%, increasing from 17 to 22 centers, reinforcing our commitment to these high potential markets.

We are highly optimistic about the co-working sector, fuelled by strong demand for flexibility, speed and quality. The increased adoption of hybrid work models, the rise of remote work and the company seeking satellite offices instead of relying solely on centralized headquarters will drive continued demand. These factors, along with others, are expected to propel growth in the co-working industry. Barring any unexpected macroeconomic challenges, we foresee the sector growing at an annual rate of about 20% to 25%.

Let me hand over the call to Mr. Sumit Lakhani, our Deputy CEO, to share Q3 FY '25 operational highlights. Over to you, Sumit.

Sumit Lakhani: Thank you, Amit. Good morning, everyone. I would like to share with you the operational highlights for Q3 FY '25.

On the supply side, since December 2023, we have significantly expanded our footprint by launching 55 new centers and adding 41,786 new seats, strengthening our presence across 9 Tier 2 cities and 6 new micro markets. This strategic expansion has enabled us to cater to the growing demand for flexible workspaces in emerging business hubs.

As a result, our total portfolio now stands at 214 centers, comprising 142,000 seats and covering 7.2 million square feet of chargeable area. This milestone underscores our commitment to scaling our operations and enhancing accessibility for businesses of all sizes.

Our YOY growth trajectory remains strong. Operational seats and centers grew by 52% and 40%, respectively. Total seats and centers increased by 36% and 27%, respectively. We have a strong expansion pipeline with signed LOIs for 23 new centers, adding 18,000 seats and approximately 0.8 million square feet of chargeable area.

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On the demand side, we have signed demand contracts for 15,000 new seats in Q3 FY '25 and 40,000 new seats in 9 months of FY '25. Our revenue base continues to be highly diversified. Approximately 66% of our occupied seats are taken by large corporates and MNCs, while around 20% are occupied by SMEs and another 13% by start-ups with the remaining share attributed to freelancers. Additionally, 39% of our clients operate across multiple centers within our portfolio. Our blended exit month occupancy has remained consistent at 73%. And for centers older than 12 months, the occupancy rate stands at 84%. The total average client tenure is 33 months with a lock-in period of approximately 24 months, demonstrating strong long-term client commitment. Our client profile is well diversified with more than 3,000 active clients as on 31 December 2024. This concludes my update.

I will now hand over to Ravi, our CFO, for the financial discussion.

Ravi Dugar: Thank you, Sumit. Good morning, everyone, and a very warm welcome to everyone. Let me give you a quick overview on our financial performance.

For Q3 of FY '25, our consolidated operating revenue stood at INR318 crores, a growth of 44% on a YoY basis. The operating EBITDA stood at INR107 crores, which is a growth of 59% on a Y-o-Y basis.

The margin stood at 33.8% as against 30.6% in quarter 3 of last year, which is a growth of 320 basis points. In Q3 FY '25, our PAT, excluding exceptional items, is at INR14 crores versus a loss of INR6 crores in Q3 of last year.

On the IGAAP equivalent basis, which is adjusted for Ind AS 116 lease rentals, I

nd AS 109 and

Ind AS 102, our Q3 FY '25 consolidated operating revenue stood at INR317 crores, a growth of 45% on a Y-o-Y basis. The operating EBITDA stood at INR47 crores, which is a growth of 114% on a Y-o-Y basis. The margins stood at 14.7% as against 9.9% in Q3 of FY '24, which is a growth of 480 basis points.

For Q3 FY '25, IGAAP equivalent depreciation stood at INR22 crores and finance cost at INR2 crores.

On a 9-month basis for FY '25, our consolidated operating revenue stood at INR868 crores, a growth of 41% on a Y-o-Y basis. The operating EBITDA stood at INR286 crores, which is a growth of 61% on a Y-o-Y basis. The margins are at 33% as against 28.9% in 9 months of last year, which is a growth of 410 bps.

On the IGAAP equivalent basis, which is adjusted for again Ind AS 116 lease rental, Ind AS 109 and Ind AS 102, the 9-month operating revenue stood at INR866 crores, a growth of 41% on a Y-o-Y basis. The operating EBITDA stood at INR119 crores, a growth of 155% on a Y-o-Y basis. The margin stood at 13.8% as against 7.6% in 9 months of FY '24. This reflects a growth of around 615 bps.

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For 9 months FY '25, IGAAP equivalent depreciation stood at INR57 crores and a finance cost was INR4 crores. In 9 months of FY '25, PAT, excluding exceptional items, is INR70 crores versus a profit of INR7 crores in 9 months of last year.

Our ROCE on an annualized basis has improved from 63% in Q3 of last year to 76% in Q3 of the current financial year. The company continues to have a comfortable liquidity position, remaining debt-free at the net level.

Our debt-to-equity ratio at the net level has improved to (0.29) as of December '24 from a (0.28)

as of December '23. This is all from our end. We now open the floor for Q&A.

Moderator: The first question is from the line of Krishna Shah from Ashika Stock Broking .

Krishna Shah : So my first question is on the line of the construction and fit -out revenue is expected for this quarter now that we've already completed close to 45 days in this quarter.

Amit Ramani: Can you repeat the question? I didn't understand the question.

Krishna Shah : Yes. So my question is to understand the segmental revenue coming from construction and fit -out projects for Q4 FY '25 now that you've already completed close to 45 days of this quarter?

Amit Ramani: So our construction and fit -out business is in line with our guidance that we have given, which is roughly about 30% -odd growth. For this quarter, about 23% came from the construction and fit-out business and 77% came from our co -working business. This will continue in this -- almost in a similar kind of a ratio for the final quarter as well.

Krishna Shah : Okay. Got it. And can you just help me with what was the actual rental expense for the last quarter?

Ravi Dugar : One second. We'll give you that number, please give us 2 minutes.

Krishna Shah : Yes, sure.

Ravi Dugar : INR61 crores.

Krishna Shah : INR61 crores. And what was it for the 9 months of FY '25?

Ravi Dugar : INR169 crores.

Krishna Shah : Okay. And my last question is on the cost side. I just wanted to understand that cumulative, if we look at the employee expenses and other expenses have increased as a percentage of net revenue for the quarter passed by, so Q3. So can you just explain like what was -- what led to this increase in the cost?

Ravi Dugar : Sorry, you are saying in the quarter 3 of this year has increased versus what?

Krishna Shah : From the previous quarter as a percentage of net revenue ?

Ravi Dugar : No, but we have seen a decline in this quarter versus the previous quarter.

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Krishna Shah : For the other expenses?

Ravi Dugar : For employee benefits, you're saying?

Krishna Shah : Employee benefits have decreased majorly, I think, because ...

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Ravi Dugar Let me answer you. So what has happened is because of this transition of our Care business, the Awfis Facility Management business to an outside company, which is SMS integrated services, the employee expenses of the employees pertaining to that business, they have now -- the expense for that particular thing has moved to housekeeping and security services. So earlier, that expense was appearing as an employee benefit expense.

Now it is appearing as security and housekeeping expenses. That's why the other expenses have gone up, where at the same time, we see a decline in the employee benefit expenses.

Krishna Shah : Okay. And it will be -- it will continue in a similar manner going forward as well?

Amit Ramani: Yes. The accounting will continue to be in the similar manner. So this change has happened in Q3.

Krishna Shah : Got it. And in terms of the percentage of net revenue also will be on similar lines, right?

Amit Ramani: Yes.

Moderator: The next question is from the line of Akhil from Nuvama.

Akhil: Firstly congratulations to the management team on delivering such a strong set of numbers. I have 2 questions. First question is, could you please provide an update on the current status of the Awfis Care transaction?

Amit Ramani: Yes, you can go ahead Ravi.

Ravi Dugar: So as you are aware, our Facility Management division, namely Awfis Care were divested on a slump sale basis for a cash consideration of INR275 million, out of which we received INR255 million in quarter 2, which was recognized in the quarter 2 financials. Of the balance consideration of INR20 million to be received, basis certain milestones and fulfilment of certain terms and conditions as specified in the business transfer agreement .

INR17.21 million has been recognized during the current quarter ended 31 December '24. The same has been disclosed as an exceptional line item in Q3 and Q2 of FY '25 financial results. The remaining amount of INR3 million is expected to be received in the current quarter, which is quarter 4 of the financial year. So that will complete the transaction.

Akhil: Okay. Got it. Sir my second question is, so as we are seeing with several co -working space companies recently filing a DR HP, so how do you foresee the competitive landscape evolving? And what are the effects that these developments on the market position and the strategic plan? Additionally, how does Awfis perceive its position within this changing environment? And what potential impact could this increased competition have on your business?

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Amit Ramani: So industry, obviously, as we can see, is growing at a very, very fast pace, right. India's gross leasing has been the highest, 77 million square feet, the highest ever in our history. Flex continues to be very, very strong with between 20% to 25% of the share on a YoY basis. So this makes us believe that there's a strong and a large market and enough room for everyone to operate.

While we continue to hold the market leadership with 200-plus centers and our network, we believe that our ability to service our client base is very, very strong because of our product portfolio. If you look at the network, that gives me the ability to service almost 100+ localities today. So that means we can service clients in Tier 1 and a large portion of Tier 2 cities today. Second, clearly, we have built our product portfolio in a multi-tiered product.

As we had mentioned, our flagship product, which is Awfis continues to be about 85% of our portfolio. Awfis Gold, which is a bit premium; and then Elite, which we had talked about last time in our earnings call is -- combined is about 15%. So today, we can service every size of cohort and every price point in this country. And we believe that this network with this multi-tiered kind of product portfolio creates a completely differen

tiated model.

Second, on our supply side, we have talked about the managed aggregation model which makes us risk mitigated when it comes to our occupancy build-up because in majority of our portfolios, almost 65% today, we are partnered with our landlord, which is in a profit share model and the minimum guarantee is typically about 50% of the market rental.

Second, a majority of the capital in this situation comes from our landlord partner. So this does 2 things. One, it makes us asset-light. And second, it mitigates a large portion of our risk. So on the supply side, that makes a big differentiator. And that results in a high return on capital employed for us. As Ravi mentioned earlier, it's about 75% plus. And we are one of the only few players, branded players, which are catering to all sizes of cohorts, right?

We have talked about almost 55% of our portfolio today is more than 100 seats, 45% is less than 100 seats and which we see as a big competitive advantage. Plus, we have the opportunity to have an integrated platform, which creates multiple upselling opportunities. We are expanding D&B and our tech-led verticals.

So we are confident that we'll continue our upward trajectory based on these differentiating factors. And we believe the market is large enough that many large players can operate in this space.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: A great set of numbers. A couple of questions. If I look at the MA shift, when we say the 73% occupancy despite we adding significant seat addition, how do you feel the occupancy to sustain at this level given the demand which we are witnessing in the market?

Sumit Lakhani: See, we expect the occupancy rate to stay stable in the future as well because this aligns the occupancy and the demand aligns with the velocity of our supply addition and uptick in our sales velocity and lower churn. If you see in this financial year so far over the 9-month period, we

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have sold closer to about 40,000 seats. In the full of last financial year, which is the financial year of '24, we sold closer to about 36,500 of our seats.

So there is a great increase in the overall new seats sold velocity. And at the beginning of the year, we gave the original guidance that the blended occupancy at the whole portfolio level was expected to be about 70% to 73%. The greater than 12-month center vintage occupancy is expected to be between 83% to 85%.

So we continue to track well on these numbers. Even the new centers which we are signing up, we see within 9 to 10 months that we are able to hit about 85% kind of occupancy. So with the growing portfolio, we are very confident with respect to maintaining the overall blended occupancies.

Chintan Sheth: Right. Great. And if I look at your average seat revenue on the occupied seats on the total specifically, even if I look at that, has stayed firm despite incrementally the Tier 2 centers are getting added in the system, right, which I presume has relatively lower rentals versus the metro or Tier 1 city. So incrementally, how do you see -- given that the model itself has a 5% escalation every year, how do you see your seat rentals likely to pan out going forward?

Sumit Lakhani: Yes. See, at a portfolio level, it's a very interesting kind of question. I'll probably give you a bit more deep dive into the way we look at the seat pricing and the whole -- the way model works. The seat pricing has a direct correlation to the micro market rental and the minimum guarantees,

which we have signed up with the space owner or at that prevailing period of time. In the existing client contracts for smaller cohorts, the general escalations, which we have tied in ranges from 5% to 8% in terms of the larger cohorts, the price escalations are usually between 4% to 6 -odd percent

t. So at the time of renewals, we get these kind of price increases. But in an up rental kind of a cycle like what we are seeing right now, any new customer which comes in that center, we are able to get a much higher kind of seat realization because the seat realization is directly reflecting the current kind of rental trend.

Now because we are across 50 -plus micro markets, over 100 localities, different buildings, which have very different kind of rental profile, the blended seat pricing prediction also becomes a bit of a challenge. But on an overall basis, when we look at building our financial models, we look at closer to about 85% of the business continues to come from our Tier 1 cities, about 10% to 15% is coming from Tier 2 cities.

And a couple of Tier 2 cities don't have lower rental profile as well. So at an overall level, at a seat realization thing, we expect the seat realizations to be on a similar kind of a trend.

Chintan Sheth: Great. Great. A couple of bookkeeping questions, Sumit. One is on the profit share rentals, if you can provide for the quarter and 9 months vis-a-vis last year, just to have that sense of profit share of rental. You provided the total rental cost, but if you can share the profit share under the MA model would be great.

And second is on the ancillary revenue. What is the percentage right now? Because in the opening remarks, you mentioned that ancillary revenue is one of the key driver for the growth.

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If you can provide how that ancillary revenue has trended over the last 9 months or quarterly vis-a-vis last year.

Ravi Dugar : Just give us a minute, we'll give you these numbers.

Chintan Sheth: Sure. I'll come back in the question queue. .

Moderator: Should we move on to the next question? The next question is from the line of Aman from Astute Investment Management.

Aman: Are you through with your calculation for the last question? Or should I wait...

Sumit Lakhani: No. Please go ahead with your question...

Aman: Yes. My first question is on our seat cohort. So we have around 3,000 -odd customers. Could you talk about how many of these customers take, say, greater than 100 seats?

Sumit Lakhani: Yes. Almost about 58% of our customers have taken -- I'm talking from a seat basis, 58% of the customers have 100 -plus seats.

Aman: That number I have, sir. I was talking in terms of number of customers.

Sumit Lakhani: In terms of the number of clients, I think that number is not handy with us currently in terms of the number of clients on a cohort -wise basis.

Aman: Okay. If you can share it in later part of the call.

Sumit Lakhani: Sure.

Aman: Yes. And my another question on this cohort of 100 -plus seats could you also talk about -- because it is a very wide cohort, there will be some customer taking 300 seats, 500 seats. So is there a median in terms of number of seats that the customer take in this cohort because average won't be the right number to take. And what is the typical churn rate of in this type of customer?

Sumit Lakhani: Sorry, can you repeat the second part of the question? I could understand the first part where you're asking in a 100-plus seat cohort, what is the usual median of seats which we look at?

What is the second part of the question you asked?

Aman: The second part was the churn because beyond the point, it might make sense for customers to look at their own centers. So just wanted to understand. Say, if a customer is above 300 seats to 500 seats, then it is more likely to churn. What kind of churn are we seeing in greater than 500 seats versus between, say, 100 to 300 seats ?

Sumit Lakhani: Sure. Okay. So in terms of the average seats in 100 -plus seat cohort, what we see is broadly is about 360 approximately in our current portfolio. To your question -- earlier question on the number of clients for greater than

100 seats is closer to -- it's about between 140 to 150 clients

who would have taken more than 100 seats. Now it's a very interesting point where do a client

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looks at setting up their own center versus continuing to be in co-working or continue to be a

flex space.

Now the first part to this is we create a usual cost of ownership for a customer when -- in terms of choosing co-working versus their own space. Till about 200, 250 -odd seats, the total cost of ownership if a customer ends up choosing a flex space is in favour of flex spaces versus setting up their own office and the savings ranges from about 3 %-odd to 20 %-odd. Smaller the cohort, it is better for the overall customer to do it.

In terms of the larger cohort of 200 -plus or 250 -plus seats, the customers are generally choosing flexible operators for multiple reasons. One, they are looking at tenure flexibility. If you set up your own space, one is looking at being in that space for almost 7 to 8 years and depreciating the whole asset. So CFOs of those companies prefer doing that.

Whereas if an operator like us is giving a 3 - to 5-year kind of a lock -in also, it serves a great kind of flexibility for these customers. So flexibility in terms of tenure is one reason why a larger cohort, let's say, 300, 500 -seater cohort ends up choosing this.

Second, a lot of companies now are also not sure in terms of the overall business model, the growth and they want the option to upsize and downsize around. That's the other reason. The third, which is a massive reason and which brought about the behavioural change in the overall sector was the rise of distributed working.

Today, the companies are looking to set up more than one office location in a single city. And that's the reason why we are seeing that the average size, what we talked about is increasing in terms of the flex portfolio. So these are the kind of your 3 reasons.

Till about 3 years back, I would have given you a very clear answer that 300 to 400 seats is the cohort beyond which people will end up setting up their own convention office. But the kind of deals we are seeing in the market and the kind of customer profile, this number is going upward of 500 or 600. That's probably a kind of a cut -off in my mind where people should end up looking up their own offices.

Aman: Sure, sir. This helps. Just one clarification. The number you said 360, is it average? I was looking for the median number, which is the most common, not the average because...

Sumit Lakhani: Right. So the current available data point which I had was around on the -- we'll see if I can give you by end of the call.

Aman: My second question is on our MA model, sir. It is a very remunerative model for our company and even for landlord, it is good because ROCs and everything is quite good. So we have explained in previous call that -- so there are 2 returns that landlord gets. One is obviously the rental yield, but he's also getting a part of profit share. And we had explained that the yield on the capex that the landlord does is around 10%, 11%.

This is in addition to whatever return he's getting from the rental yield. So this question is on this capex and this 10%, 11% yield. So is my understanding correct if a landlord is entering in Awfis Space Solutions Limited

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an MA model and he's spending his own money, then he's getting 10%, 11% yield. So to get back that money, he will need 9 to 10 years of lease to get back the money he has spent on capex. Is my understanding correct?

Sumit Lakhani: See, the way I look at is the rental yield on a warm shell basis is closer to about 5% to 6%. Now in terms of the return on capex, I would say it is primarily the return on -- it's more like an interest he's earning on the capital he has spent, right? So that is -- w

hen we say about 10% to 11 %-odd is the kind of return on that capital they look.

On an overall basis, from a landlord perspective, their usual payback ranges between 4 years to 5 years for the capex or a bit lower than that.

Aman: Sorry, if the yield is 10%, how is the payback 4 to 5 years? You're including...

Sumit Lakhani: No, it's not the yield which is 10%. I'm saying, let's say, someone has spent about INR5-odd crores towards the capex. So the annual interest or the return they get on that INR10-odd crores, only just the principal amount itself is about INR40 lakh, INR50-odd lakhs -- sorry, yes, INR50-odd lakhs, 10 %-odd.

And the overall payback period of the capital in which the total capital gets returned for the space owner is much lower in terms of the number of years because -- so that's how it works, right?

Moderator: The next question is from the line of Mohit Agarwal from IIFL Capital.

Ravi Dugar: So Mr. Chintan, here are the numbers what you wanted. Profit share for 9 months is INR59.4 crores. 3 months is INR19.4 crores for the current quarter. And ASR revenue for Q3 is INR31.5 crores, which in last year was INR15 crores for the quarter 3 of last year, which is a growth of 110%. Mohit Agrawal: Congratulations to the team on great set of numbers. My first question is on margins. And if I look at your iGAAP equivalent margins, you've been clocking in for the last 2 quarters, about 15%. Is this the new normal, at least in the near term? Or this

margin number could be vulnerable to the kind of seat additions that you make?

So in the next -- to meet your guidance, you'll do almost 130,000 seats that we'll have to operationalize. So how do we look at the margins number? And if you could give some color on how do we expect this over the medium term?

Amit Ramani: So Mohit, I think clearly, when we started the year, the guidance that we had given was about 1.5%. And obviously, we have done much better than that. I think as far as the seat addition goes, I think the trajectory has been almost similar. As Sumit mentioned earlier, we're looking to add in terms of supply about 40,000 new seats by March of '25.

And the velocity of our seat sale has improved considerably from last year, where last year, we had -- for the full year, we had done about 36,000 odd seats. We have already for the 9-month period, done about 40,000 seats. So obviously, our seat addition is in terms of our new seat sale are keeping in pace and they'll continue to be in that direction.

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So we have seen our operational EBITDA growth from 9.9% in Q3 of FY '24 to currently approximately the 15-odd percent, which is obviously improvement. So this in itself is a significant improvement on back of our very strong revenue growth, occupancy, improvement in enterprise client, allied services, operating efficiency.

So at the beginning of the year, we had given the guidance of 1.5%. What we have achieved right now, I think we'll continue to maintain that for at least next quarter. And we will, at the end of next quarter in May, give the guidance for FY '26.

Mohit Agrawal: Okay. And actually, that was my next question, but just if you could give some color on what kind of seat addition considering the demand trends and the LOI sign, should we expect more or less the FY '25 is done? So just in FY '26, should we expect you to continue a 40,000 kind of a number in terms of seat addition? Could it accelerate? Just a broad color or directional color would be fine.

Amit Ramani: Yes. So Mohit, without going into specifics, I would just say we -- at the beginning of the call, we gave the guidance of about 120,000-odd seats that are operational today. In terms of under fit-out and with centers where we have signed an LOI, we have an additional 40,000 view. Our guidance for this full year was 135,000 seats. So we already -- ope

rationed seats.

So we have a clear visibility of another 25,000 seats on top. So for FY '26, we feel very, very strong about the continued growth of our supply addition of our seats. I would not want to make a specific comment on specific numbers. We will provide that at the next quarterly call.

Mohit Agrawal: Sure. That's fine. And one last question on the construction fit-out business...

Moderator: The next question is from the line of Ayush Saboo from Choice Equity.

Ayush Saboo: Can you give us some insights regarding the rent per seat for the MA model and the SL model and also the capex cost that we incur per seat for the MA and SA model?

Ravi Dugar: Yes. So the capex cost what we are incurring at this point of time is in the range what we gave in the prospectus. It is in the range of around 54,000 per seat kind of a thing.

Amit Ramani: So that's a blended between MA and SL. And obviously, an MA model, our side -- from our side, that's a lower number. And when you do a straight lease, that's a higher number.

Currently, managed aggregation is about 65-odd percent of our portfolio and 35% is straight lease. So when you blend it together, it's that 54,000 odd that Ravi mentioned. And hence, our return on capital employed ends up being much higher around the 75% plus range.

Ayush Saboo: Okay. And also, can you differentiate between like if you have to say like rent per for the MA model and the SA model? So what would that be?

Amit Ramani: So that is not really relevant because when we establish a center, be it MA center or a straight lease center, the seat realization is a reflection of the micro market rental. It is not a reflection of the model that we are deploying. So that is neutral as far as it goes. It just depends on the micro market rental and obviously, the specific city and micro markets that we are operating in.

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Ayush Saboo: Okay. So I mean, there's no way we can take an average rental per seat on a consolidated basis.

Ravi Dugar: That you can still do. The only thing for us, that rental is a function of the micro market where we operate in. But at the company level, you can calculate that number obviously.

Moderator: The next question is from the line of Yashowardhan Agarwal from Arthya Wealth & Investments.

Yashowardhan Agarwal: I had few questions on co-working as well as on construction about segment. So on the co-working question was that, what are the center level EBITDA margins in S L model versus MA

model. And the other question had been answered. So the first question is on this?

Amit Ramani: So in terms of the -- as I think we have given the original guidance around it as well, when we do a straight lease, the margin -- the contribution margin at the center level ranges between 30% to 35%. When it comes to the MA model, this ranges between 20% to 24%, depending on the structure with the specific landlord and such and the amount of investment that is being put in. So that's where the blended then obviously comes somewhere in the range of about 24% to 25 - odd percent.

Yashowardhan Agarwal : Got it, sir. And sir, on the construction and fit-out segment, so I want to know that how the segment is panning out. And out of the revenue that we have done in this quarter, let's say, the total revenue of D&B segment of these construction was around INR75 crores. So out of INR75 crores, what part of that has come from our own business, let's say, the capex that has been done by the landlord. And what is the revenue that has come from the third party? And how does the margin profile on both look?

Amit Ramani: Yes. So in terms of the revenue, it's almost a 50 -50 split. 50% of the revenue comes from what the -- our landlord partners are giving to fit out the center and about 50% comes from third -party clients. At a contribution margin level, this business

is somewhere in the -- about blended between 16% to 17% margin.

Yashowardhan Agarwal : Okay. And sir, how has the growth been for the third -party segment in this?

Amit Ramani: Growth has been fairly good. If you look at it on a YoY basis, it's about 40% -odd growth that has happened in this segment.

Yashowardhan Agarwal : Okay. Got it, sir. And sir, other question on construction fit -out is that what is the working capital requirement?

Amit Ramani: Sorry, can you repeat the question?

Yashowardhan Agarwal : Yes, sir. On the construction and fit -out segment, what is the working capital requirement?

Ravi Dugar : On the working capital requirement, you can get the number from the segment result. However, to answer your question, the requirement comes from as the construction progresses ., We keep on billing the customer basis the agreement which has been signed with the customer. So it could be maybe a construction completion.

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then we build to the customer once the construction is completed or there could be a milestone - based billing also. So the working capital requirement normally arises from that side. So until the time we bill to the customer, it consumes our working capital.

Moderator: The next question is from the line of Shubham Kadhi from 3A Financial Services.

Shubham Kadhi: Yes. So I can see that quarter -on-quarter, the PAT margin that is the profit before exceptional items, the margin has pretty much remained the same. So actually that has decreased a bit. So can we expect the same margins going on? Or what can be the guidance regarding the PAT margin?

Ravi Dugar : So at the beginning of the year, obviously, we gave a guidance, which was 1.5%, and we are delivering more than that. So in the next quarter, what we can say is we'll continue with the growth trajectory what we are seeing right now. However, for the next year margins, FY '26, we'll give a guidance maybe in the next quarter call.

Shubham Kadhi: Okay, sir. And the blended occupancy rate is around 75%, 74% to 75%. So do we see it increasing to around 80%, 85% in the next couple of years?

Sumit Lakhani : So in terms of the current next couple of quarters, we expect it to be in the range of about 70% to 73% on a blended basis. Over -- gradually over the next couple of years, you will obviously see the overall -- the blended occupancy going up higher because the 12 -month plus blended occupancy ranges between 83% to 85% for us.

So centers with a vintage of 12 months plus. So as there are more centers as a percentage of the total portfolio, which are in 12 -month plus vintage, you will see improvement in the overall blended occupancy as well.

Shubham Kadhi: And one of the questions asked by the previous analyst regarding the profit share in the MA model. Is that figure available to us right now?

Sumit Lakhani : Yes, I think we shared, right?

Ravi Dugar: Just to call out the numbers again. For 9 months, the profit share is INR59.4 crores and for the quarter, it is INR19.4 crores .

Moderator: The next question is from the line of Sabyasachi Mukerji from Bajaj Finserv.

Sabyasachi Mukerji: First question is on the cash flows. If you can provide the cash flow from operations number for 9 month FY '25, corresponding to the iGAAP equivalent EBITDA number of INR119 crores that I see in the presentation, that would be helpful.

Ravi Dugar : So Sabyasachi, I mean, there's no requirement to disclose the numbers in the 9 -month period. However, we had done that in H1, and we'll be doing that in the full year earnings call.

Sabyasachi Mukerji: If you can disclose the H1 number?
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Ravi Dugar: H1, please can you just give us a moment. Just give us a moment, we are opening the file for H1.

Sabyasachi Mukerji: Yes. Sure, sure. And also, if you can

give the FY '24 number as well, full year number.

Ravi Dugar: Sure. We'll come back on this. Just give us a minute. We are opening the file over here.

Sabyasachi Mukerji: Sure.

Ravi Dugar: So for FY '24, the cash flow from operations, including the income taxes paid, the net cash flow was INR229 crores. And for the 6 months period, the net cash flow from operating activities was INR210 crores.

Sabyasachi Mukerji: No, no.

Ravi Dugar: All this is Ind AS.

Sabyasachi Mukerji: I'm asking for the iGAAP equivalent cash flow number because this cash flow number is inflated one, right?

Ravi Dugar: Yes. So the iGAAP EBIT number, cash EBIT, what we usually call it for H1 is INR90.4 crores.

Sabyasachi Mukerji: And for FY 24

Ravi Dugar: For FY '24? One second. So meaning you want the H1 of last year.

Sabyasachi Mukerji: Full year.

Ravi Dugar: Okay. Just give us a second.

Sabyasachi Mukerji: Sure. The reason why -- I mean, in the meantime, the reason why I'm asking is I'm going through your annual report and cash flow statement -- consolidated cash flow statement, where it says that INR228 crores is the net cash flow from operations, but there is some -- there are 2 elements on the cash flow from financing activities, particularly on the payment of principal portion of lease liability and interest based on lease liability.

Both this put together is close to INR174 crores, INR175 crores. I believe this number has to be adjusted to derive at the true cash flow number. If my math suggests right, that number is somewhere around INR54 crores, INR55 crores for the full year '24.

Ravi Dugar: The cash EBIT number for the last financial year was INR97 crores and for H1, it was INR90 crores.

Sabyasachi Mukerji: Yes. But the true cash flow from operations number should be somewhere around INR54 crores, INR55 crores for FY '24. Am I correct?

Ravi Dugar: It was INR97 crores. cash EBIT, yes.

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Sabyasachi Mukerji: Okay. Maybe I'll take this offline on the calculation front. But again, coming back to that number, so if it is INR97 crores on that number, we had done almost, I think, INR144 crores of capex last year. So basically, our free cash flow is negative for FY '24. And I believe H1 is also negative. So going ahead, what are our plans for the funding to sustain this kind of growth?

Ravi Dugar: So right now, as I mentioned, we are a net debt -free company. Our debt to equity is minus 0.29. So we are sufficiently funded on the -- and our liquidity position is very comfortable at this point of time. And our internal accruals are also very strong. So to answer your question, the first part, yes, last year, it was the net cash fund flow was a negative one.

We were managing part of the capex from our own sources, equity, not from the generations.

However, this year, we'll be somewhere -- we'll be mostly meeting our capex requirements through our internal accruals, I mean given the kind of profitability what we're experiencing.

Sabyasachi Mukerji: Okay. So there will be no need for fund raise for the expansion plans?

Ravi Dugar: If you're talking Q4, obviously, no, we are not going anywhere for a fund raise. Next year, I'll not be able to comment at this point of time.

Moderator: The next question is from the line of Ashish Khurana from ANK Capital.

Ashish Khurana: So I had 2 broad questions around competitive intensity that we are seeing in this sector. So firstly, on the demand side. So as far as I can tell in the co-working space, there is no Indian brand with top of the mind recall, especially among the working population, probably because the sector is in an early stage. So now it can be argued that Awfis is uniquely positioned because, firstly, I think the sheer number of centers are high.

And secondly, I think because of addressing smaller cohorts as well, the company is relevant

to

a larger number of people in general. So my question on this was, do you think going forward

in this industry or in this space, a consumer-facing brand with good recognition and identity would be of relevance?

And if so, what are the efforts that the company is putting in that regard? I mean, not just the efforts in terms of investments, but also in terms of execution, if we are conscious about that and putting specific efforts with regards to that?

Sumit Lakhani: Yes. Thanks, Ashish. It's a very interesting question, and you answered a part of it for us. So the way we looked at approaching the brand was also by touching base into a larger kind of a customer segment, both smaller, midsize and larger cohorts and creating a much larger kind of a network. Now the way we look at our overall brand positioning and strategy is similar to what we say as of a hospitality player.

If you look at -- we have created a multi-tiered approach in terms of product, Awfis, Awfis Gold and Elite. In our internal discussions, we look at similar to like a C chart by Marriott and JW kind of approach to life. Across every brand, every center, there is a very consistent kind of experience which a customer gets.

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And this is where -- because we are catering to a B2B customer base and the relevant number of companies or the TAM for this in India is closer to about 10,000 to 15,000 companies. Now if we are able to provide them consistent experience to them in one particular city, then they are looking for expansion in other cities or other micro market, by default, they end up choosing us rather than any other regional or any other player around.

Because from a client perspective also, the B2B client perspective, they prefer working with at max 2 or 3 players who gets approved as a kind of a vendor and all. So those are -- that consistency in experience is one of the primary way we look at creating the brand. Apart from it, we, on a very regular basis, engage on various kind of B2B brand building as well as marketing activities.

We are very active on relevant forums of commercial real estate around like CoreNet and a couple of others, and we continue doing a lot of B2B marketing and brand building activities to create impact for this relevant segment of customers.

Ashish Khurana: Okay. Second one, again, with regards to competitive intensity on the supply side. So we target a certain profile of properties, a certain profile of landlords. And again, since there are many players competing for -- I mean, you could say kind of -- in a similar kind of a micro market, there can be only that much supply. And we have this additional risk of filling the centers after we have kind of taken up the property.

So would that mean that at a certain point, we'll face a supply constraint or we'll have to move at the fringes of the micro market to keep growing? Or I mean, there's something else which would be a workaround to that?

Sumit Lakhani: Yes. So Ashish, just from a competition intensity perspective, if I can say, from 2018 onwards, the sector had been fairly strongly competitive. The top 5 companies which you see within the sector had been fiercely competing since 2018 for both the chunk on demand and supply. We created our differentiation in terms of picking supply in a very different manner than most of the competition, one.

We look at partnering with the landlord, while it takes a bit more hard work and longer time, but we think it creates long-term value. Second, if you look at the way we have worked is we look at more mid-sized assets within the portfolio, whereas a larger portion of most players look at more larger sized assets. So this gives us a larger universe of available buildings in the key micro markets in India.

And it sounds easier that a strategy that anyone can copy and bring about more focus on creating

more assets and more centers by creating -- picking up mid-sized assets. But on the back end, it's a very -- one needs to create a very large engine and a strong kind of processes to operate and run 200-plus centers to have simultaneously about 40 to 50 projects running around, to have simultaneously an engine which is driving a due diligence of almost about 25 to 30 different properties.

So the execution capability is a kind of a very large moat which we have created. And we think we have a great level of heads up with respect to competition in terms of following this strategy.

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Now in terms of the overall supply availability as well, when we do our math and we pick up the stock which is available for supply in the next 1 to 2 years .

The target supply, especially of midsized assets available for us in terms of the available supply plus the supply, which is under construction in the micro markets, which we need to be there is almost about 300 million plus square feet. So I don't -- at least we internally don't have a kind of a challenge in terms of the availability of supply to be a hindrance for our growth around.

Ashish Khurana: And I mean, the execution capability and I assume that, I mean, the fair practices that you follow would probably -- and your size would probably attract more and more landlords to you anyway, right? So that should happen.

Sumit Lakhani: Yes. That's correct.

Moderator: Ladies and gentlemen, this was the last question for today's conference call. I now hand the conference over to the management for their closing comments.

Sumit Lakhani : So with urbanization accelerating in India and the growth of global capability centers in the country and a thriving services sector, we strongly believe the best is yet to come for the co - working space industry. The growth prospects are very promising, and we remain highly optimistic about the future.

We thank everyone for joining the call today. We hope we have been able to give you a detailed overview of our business and also answer your queries. Should you have further queries or clarifications, please feel free to reach out to SGA, our Investor Relations advisers. Thank you.

Moderator: On behalf of Spark Institutional Equities Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

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CIN: L74999DL2014P LC274236
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To,
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("NSE")
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Complex Bandra [E], Mumbai – 400051 To,
BSE Limited ("BSE")
Listing Department
Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai - 400 001

NSE Scrip Symbol: AWFIS BSE Scrip Code: 544181

ISIN: INE108V01019 ISIN: INE108V01019

SUBJECT: Transcript of the Earning call on financial results of Awfis Space Solutions Limited ('the Company') for Q4 FY '25

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for financial results for Q4 FY '25 held on May 26, 2025.

The above information is being made available on the website of the Company at <https://www.awfis.com/investor-relations>

This is for your information and record .

Thanking You,

For Awfis Space Solutions Limited

Amit Kumar
Company Secretary and Compliance Officer
M. No. A31237
Address: C -28 and 29 Kissan Bhawan, Qutub Institutional Area New Delhi 110016

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"Awfis Space Solutions Limited
Q4 FY '25 Earnings Conference Call "
May 26, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 26th May 2025 will prevail.

MANAGEMENT : MR. AMIT RAMANI – CHAIRMAN AND MANAGING
DIRECTOR – AWFIS SPACE SOLUTIONS LIMITED
MR. SUMIT LAKHANI –CHIEF EXECUTIVE OFFICER –
AWFIS SPACE SOLUTIONS LIMITED
MR. RAVI DUGAR – CHIEF FINANCIAL OFFICER –
AWFIS SPACE SOLUTIONS LIMITED

MODERATOR : MR. VIKRANT KASHYAP – ASIAN MARKETS
SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Awfis Space Solutions Limited Q4 FY '25 Earnings Conference Call hosted by Asian Markets Securities.

This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.

I now hand the conference over to Mr. Vikrant Kashyap from Asian Markets Securities. Thank you, and over to you, sir.

Vikrant Kashyap: Thank you. Good evening, everyone. Thank you for joining the Q4 FY '25 Earning Conference Call of Awfis Space Solutions Limited. Today, we have on the call Mr. Amit Ramani, Chairman and Managing Director; Mr. Sumit Lakhani, Deputy Chief Executive Officer; and Mr. Ravi Dugar, CFO.

I now hand over the call to Mr. Amit Ramani. Thank you, and over to you, sir.

Amit Ramani: Good evening, and very warm welcome to everyone present on the call. Along with me, I have Mr. Sumit Lakhani, Chief Executive Officer; Mr. Ravi Dugar, Chief Financial Officer; and SGA, our Investor Relations Advisors. For the Q4 and full year FY '25 results, we have uploaded our presentation on the exchanges, and I hope everybody had an opportunity to go through the same. To start, I'd like to extend my heartfelt congratulations to Mr. Sumit Lakhani on his appointment as Chief Executive Officer. In his new role, he will oversee P&L, daily operations and customer -centric initiatives in addition to leading our sales, marketing and supply acquisition efforts. This leadership transition makes a major milestone in our journey to transform Awfis into a future -ready world -class organization. Sumit has been instrumental in Awfis success story, bringing a strong grasp of our business, customer needs and company culture. His strategic clarity, collaborative spirit and drive for innovation make him exceptionally well suited for this position. I'm confident that under his leadership, we will maintain strong momentum and continue executing with excellence across all fronts. Over the years, Sumit has played a crucial role in shaping our brand, customer experience and go -to-market strategies. His elevation is a natural step towards our vision of long -term growth and greater agility in a fast -evolving business landscape.

As part of this transformative chapter, we are also strengthening our leadership team by welcoming seasoned professionals from reputed organizations - adding depth, diversity and domain expertise that will further fuel our next phase of growth.

Let me start with a brief overview of the business for the year. We are pleased to share that we have delivered a strong financial performance in FY '25, achieving a year -on-year revenue

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growth of 42% to INR1,208 crores, surpassing our initial revenue guidance of 30% set at the beginning of the financial year. This remarkable growth was driven by a strong performance in all our service segments.

Our EBITDA demonstrated strong momentum, growing at 64% year -on-year to INR402 crores with a margin of 33.3%, representing an improvement of 440 basis points over the same period last year, supported by enhanced operating leverage and exceeding our initial guidance. During the year, our co -working allied services business delivered robust growth at 48% to INR916 crores, contributing to 76% of our total revenue. This performanc

e was primarily driven

by a successful sale of newly added seats, sustained improvements in occupancy across our established centers and strong momentum in our food and beverage business.

Meanwhile, the construction fit -out projects, including our design and build business experienced a growth of 36%, reaching a total of INR278 crores and accounting for about roughly balance 23% of the revenue.

As we take a moment to reflect on the journey that we have had in FY '25, it is clear that Awfis has truly transformed into a dominant player in the flexible workplace sector with a strong presence across India. We have come a long way driven by our commit ment to continuous improvement, operational excellence and a deep understanding of the changing needs of the modern workplace.

Over the past year, that is FY '25, we have made significant progress on several fronts. On the co-working side, in FY '25, we have focused on building capabilities by adding approximately 39,000 seats, setting the stage for next phase of our growth. We have also been able to strengthen our client base, welcoming marquee names such as National Stock Exchange and several GCCs. I'm happy to share that we have successfully onboarded 3 prominent global organizations at our premium centers in Hyderabad. These partitions reflect our ability to meet the complex large -scale needs of global businesses and reinforce our position as a pre ferred partner for innovative forward -looking organizations.

We have expanded into high potential Tier 2 cities such as Guwahati and Lucknow, tapping into emerging business hubs and capturing new growth opportunities. We have also enhanced our premium elite offering, staying true to our promise of providing high -quality, tech -enabled and beautifully designed workspaces.

On the design and build business, we have accelerated our capabilities, allowing us to deliver fully customized workplace solutions from initial design concepts to final execution perfectly tailored to our client needs. At our core, we are an end -to-end wo rkplace solutions provider built on an asset -light, high -margin model.

This approach has allowed us to stay agile, optimize cost s and offer unmatched flexibility to our clients, helping us against changing market dynamics while maintaining our premium quality.

As we kick off this new financial year, it is important for us to set a solid foundation for FY '26, one that will fuel our success not for just this year, but well into FY '27 and beyond.

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This is about more than just setting our immediate targets. It's about laying the groundwork for long-term scalable growth that firmly positions Awfis as a true leader in flexible workplace industry.

To do this, we are focusing on building a strong ecosystem that together, focus es on co -working as well as allied services and our design and build businesses. In the co -working segment, our strategic priority is to strengthen our position as a preferred partner for delivering large -scale tailored workplace solutions that address the u nique requirements of our enterprise clients. To support this, we have expanded our team with seasoned senior professionals to strengthen enterprise sales and business development. The focus would be in building, nurturing relationships with large enterprises, managing strategic accounts and driving t he profitability of our co -working and managed office offerings.

Last year, we were able to onboard multiple GCCs that entered the Indian market. We will continue to foster a relationship with such global organizations to help set their first offices in India. Our Elite products specifically targeted for GCCs has been r eceived very well, and we will continue to establish new elite centers in key micro markets as we go forward.

For the coworking demand, we plan to launch our updated design, Design 6

.0, to meet with the

evolving needs of today's modern workforce. I strongly believe that our structured approach and deep understanding of the client needs will enable us to tap into every workspace need at today's workforce.

Another key focus area for us this year is the continued expansion of our design and build capabilities. We are proud to already be the preferred partner for D&B solutions in IT/ITeS segment. Building on this strong foundation, we are now expanding our portfolio to cater to a broad range of sector s and significantly larger mandates.

To enable this growth, we have bolstered our leadership team with senior professionals across design, project delivery and business development. These strategic hires bring deep sectoral expertise and are already playing a pivotal role in scaling our operations and unlocking new client relationships.

In parallel, we are also embracing innovation at every stage from fostering design rendering tools to immersive VR walkthroughs, ensuring an elevated client engagement, higher conversion rates and shorter turnaround times. These advancements will position us to win more complex projects across verticals and further cement our leadership position in the D&B space.

Additionally, our scale, nationwide presence and ability to serve clients across all segments through our 3 format workplace models give us a distinct advantage in scaling high-margin allied services. This ecosystem approach allows us to drive deeper monetization, enhanced stickiness and deliver differentiated value to our customers.

Awfis Café operates 200-plus cafes across centers, serving as a vibrant hub for community and convenience. This year, we are expanding the model to serve external clients, opening a new avenue for the F&B-led growth. Awfis TechLabs launched in FY '25 is our integrated IT service

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arm offering network infrastructure management and user solutions amongst other services.

With a very strong early traction, we plan to scale this aggressively in FY '26.

Our transportation service powered by a strategic partnership with Eco Mobility offers customized sustainable commute solutions for enterprises. This is expected to emerge as a key driver of client satisfaction and retention. Under Mobility Solutions, we have introduced innovative offerings like the hub to cater to hybrid and on-the-move professionals with a robust network of 600-plus meeting rooms already in place. This vertical is poised for significantly scale and impact in FY '26. We have also introduced event management services for the clients that are evolving into turnkey solutions for corporate events, town halls and activations. It enhances client engagement while monetizing underutilized time and space across centers. Our approach for FY '26 will be a two-pronged strategy.

Having expanded our capacity in FY '25, our focus in the first half of FY '26 will be on executing our current pipeline, driving stronger occupancy rates. This disciplined execution will lay a strong foundation for the second half, where we will prioritize strategic capacity expansion, carefully selecting high-potential locations to capture emerging demand and optimize long-term returns.

We believe that the commercial real estate market has seen rapid growth in both sales and rentals over the past few years. We are confident in sustaining our current trajectory of strong revenue growth backed by continued demand across our core business segments and a robust pipeline of opportunities.

We remain focused on driving further improvements in EBITDA margin through operational efficiency and scale benefits. In parallel, we will continue to expand our footprint at a steady pace, maintaining the momentum in seat addition to support our long-term growth strategy. Let me hand it over the call to Sumit Lakhani, our C

EO, to share Q4 FY '25 operational highlights.

Sumit Lakhani: Good evening, everyone. Thank you, Amit, for your kind wishes. I'm deeply honoured to step into the role of CEO at this pivotal stage in Awfis journey. It's been a remarkable experience growing alongside the company from our start-up roots to becoming India's leading flexible workspace provider.

I'm excited to further our impact, drive new growth and continue creating meaningful value for our clients, partners and teams. Together, we'll build on a strong foundation and seize new opportunities to shape the future of work in India.

Now I would like to share with you the operational highlights for Q4 FY 2025. On the supply side, I am pleased to share that we successfully achieved our FY '25 target, marking a significant milestone in our growth journey.

During the year, we added approximately 39,000 new seats, bringing our total capacity to around 134,000 operational seats across 208 centers nationwide as of March 2025. Including centers

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currently in the fit-out phase and those under LOIs, our total capacity now stands at over 164,000 seats across 243 centers, covering an expansive 8.4 million square feet.

We have also strengthened our footprint, expanding into 9 Tier 2 cities and 5 new micro markets,

allowing us to better serve the growing demand for flexible workspaces and emerging business hubs. As of March 2025, our exit month occupancy reached 73%, while centers operational for over 12 months recorded a solid 84% occupancy, under scoring the sustained demand for our premium workspace solutions.

Year -on-year, our growth remains robust. Operational seats and centers grew by 41% and 30%, respectively. Total seats and centers increased by 38% and 28%, respectively. Looking ahead, we have a strong expansion pipeline with signed LOIs for 13 new centers , adding approximately 11,000 seats and 0.6 million square feet of chargeable area.

On the demand side, we signed contracts for 13,000 new seats in Q4 FY 2025 and 53,000 new seats in FY 2025 overall, reflecting a well -diversified revenue base. Approximately 66% of our occupied seats are taken by large corporates and MNCs, 20% by SMEs, 13% by start -ups and the remaining share by freelancers.

Notably, 40% of our clients operate across multiple centers within our own network. The average client tenure is 33 months with an average lock -in period of 24 months, demonstrating strong long-term client commitment. Our client base remains highly diversi fied with more than 3,000 active clients as of March 31, 2025.

That concludes my update. I will now hand over to Ravi, our CFO, for the financial discussion.

Ravi Dugar: Thanks, Sumit. Good afternoon, everyone, and a very warm welcome to everyone. Let me give you a quick overview on our financial performance. For Q4 of FY '25, our consolidated operating revenue stood at INR340 crores, which is a growth of 46% on a Y -o-Y basis.

The operating EBITDA stood at INR116 crores, which is a growth of 73% on a year -on-year basis. The margins stood at 34.1% as against 28.9% in Q4 of last year, same period, which is a growth of almost 520 bps. In Q4 of FY '25, PBT, excluding exceptional items is INR12 crores versus PBT of INR1 crore s in Q4 of last year.

On the IGAAP equivalent basis, which is adjusted for Ind AS 116 lease rentals, Ind AS 109 and Ind AS 102 - for Q4 FY '25, our consolidated operating revenue stood at INR339 crores, which is a growth of 46% on a year -on-year basis. The operating EBITDA stood at INR48 crores, a growth of 125% on a Y -o-Y basis. The margins stood at 14.2% as against 9.2% in Q4 of last financial year, a growth of 500 basis points. For Q4 of FY '25, IGAAP equivalent depreciation stood at INR24 crores.

Now coming to full year FY '25, we are pleased to report a 42% year -on-year revenue growth in FY '25 to INR1,208

crores, surpassing our initial guidance of 30% set at the beginning of the year. The operating EBITDA stood at INR402 crores, a growth of 64% on a year -on-year basis. The margins stood at 33.3% as against 28.9% in FY '24, which is a growth of 440 basis points.

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This performance not only demonstrates strong operating leverage but also exceeds the guidance we set at the beginning of the year. The full financial FY '25 on the IGAAP equivalent basis, again, adjusted for Ind AS 116, 109 and 102, our consolidated operating revenue stood at INR1,206 crores, a growth of 43% on a year -on-year basis.

The operating EBITDA for the full financial year stood at INR168 crores, a growth of 146% on a year -on-year basis. The margins stood at 13.9% as against 8.1% for the full financial year FY '24, a growth of 585 bps.

For FY '25, IGAAP equivalent depreciation stood at INR81 crores and the PBT, excluding exceptional items, is at INR97 crores versus INR13 crores in FY of '24. As of 31st March 2025, we maintained a strong liquidity position with INR130 crores in cash, bank and FD balances.

Our gross debt stands at around INR23 crores only, resulting into a debt -equity ratio of 0.05, a notable improvement from 0.13 in March '24. Additionally, our net debt -to-equity ratio has improved to -0.22 compared to -0.10 in the same period last year.

With continued improvements in profitability and liquidity, we expect to remain in a very comfortable position on debt -to-equity ratio. Our return on capital employed also improved, rising from 43% in FY '24 to 62% in FY '25, underscoring the strength of o ur financial performance.

This is all from my end. We now open the floor for question and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star then one on your touch -tone phone. If you wish to remove yourself from the question queue you may press start then two. Participants are requested to use handsets while asking a question. Ladies and Gentlemen, we will wait for a moment while the question queue assembles. Our first question comes from the line of Girish Choudhary from Avendus Spark , please go ahead.

Girish Choudhary: Hi Good ev ening, Amit and Sumit. Firstly, congratulations, Sumit, on your elevation, much appreciated. My first question is on your strategy, right, fiscal '26 strategy, which you mentioned

will have 2 phases. If you can share more details across both the phases, like the first phase, what's the kind of occupancy/ ramp-up we are looking at and the margins, which we can expect? And then the second phase, what's the growth you're looking at in terms of seat additions for the year?

Sumit Lakhani: Thank you Girish. So Girish, in terms of the way we look at our current business, if you would see, we are already at 134,000 -odd seats. And there are almost about 18,000 seats, which are under fit-out, and further about 11,000 -odd seats where we have signed LOIs. So we have a very clear visibility of another 30 -odd thousand seats.

So, sitting today, I would say we are very confident that we will add a similar number of seats in FY 2026 like we added in FY 2025. So from that perspective, we are fairly in a comfortable kind of a spot.

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The way we look at business right now, the first half, we will use primarily to drive higher occupancies across the centers, which went live in Q3 and Q4 of last financial year so that we don't miss out on our key KPI, which is that the 12-month plus centers need to hit about 84% or 85% kind of occupancies.

So at a blended level, this could be in a similar range that we will hinge between 72% to 74% kind of occupancy in H1 around. In H2, we will look at the overall macro. And if required, we

may, you know, even accelerate our kind of supply acquisition depending on the situation at that point of scenario. So this is what we say in a phase-wise manner.

Overall, as of today, if I have to give a guidance in terms of seats, it would be similar as FY '25. In terms of revenue growth, where we sit today, it's going to be closer to at least about 30 -odd percent. And with respect to margins, I think it will be similar to what we did for FY '25 with a bit of an upward bias as well.

Girish Choudhary: Got it. Got it. Specifically on fiscal '25, like you've added close to 40,000 seats, right? You're close to 135,000 now. If you can share what's the occupancy in those 40,000 new seats for the year? Just to understand this a little more deeper how the ramp-up will flow through. And I'm assuming that 40,000 seats will also -- will have a much lower margin, right, for fiscal '25?

Sumit Lakhani: Yeah. So see, this 40,000 -odd seats came across all the 4 quarters scattered across from month-to-month. I don't have an exact occupancy number of these 40 -odd thousand seats. But typically, the way we look at tracking is we try to hit about 80%, 85% occupancy in a center in a period of 9 to 10 -odd months of its start date. So that's the way we look at coming around.

And yes, the new centers, they have a bit kind of a drag around the margins to a certain extent.

Generally, if you look at our supply acquisition strategy, we, at the initial period, also structure some level of operational rent-free period in our leases so that the impact or a drag on the P&L is a bit subdued during the occupancy buildup period.

Girish Choudhary: Got it. Got it. And lastly, the other ancillary businesses, right, which you have significant plans to scale up, if you can give some road map across these verticals, be it Design & Build and, let's say, the other ancillaries, which includes the mobility and F&B. I mean, what can we foresee over the next 2, 3 years in terms of the scale-up?

Sumit Lakhani: Sure. So primarily, the way we look internally in our business is Design & Build is a full-fledged separate vertical, which has become large. In terms of the overall industry perspective of this vertical, it's growing almost closer to about a CAGR of about 20% to 25% year-on-year backed by higher leasing in the commercial real estate sector.

So, as you would have seen even in the last financial year, we have grown almost about 30 -plus percent in this segment. So, we continue to look at a strong growth in this segment. As Amit mentioned, we primarily are focused on now a bit larger kind of volume of business in this segment.

Then the second segment, which is the alternate space revenue is the second kind of a segment for us. Here, we are adding new offerings, which includes the transportations, which include a

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more focus on F&B. Apart from our own centers, we are also focused on doing that for third-party scenario.

Currently, the ASR contribution is almost about 11 -odd percent of the space revenue. Our intent is to keep growing it at a higher pace. Our overall thought is that the ASR would be growing at a much higher base on the overall revenue as compared to the space seats sale revenue growth for us.

Moderator: Sorry to interrupt. Girish sir, may we request to return to the question queue for follow-up questions as there are several other participants waiting for their turn. Ladies and gentlemen, in order to ensure that the management is able to address questions from all the participants in the conference, please restrict your questions to 2 per participant. If you have any follow-up questions, you may rejoin the queue.

Our next question comes from the line of Mr. Vikrant Kashyap, please go ahead.

Vikrant Kashyap: Sir, I have a couple of questions. First, on the trends on the co-

working industry and GCC space

and how are we positioning us to capture these opportunities? Would you please also share some marquee deals that reflect Awfis' efforts in this space?

Sumit Lakhani: See, overall, if you look at the Indian flex market, India's flex market is expected to reach closer to about INR600 billion by 2027. It's about 20% to 25% CAGR expected over the next 5 years.

And at Awfis, we are extremely well positioned to ride and lead this wave.

Now if you look at a couple of trends which are coming around in the market and which are becoming strong behavioural permanent kind of changes, one, the flex has gone mainstream. So, enterprises are adopting core plus flex and hub-and-spoke models, not just to save cost, but to offer agility, faster deployment and employee-centric work environments.

Second, GCCs are accelerating their India strategy. We have almost over 1,800 GCCs already operating in India and more entering each year. So the demand for plug-and-play, scalable tech integrated workspaces has exploded. So, projections estimate that India's GCC market will expand to almost about \$100-plus billion by 2030. So with the number of centers increasing to closer to about 2,500.

Then I would say Tier 2 is the next flex boom. So enterprises and GCCs are also looking beyond metros into Tier 2 cities to access talent and manage their costs. So Tier 2 flex space base stock is expanding fast. And it is projected to contribute almost equivalent to about 30% of the total market by 2028-2029.

With respect to Awfis, I would say, experience is the new differentiator. Generally, the clients are no longer looking at comparing desk costs. They are evaluating design, sustainability, service quality. And so, we have been ahead of that curve.

From our perspective, the other differentiating factors are, one - the network effect. We operate about 200-plus centers with a presence across 18 cities and 58 micro markets. It's far higher than any other competitor. Then we have a very multitiered product strategy. From a standard Awfis Space Solutions Limited

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centre to a Gold and Elite format, we cater to everyone from a young start-up to a global GCC.

Few players in India offer that breadth with consistency.

Then a large differentiation for us also is our supply acquisition model, which is the managed aggregation model, which is almost about 67% of our portfolio. It allows us to scale quickly and in a more capital-efficient manner. And then I would say we are not just now offering space. We are offering an end-to-end platform with Design & Build, Mobility, IT services and Hospitality layers across our ASR ecosystem.

Vikrant Kashyap: Okay. Since you've highlighted your Elite version has a strong demand in GCC space. So out of the new seats or space that you have signed, how much has been deployed to this Elite version?

Amit Ramani: So currently, we have 3 centers which are operational under Elite, one in Hyderabad and 2 in Bangalore. And the plan this year would be to add another 4 to 5 Elite centers across India. And that basically would be somewhere around, from overall of our portfolio - almost 85% to 86% would be a flagship product and about 14% to 15% would be a combination of our Awfis Gold and Awfis Elite.

Vikrant Kashyap: Okay. And the last question on your tie-up with Eco Mobility. So what are your thought process of the management behind this deal and how you want to scale this portfolio?

Sumit Lakhani: So with respect to the collaboration with Eco Mobility, it is primarily centred around solving a very real and growing need for enterprise-grade employee transport solutions, especially in Tier 1 cities, where commute times can be long, unpredictable.

And there is a major friction point for productivity. So what we did is by integrating Eco's tech-enabled travel capabilities with

our workspace offerings, we are able to provide a seamless end-to-end solution that covers not just where people work, but how they get to work.

So it strengthens our overall enterprise value proposition and enhances stickiness and monetization opportunity for us. So it's a natural extension of Awfis as a service ecosystem for us.

Moderator: Our next question comes from the line of Adhidev Chattopadhyay from ICICI Securities, please go ahead.

Adhidev Chattopadhyay: Yes. First of all, congratulations, Sumit, for your elevation in your role and to the management for a great year. So the first question I have is on this memorandum of association where we have mentioned we'd like to get into retailing of furniture and also do some backward integration. Could you help us understand what are the sort of cost savings synergies we'll have? And this retail portion, would it be a separate vertical? Or will it be part of your Design & Build vertical? That is the first question.

Amit Ramani: So Adhidev, the furniture piece of our business is a natural progression towards a backward integration. As you saw, we added approximately about 39,000-odd seats this year, which is a captive demand. And our revenue for Design & Build roughly was another INR280-odd crores.

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So we influenced another 20,000 desks that we were basically responsible for either as part of design or as part of Design & Build directly or indirectly with our clients. We feel that that's a very, very large captive audience that's available with us. And when you say retailing, obviously, the plan is not to open up retail stores as you would think about it, but it's primarily to focus on the B2B space in the furniture business.

Clearly, when we start, we are focused on primarily focusing on modular chairs and some loose furniture and then further expanding our basket as we go forward. But the day 1 ambition is to obviously service our captive demand. Yes, at the same time, we can offer this as part of the Design & Build solution. And at some point in the future, we could also offer this as a standalone solution where we would just be selling furniture.

If you look at our portfolio today, we have 3,000-odd client companies that sit with us. And a large portion of the portfolio is in conventional space. So, we believe that the same decision-maker that is taking a decision for co-working, managed office, mobility is the same decision-maker for furniture as well.

So we feel that this is something that will help expand into an already established -- very strong established client base, another touch point with our client and help stickiness and obviously, a continued relationship with the client.

In terms of margins, Adhidev, it's a bit soon because we are in the process of going through the whole setup. Maybe in the next couple of quarters, I can give you a more clear guidance. But clearly, currently, I'm buying from third party.

So the third party is making some margin. So even if I was to save some margin there, I think it makes complete sense, plus it's because new service line for us. But I'll give you a clear guidance on the margin maybe in the next couple of quarters.

Adhidev Chattopadhyay: Sure, sure. Sir, just a housekeeping question. Currently, what will be your capex per square feet on either a chargeable or a carpet data basis, if you can just give us a ballpark number on our capex, what we are incurring right now?

Sumit Lakhani: So closer to about INR1,680 on super built-up area is the kind of ballpark capex for us, a pure standard Awfis product.

Adhidev Chattopadhyay: Okay. Fine. Sir, and just following up on that, sir, any capex guidance you'd like to give for '26? And also, I have noticed you paid taxes for the first time, at least on the P&L. So are we out of our tax shield past

losses? And what would be the effective tax rate for '26? Those are my questions.

Ravi Dugar: Adhidev, this is Ravi this side. So, on the taxation piece, the small amount that you see over there is because of the subsidiary taxation. As far as Awfis main entity is concerned, subsidiary for us is almost like 2% of our revenue. However, as far as the Awfis main entity is concerned, we still have some carryforward losses, which we plan to utilize in the current year. So most likely, in Q4 of the current year or Q1 of the next year, which is FY '27, we would be out of the brought-forward losses. What was your first question?

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Adhidev Chattopadhyay: I'll just complete this. So in '26 also, there would be no tax outgo, right? We'll still be in a tax yield, right, just to understand in FY '26?

Ravi Dugar: Yes, most likely, yes, for Awfis main entity, yes.

Adhidev Chattopadhyay: Okay. And just I just wanted a capex guidance number for FY '26, if you could share that, overall capex, which we would envisage to do? Our share or I don't know how you want to -- whatever shows up in the balance sheet?

Sumit Lakhani: So Adhidev, like I mentioned in terms of the total number of seats for FY '26, what we are guiding right now is almost similar to FY '25. So the overall capex spend will also be in the same

range as FY '25.

Adhidev Chattopadhyay: Okay. We should just use that as the benchmark.

Sumit Lakhani : Yes.

Moderator: The question comes from the line of Shivkumar Prajapati from Ambit Investment Advisors.

Shivkumar Prajapati: My first question is we have expanded into Tier 2 cities like Guwahati and Lucknow. So what's the criteria do we use to select new Tier 2 markets?

Amit Ramani: Yes. So if you look at the whole overall strategy for us, so India's growth story, obviously, over the next decade is going to be written beyond the 7 cities. Whether it's digital adoption, start-up activity, GCC expansion or any of the rising talent pools, the Tier 2 cities are clearly leading some of the charge there.

And what we believe the reason -- the way we have at least structured is that we believe, including Vijayawada, which we'll open this year, we believe that the future of the INR4 trillion to INR10 trillion economy is going to be written on the back of the Tier 1 cities and some of these 10-odd Tier 2 cities that we are looking to be present in.

The criteria that we use is the level of demand that we assume for those areas, the kind of pipeline that we have from our current client base. We also do an analysis, which basically gives us a sense that any city that we expand into should be able to have at least 4 to 5 centers because we run a complete operations team and obviously, a sales team in that city. So there has to be a certain operating leverage that has to come into that city.

Based on these criteria, we basically look to expand. But current guidance, I think at least for FY '26, other than Vijayawada, which we have already selected, I don't think we are looking to expand into any other Tier 2 cities.

Shivkumar Prajapati: Great, sir. Sir, my next question is on Elite. So we have launched Elite for the GCCs. So how does our offering differentiate from the competitors? And what's the expected revenue contribution from this segment in the coming years, say, 2 or 3 years down the line?

Sumit Lakhani: So the whole concept of starting Elite came as a perspective of a multi-tiered product strategy for us. So we have a standard offering, which is a more value product than a gold it's a bit more

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premium and Elite becomes a higher premium product. The idea of creating Elite was that we intend to offer the similar specs of design and physical spaces as the GCCs and larger Fortune 200 or Fortune 500 companies are utilizing in

their base home locations. So that was the primary kind of differentiation.

If you look at competition, everyone has a kind of a product and a value positioning. So an Elite would compete with a couple of players like, let's say, WeWork or TEC across various markets in those kind of product positioning.

And as Amit mentioned, as of today, we have 3 Elite centers, which are live. For the whole financial year, we expect we would have almost about 8 to 9 Elite centers, which will be live by end of the year.

And in terms of the overall revenue contribution, it would be a bit lower because we will have almost about 250-plus-odd centers by end of the next financial year. The margin profile is similar to the kind of model we select. So, if the Elite center is in a straight lease model, we expect that it will generate a 30% plus kind of a center level EBITDA margin. And if it's in a managed aggregation model, it would be closer to about 23% to 27% kind of a range.

Amit Ramani: The other small point I'll add here is obviously, it becomes big from a customer standpoint is the experience that we offer. So if you look at our -- some of the centers today, the kind of amenities at the flagship level or the gold level and as well as on the Elite level, they offer a multitude of offerings to our customers at different price points. Specifically on Elite, we have this whole training room available with us, concierge services, which take care of a lot of different elements. We have spaces that essentially service their training requirements, their recreational requirements. And I think to that end, we have a full focus on wellness in terms of the quality of infrastructure is one. But obviously, overall, how we are providing this experience to our customers.

And as we were discussing earlier, our strong focus is to create very strong experience and engagement with the customer. And as a result of our strengthening of our food and beverage offering or the transportation solutions, it becomes a one-stop solution for our clients.

So I think overall, yes, great infrastructure, well-designed spaces across the 3 offerings, but at the same time, delivering an experience which is exceptional and doesn't exist with any of the other competitors.

Shivkumar Prajapati: Great, sir. Sir, my last question is on capex allocation. So how do we prioritize between the seat additions or, say, expanding the Awfis Transform or Awfis Care businesses? So just want to understand like what proportion of the capital would go towards seat additions and, say, other

allied services that we offer?

Amit Ramani: So the primary capital that we deploy today, right, I would say almost 95% plus of it is towards our seat expansion, right? I mean, that is the primary investment that we do. When it comes to transform, that's a service, right? It requires limited capital deployment. Yes, there is some working capital requirement because it's Design & Build business for B2B space.

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But outside of that, I don't think it requires much capital investment as we would call the hardcore capital investment. And Awfis Care business, last September, we had already exited out of that business by selling it to a large operator that primarily is in the facility management space. So , we have no capital deployment towards the Awfis Care business anymore.

Moderator: Your next question comes from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: Thank you for the opportunity, congrats on the good execution. Sir, my question is basically on the capex number, which we did almost around INR200-odd crores is slightly higher than what we had planned for around INR140 crores to INR150-odd crores. So despite we are adding, we have added around close to 40,000, which we have guided. Trying to understand why the capex spend was higher than our earl

ier estimate despite seat addition s being in line with our guidance?

Ravi Dugar: Hi Chintan, This is Ravi this side. Yes, the guidance given was in the range of INR140 crores to INR150 crores at the beginning of the year. However, as mentioned in our last earnings call that the company will continue to evaluate the capex spends depending on our growth aspirations, and we can have higher capex versus initially guided. We continue to see very strong momentum across all the sectors.

That said, the reason for higher capex are as follows: 1) It was due to some of our enterprise deals , where we have had higher capex spend on some of our properties. Also, as was mentioned in the last earnings calls, we rolled out Elite by Awfis centres . We have also invested in that format, which has resulted in higher capex spends.

These are the broadly 2 reasons for having a higher capex spends versus initial guidance. That said, the capex per seat, again, it remains in the same range of around 52,000 to 55,000 for our entire portfolio.

Chintan Sheth: Got it. And second question is on the concierge service with ECOS . How -- I understand that it's an add -on service and seamless services to your clients. How should we look at monetizing whether it will be percentage share we will get from ECOS or without incurring any incremental cost because they will be operating and they will be managing the entire transit part? We'll just provide the source or the clients' employees to their network and make a cut out of it, that will be the broad understanding of the agreement?

Amit Ramani : So Chintan, currently, we view this as a pure convenience for our customer offering, right? I don't think the intent, at least day 1 for us, is to look at it as a revenue or a margin improvement impact for FY '26 at least. We feel that this is something th at our customers demand today. It is something that Eco Mobility being another parallel player already listed in the space with a very strong reputation.

I think the 2 partnerships are more around offering a convenient solution to our customers. Our customers are asking us today to provide not only the infrastructure, they are also asking us for IT solutions. They are also asking us for transportation solut ions. So this becomes more of a convenience in FY '26.

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Then obviously, once the partnership becomes stronger, we can give some guidance for the future years. But today, we didn't come at it thinking that this will have a huge impact on our revenue or our margins.

Chintan Sheth: It will start slow, but as it catches up, we can expect some margin accretion overall...

Amit Ramani : Of course. Yes, no guidance for FY '26 because we are looking at it as a convenience factor. We are obviously piloting it at multiple locations in the network today. But yes, you can potentially see in FY '27 and '28, probably an impact of this partnership .

Moderator: Our next question comes from the line of Ankush Agrawal from Surge Capital.

Ankush Agrawal: Hi sir, thank you for taking my question. So firstly, can you let us know what is the broadly the corporate overhead currently on an Ind AS level?

Ravi Dugar : Yes. Is this Ankush?

Ankush Agrawal: Yes.

Ravi Dugar : Ankush, the corporate overhead is in the range of around 10%.

Ankush Agrawal: 10% of overall revenues?

Ravi Dugar : Yes.

Ankush Agrawal: Okay. And are we seeing any kind of operating leverage on this like from broadly just, say, last year, what was it and how much is it now?

Ravi Dugar : Yes. We have already seen a lot of improvement, which has happened between the 2 years. In FY '24 versus the current year, we have already seen an improvement by almost like 200 bps to 300 bps is what the range has been. And going forward, we'll continue to see some improvement on that side as well.

Ankush Agrawal: Got it. Secondly, this

quarter we've seen our profitability reduced sequentially. I'm looking at

Ind AS numbers. So wanted to understand, is there some element of seasonality wherein Q4 have some higher expenses? Or is it just normal routine business that some costs would have gone here and there, that's why it's down?

Ravi Dugar : Yes. So Ankush, as we said, we continue to see a very strong momentum in demand across all the sectors. Our overall operating metrics continue to improve. But what you are referring is primarily due to some non -operating nature items. So in the quarter, we had a onetime charge of INR4.5 crores due to some accelerated hits what we have taken on a few of our centers. This is as part of our strategy of continuously assessing our portfolio at the time of lease renewals. So that's a onetime charge what we have taken. Additionally, some of our properties have been renewed in Q4. This has resulted in a higher ROU and a lease liability creation in the current quarter.

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Ankush Agrawal: I was looking on to Ind AS number. I was looking at Ind As number?

Ravi Dugar : Yes, I'm talking about the Ind AS numbers only. Yes , so these are primarily the 2 reasons why you see a slight dip.

Ankush Agrawal: Okay. And just one out more thing like typically, like we have mentioned that the fit -out period is generally between 60 to 90 days. So ideally the seats under fit -out at the end of any quarter should result in a similar number of more seats being operational in next quarter, which is typically not the case.

Typically, we have half the number of seats that are being operationalized in the next quarter.

That would obviously mean that we are closing down or moving into renovation for a number of seats every quarter. So would it be possible for you to start sharing data like how many seats we have dissolved or have moved them to renovation or something?

Sumit Lakhani: So when you say that we are opening half the number of seats, can you just elaborate that so that I can answer question?

Ankush Agrawal: Yes. So for example, as of Q3 end, we had about 21,000 seats under fit -out. Q4, we have operationalized 12,000 seats. So in the past, it is only half, the number of seats under fit -out at the end of every quarter typically end up being so. If the number of days is 60 to 90 days under fit-out, it should have been one -to-one or a little higher? So I'm just trying to understand that.

Sumit Lakhani: Yes. So I'll just explain that. So the category when we are putting under fit -out, it basically means that the LOIs have been signed, and we have registered that agreement. Now from the point of registering the agreement to taking the possession of the property, there is a kind of a time lag and then we take a time lag with respect to fitting out the whole process. The overall fit -out process is generally 75 to 90 days. And so that's the reason when you see the category under fit -out, these centers end up being live in a span of about 3 to 6 -odd months.

Ankush Agrawal: Okay. But would it be fair to assume that every quarter we would be dissolving -- it's just a clarification of last part?

Sumit Lakhani: Yes. So , what you see as an under fit -out - so generally, if I am, let's say, giving 10,000 seats under fit -out, so every quarter, you could assume that 5,000 of those seats will go live.

Moderator: Your next question comes from the line of Kishore Kumar from Unifi.

Kishore Kumar: Congrats on a good set of numbers. So , can you just tell me the actual rent paid?

Ravi Dugar: Hi Kishore, this is Ravi this side. So , the actual rent paid on the leases is in the range of around INR245 crores. This is appearing as depreciation and finance costs and the rent in the other expense schedule is around INR111 crores. Sum total is around INR355 crores.

Kishore Kumar: Sir, INR111 crores for full year?

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Ravi Dugar: For the full year, yes s.

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Kishore Kumar: Got it, sir. Sir, on the mature center -- in the comparison with mature center and the new centers interest, how is the rent spread moving, sir, actually? So, if I take the rental paid for the seat as well as the revenue that we receive, what is the spread for the mature centers in comparison with the new centers?

Ravi Dugar: Yes. So, on a mature center, the contribution margin would be in the range of around 24% to 25%.

Amit Ramani: So, let me just take that. So, in case depends on the model. So, the mature centers, typically, which are 12 months or more. If it's a straight lease center, the margin would be somewhere around 30% plus. If it's a managed aggregation center at that stable state occupancy, that would be somewhere around -- anywhere between 22% to 24%.

And then across, obviously, the overall business, so if I was to only look at 12 months or more blended between the 2 models, it will be somewhere around about 25% to 26%. But since the portfolio is obviously a combination of less than 12, more than 12-month centers, so clearly, obviously, the margin profile is a bit lower when you look at it at a blended level.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Amit Ramani for closing comments.

Sumit Lakshani: So we thank everyone for joining the call today. We hope we have been able to give you a detailed overview of our business and also answer your queries. Should you have further queries or clarifications, please feel free to reach out to SGA, our Investor Relations Advisors. Thank you.

Moderator: Thank you. On behalf of Awfis Space Solutions Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

Date: 18/08/2025

To,

National Stock Exchange of India Limited

("NSE")

Listing Department

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NSE Scrip Symbol: AWFIS BSE Scrip Code: 544181

ISIN: INE108V01019 ISIN: INE108V01019

SUBJECT: Transcript of the Earning call on financial results of Awfis Space Solutions Limited ('the Company') for Q1 FY26

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call held on Monday, 11th August 2025 at 04:30 PM (IST) with the senior management of the Company.

The above information is being made available on the website of the Company at

<https://www.awfis.com/investor-relations>

This is for your information and record.

Thanking You,

For Awfis Space Solutions Limited

Amit Kumar

Company Secretary and Compliance Officer

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"Awfis Space Solutions Limited

Q1 FY '26 Earnings Conference Call "

August 11 , 2025

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 11th August 2025 will prevail.

MANAGEMENT : MR. AMIT RAMANI – CHAIRMAN AND MANAGING

DIRECTOR – AWFIS SPACE SOLUTIONS LIMITED

MR. SUMIT LAKHANI –CHIEF EXECUTIVE OFFICER –

AWFIS SPACE SOLUTIONS LIMITED

MR. RAVI DUGAR – CHIEF FINANCIAL OFFICER –

AWFIS SPACE SOLUTIONS LIMITED

MODERATOR : MR. VIKRANT KASHYAP – ASIAN MARKET SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Awfis Space Solutions Limited Q1 FY '26 Earnings Conference Call hosted by Asian Market Securities. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. The statements are not guarantee of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Amit Ramani, Chairman and Managing Director from Awfis Space Solutions Limited. Thank you, and over to you, sir.

Amit Ramani: Thank you. Good afternoon, and a very warm welcome to everyone present on the call. Along with me, I have Mr. Sumit Lakhani, our Chief Executive Officer; Mr. Ravi Dugar, our Chief Financial Officer; and SGA, our Investor Relations Advisor.

For Q1 FY '26 results, we have uploaded our presentation on the exchanges, and I hope everybody had an opportunity to go through the same. Let me start with a brief overview of the business for the year. We are pleased to share that we have begun FY '26 on a strong note, delivering a robust financial performance that reflects the strength of the business model and execution capability.

Our revenue for the quarter grew by 30% year-on-year, reaching a total of INR335 crores, driven by sustained demand and healthy occupancy levels across our centers. We also witnessed strong operating momentum at the EBITDA level. EBITDA rose by 60% year-on-year to INR127 crores with margins expanding to 37.8%, marking a significant improvement of 710 basis points compared to the same period last year.

This margin expansion was supported by better occupancy, enhanced operating leverage, improved cost efficiencies and disciplined execution across segments. The performance highlights not only the resilience of our platform, but also our ability to scale profitably while staying focused on service quality, client experience and capital efficiency.

During the year, our Coworking and Allied Services delivered robust growth of 49% year-on-year to INR276 crores. This performance was driven by focusing on diverse cohort split, making customer centricity as a core of our business, along with strong momentum in our Allied Services business. This segment remains a cornerstone of our strategy, driven by a growing demand for flexible workplace solutions.

Our Enterprise segment continues to be a key growth driver, fueled by strong momentum from first-time mid-sized GCC entrants, especially across our centers in Bengaluru and Hyderabad. At the same time, our existing GCC clients have continued to deepen our engagement with us, expanding into additional spaces, particularly in our newly launched centers in Hyderabad.

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Our 100-plus seat cohort now represents 59% of our portfolio, underscoring both the scale and the stickiness of our enterprise relationships. This reinforces our strong value proposition and highlights how our multi-city presence enables us to meet the evolving need of enterprise clients across locations.

Meanwhile, construction fit-out projects have delivered a INR58 crore revenue. We see this segment gaining significant traction in the coming quarters, buoyed by a healthy order pipeline and a favorable market outlook and remain confident of meeting our full year guidance. Our operational performance remains strong with sea t capacity addition

up 40% year-on-year, reflecting the effectiveness and scalability of our expansion strategy.

A key pillar of this expansion has been our focus on premium positioning with 100% of our new centers signed between June 2024 and June 2025 located in Grade A commercial assets. This is a deliberate and strategic shift aimed at addressing the need of a more discerning and quality-focused clientele, including GCCs, while also ensuring long-term asset sustainability and tenant retention.

We have also continued to strengthen our national presence. Since June '24, we launched 4 new Tier 2 centers, increasing our Tier 2 capacity by ~25% year-on-year. Further, we entered 4 emerging micro markets across our network, further broadening our footprint.

Our approach to network expansion remains strategic, focused on markets where we see strong long-term potential. Looking ahead, we aim to build on this momentum with robust pipeline of opportunities across both metro and emerging locations.

As previously guided, our approach for FY '26 continues to be two-pronged strategy. The focus in the first half remains in executing the current pipeline, driving higher occupancy across centers and enhancing operational productivity. Having already secured significant number of

seat sales scheduled for occupancy in the coming quarters, we have strong visibility on near-term revenues.

Looking ahead to the second half of the year, we plan to undertake strategic and calibrated capacity expansion, looking at demand visibility, market potential and capital efficiency. This disciplined approach will not only reinforce our leadership position in the flex space industry, but also ensure we remain on sustainable growth trajectory, creating long-term value for all stakeholders.

Let me hand over the call to Mr. Sumit Lakhani, our CEO, to share Q1 FY '26 operational highlights.

Sumit Lakhani: Thank you, Amit. Good evening, everyone. I would like to share with you the operational highlights for Q1 FY '26. On the supply side, during the quarter, we added 6,065 new operational seats, bringing our total capacity to about 140,186 operational seats across 220 centers Pan-India as of June 2025.

Including centers currently in the fit-out phase and those under LOI, our total capacity now stands at over 165,000 seats across 246 centers, covering an expansive 8.3 million square feet.

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Over the past year, we have added a total of 47 centers and 43,452 total seats, underscoring our ability to meet the growing demand for high-quality, flexible workspaces nationwide.

As of June 2025, our exit month occupancy stood at 73%, while centers operational for over 12 months achieved a robust 84% occupancy. This performance, despite the significant addition of new seats during FY '25, underscores the sustained demand for our premium workspace solutions.

Year-on-year, our growth remains strong. Operational seats and center grew by 40% and 30%, respectively. Total seats and centers increased by 39% and 25%, respectively. Looking ahead, we have a pipeline with signed LOIs for 14 new centers, adding approximately 9,800 seats and 0.5 million square feet of chargeable area.

On the demand side, we've signed contracts for 15,000 new seats in Q1 FY '26, demonstrating strong performance on the demand front versus 11,000 seats in Q1 of FY 2025. Notably, 41% of our clients operate across multiple centers within our network versus 36% in Q1 of FY 2025. The average client tenure has increased to 36 months with an average lock-in period of 24 months, demonstrating strong long-term client commitment.

Our client base remains highly diversified with more than 3,200 active clients as of June 30, 2025. We have approximately 18,000 seats already signed, which are scheduled to move in during Q2 and Q3.

This translates to a locked-in revenue of INR4

63 crores. Our Enterprise portfolio continues to strengthen with 51 clients taking over 100 seats each and 9 clients taking over 300 seats each, all already committed to move in. That concludes my update.

I'll now hand over to Ravi, our CFO, for the financial discussion.

Ravi Dugar: Thanks, Sumit. Good afternoon, everyone, and a very warm welcome. Let me give you a quick overview of our financial performance. For Q1 FY '26, our consolidated operating revenue stood at INR335 crores, which is a strong growth of 30% on a year-on-year basis.

The operating EBITDA stood at INR127 crores, which is a growth of 60% on a Y-o-Y basis.

The margins stood at 37.8% as against 30.7% in Q1 of last year, which is a growth of 710 bps.

In Q1 FY '26, our PAT is INR10 crores versus a profit of INR3 crores in Q1 of last year.

On the IGAAP equivalent basis, which is adjusted for Ind AS 116 on lease rentals and Ind AS 109 and 102, the Q1 FY '26, our consolidated operating revenue stood at INR335 crores, again, a growth of 30% on a Y-o-Y basis. The operating EBITDA stood at INR48 crores, which is a growth of 60% on a Y-o-Y basis. The margin stood at 14.5% as against 11.5% in Q1 of FY '25, which is a growth of 300 bps.

For Q1 FY '26, IGAAP equivalent depreciation stood at INR27 crores. In Q1 FY '26, PAT is INR25 crores versus INR15 crores in Q1 of last year. We continue to maintain a very strong liquidity position. Our gross debt stood at around INR7 crores, resulting in a debt-to-equity ratio

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of 0.02, a notable improvement from 0.08 in Q1 of last year. Additionally, our net debt-to-equity ratio is minus 0.18.

With continued improvement in profitability and liquidity, we expect to remain in a very comfortable position on debt-to-equity ratio. Our return to capital employed is at 67% annualized

for Q1 versus 62% for the whole of FY25, underscoring the strength of our financial performance. That is all from our end.

We now open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Adhidev from ICICI Securities.

Adhidev: Sir, first may be a housekeeping question. Could you elaborate on the capex you have incurred for this quarter and any guidance for the year overall, depending on how our seat addition pipeline looks? That is the first question.

Ravi Dugar: So, for the quarter, the capex what we have incurred is around INR50 crores. And the guidance is that we continue to see very strong momentum across all our sectors. And depending on the need in the coming financial year, the company will continue to evaluate the capex spends depending on our growth aspirations.

Adhidev: Okay. So, if you take a broader view, this will be equivalent to INR200 crores or more in the coming year as well?

Ravi Dugar: It will be in the same line as last year.

Adhidev: Okay. Sir, my second question is on our operating margins. Now, do you see a potential for further improvement in margins in the coming years? It's more of a structural question. It's not limited to a quarter, considering you mentioned that we are adding more and more premium office spaces, right, in more grade A buildings. So, do you expect the overall profile to again go upwards over the longer term?

Sumit Lakhani: So, Adhidev, with respect to the overall margin view, the way we look at is, over the next couple of years, we are looking for margin expansion because of, one, the blended occupancy going up. It will be the largest contributor for it.

A large number of our seats are less than 12 -odd months. So, the blended occupancy is sitting at currently about 73%. In the next 3 to 4 quarters, we expect this percentage to keep on improving, and there will be much more mature centers around. So, we expect a significant level of margin expansion in the lon

g term, over the next 1, 2, 3 years just by a change in the blended occupancy.

Second, we expect an improvement in margins primarily from the operating leverage as well.

And the third one, as you mentioned is, we are on a drive to premiumization with more number of Elite and Gold centers coming up, which will have impact on the margins.

And the last point I would say is, where we are very focused is increasing our Allied Services, which is primarily the tech offerings, F&B offerings, which we provide as integrated to our Awfis Space Solutions Limited

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customers. That will also help around in the margin. So, structurally, we are in a trajectory for margin expansion over the next 2 -3 years.

Moderator: The next question is from the line of Girish Choudhary from Aventus Spark.

Girish Choudhary: Again, I just wanted to understand the margins better, like you just mentioned about the structural scope for increase. But if you could help us with understanding the current margin structure in the mature centers currently you're operating with and also, what's the kind of drag which is coming in from newer assets? That will be helpful and will help us understand much better the scope for expansion?

Sumit Lakhani: Sure. So, this is more on a pure -play fundamental base, how we look at the business and at an ideal center kind of unit economics. Any center which hits a mature stage, so let's say, a 12 -month plus kind of a vintage for us in a straight lease model, we generally look at center EBITDA margins of about 30% to 35% for that center.

For a managed aggregation, closer to about 23% to 25%. So, on a blended basis between MA and SL, our view is about 27% to 28% -odd as a blended kind of a contribution margin for these centers. Now, it takes us at least around 9 to 10 -odd months to hit about 80% -85% of occupancy. So, the portfolio of new centers have a kind of a drag. Even while we get some level of rent fees or a decent level of rent fees for initial occupancy buildup, they still have a kind of a drag on the overall margin.

If you look at our current center profile as of 30th June, approximately 30% to 32% of our seats would be under the bucket, which would be less than 12 months. So, we expect that once these centers hit almost about 12 -month plus kind of vintage and with an improved kind of occupancy, the margins are going to improve.

Second point, Girish, like I mentioned in my commentary, we already have signed up almost about 18,000 seats, which will go live in Q2 and Q3. And this, I'm saying the demand. So, this is a significant level of seats as a already signed-up..

So, by Q3 end, I'm expecting an improvement around in the blended occupancy as well overall.

So this is how we primarily look at the business, though Q3 and Q4 will also be the quarters where our supply expansions also go around on a larger scale.

Girish Choudhary: Sure. And in terms of corporate overheads, where are we? And you also mentioned about the operating leverage, right? So, how should we see that going ahead?

Sumit Lakhani: The way we look at it is almost about annually 0.2% to 0.5% -odd kind of improvement in margins because of corporate overhead efficiencies.

Specifically for this year, the kind of overall guidance we have done in terms of the EBITDA margin is similar to last year because we have built up a decent level of teams and put in resources for long-term growth of the company.

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And the overall guidance around on the margins, which also factor in some kind of operating leverage from corporate overheads is supposed to be same as of FY '25 with a bit of an upward bias.

Girish Choudhary: Sure, sure. My second question is on the construction and fit-out business. You mentioned in the opening remarks about a strong pipeline. If you can share any number,

what's the order book

like and what's the cycle of that order book?

Amit Ramani: So, Girish, there is obviously a very strong demand in this segment. We are looking at this segment on a half-yearly or a yearly basis. And clearly, there's a bit of a time gap, right, on how -- when you have the project and the revenue delivery. The current number was INR58 crores Q1 FY '26.

Currently our underlying demand is looking healthy, and we have a strong execution pipeline of over INR100-plus crores. And obviously we are confident of a strong growth in FY '26.

Girish Choudhary: Got it. So, the current order book is INR100 crores, right?

Amit Ramani: Yes. So, Q1 FY '26 number was INR60-odd crores and then the order book is about INR100-plus crores.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: Congrats on a good set of numbers. The question was on the bookkeeping side, what was the rental profit share paid to the landlords during the quarter, for the current quarter?

Ravi Dugar: So, the profit share, what we have paid is INR20 crores and the total rental paid is around INR94 crores.

Chintan Sheth: INR94 crores, of which INR80 crores was the cash adjustments in the Ind AS table you have mentioned, right, in the presentation?

Ravi Dugar: Yes. So, the total rental paid is INR94 crores, out of which INR20 crores is part of the other expenses and INR74 crores is part of the lease rental payment under Ind AS 116.

Chintan Sheth: Okay. And what was this amount last year? I believe?

Ravi Dugar: So, the total last year number was around?

Chintan Sheth: INR111 crores, right?

Ravi Dugar: You're talking about Q4 or last full year?

Chintan Sheth: No, no. Full year was INR111 crores. I'm talking about quarterly because it seems little low?

Ravi Dugar: Okay. Just give me 2 minutes. I'll give you that number.

Chintan Sheth: Sure. And second is on the occupancy, which we reported for the current quarter, 73%. We were kind of looking at, focusing on improving the occupancy, and we were also looking at NSE, the

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straight lease coming in. If you look at the mix in the current quarter, straight lease share has increased in the overall pie. That should reflect in the improvement in the occupancy, but it didn't happen so? If you can just elaborate a little bit on that as well, would be helpful?

Sumit Lakhani: See, if you look at the occupancy level, it has to be looked in the context of the overall new seats added. Now, almost, as I mentioned, about 30% of our seats currently are less than 12-months old. So, they are going through various phases of occupancy build-up.

Second, I'm not able to understand your question around on the straight lease versus MA. The MA continues around in a similar kind of a ratio as between straight lease and MA mix. These straight leases, which we are signing, couple of them are also not where we are building up the occupancy. So, they are not generally in pure play back-to-back kind of straight leases.

Q2 and Q3, like I mentioned, we have a very strong pipeline of signed clients. A lot of them are under the back-to-back kind of scenario. So, that's where a couple of those straight leases are coming up.

Chintan Sheth: Got it. And lastly, on the Allied Services for the current quarter, if you can provide that number.

And we have also launched few of the Allied Services in the last quarter, like the CAD services plus network support services and other related ancillary services, how those are doing, if you

can elaborate on that?

Amit Ramani: Sure. So, in Q1 FY '26, the Allied Services revenue grew about 43% year -on-year. Approximately , it's about INR45-odd crores for the quarter. Obviously -- sorry, I'll just take that back. It's about INR36 crores, sorry. I take that back. And obviously, driven by deeper

penetration within the existing client base, our focus on, obviously, delivering value around F&B . TechLabs has taken off well. Mobility products are doing fairly well. And then we obviously had started employee transportation as well in partnership with ECOS Mobility. So, I think all of this has kind of resulted in this 43% year -on-year growth that's out there.

Chintan Sheth: Okay. 43% year -on-year growth and absolute amount is Rs. 36 crores . Then if I look at the core Coworking space sales, it seems that sequentially occupied seat revenue, per seat revenue has moderated quite a bit from INR8,400 to INR7,800. This is purely because of mix or I'm looking at occupied. So, it factors in the occupancy as well.

So, if you can -- because if I look at adjusting the ancillary revenue, the revenue sequentially are flat at INR240-odd crores out of the total INR276 crores we reported, if I adjust the INR36 crores, which you just mentioned, we are at INR240 crores of core space revenue, which is more or less similar to last quarter. So, despite seat getting added during the quarter, our sales are more or less flat, which implies the rentals has kind of moderated. If you can just...

Sumit Lakhani: So, there is no underlying decrease in the average seat price, over the last couple of quarters, what we have seen is a constant increase in the same center seat pricing because the underlying rentals in commercial real estate have increased. So, there is no decrease, rather it's on an upward trend, the overall price realization.

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When we look at the price realization per seat, it also gets skewed around on a bit -- in that quarter, the new centers which come around in which kind of micro markets , because if they are coming in micro markets with lower rentals skews it a bit.

Second, it also skews it a bit at what time of the quarter is the occupancy coming in. If in the third month, we have more kind of occupancy coming in, so it skews around on the overall aspect. So, if you primarily see, we don't have any kind of decrease i n the seat pricing.

Chintan Sheth: Got it. And just coming back to the rental, about...

Sumit Lakhani: So, I will tell you with respect to the rental, probably one of the reason why you are seeing a similar kind of a co -working space revenue is, we had a large customer signed up, for almost about 3 -odd quarters. And this quarter was where the exit of that customer happened, and it had an impact of about INR5 crores to INR6-odd crores on the revenue.

Chintan Sheth: Okay. And -- no, I'm asking on the profit share, you mentioned INR20 crores. If you can give me Q4 and last year sequential and Y -o-Y number of the profit share number would be helpful?

That's all for me.

Ravi Dugar: Chintan, you can take down the numbers. So, for Q1 current year, the Ind AS 116 rental is INR95 crores. The other expense, which is the profit share is INR27 crores. So that makes it around INR122 crores of payout.

Chintan Sheth: Total payout, right. Okay, INR27 crores. And if you can provide similar numbers for the last year quarter and last quarter sequentially?

Ravi Dugar: Yes, in last quarter, the number is, against INR122 crores, we paid around INR108 crores. The breakup of which is: Ind AS 116 is INR77 crores, and the profit share is INR31 crores.

Chintan Sheth: Remaining -- INR31 crores, if it has declined. Okay. And last year Q1?

Ravi Dugar: Okay. Last year Q1, again, I'll have to take it out. -- I'll come back to you on this.

Chintan Sheth: Okay, I'll jump back in queue. You can separately give me.

Moderator: The next question is from the line of Aayush Saboo from Choice Institutional Equities.

Aayush Saboo: I wanted to know regarding the seat addition target for the next year, do we see any upside to it? And also, if you could just elaborate on how is the competitive intens

ity shaping up in our critical

micro market sales? What are the risk mitigation strategies that we are developing to face this increased competition overall this flexible workspace?

Amit Ramani : So, broadly speaking, our guidance remains the same as last year. So, what we have done last year, about 40 -odd-thousand seats is the guidance for FY '26 as well. In terms of the competitive landscape, I think because of our model being a bit different than most of the flex operators; one, in terms of size, our typical size is between 30,000 to 35,000 -odd square feet, which is a bit different than what most others compete for.

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Second, our model obviously looks at doing a split of 65% managed aggregation, 35% straight lease. So, our profit share model, obviously, being unique is one of a kind, and I think is all owing us to continue to expand.

And you've seen that over the last almost year plus that we have been able to maintain that sort of mix there. So, from that standpoint, I don't think we see any challenges in terms of continuing to add our seat capacity and the guidance remains the same as last year.

Aayush Saboo: Okay. So, 40,000 seats in the next 2 years, right?

Amit Ramani : No, over FY '26.

Aayush Saboo: Over FY '26, okay.

Amit Ramani : We, last year also added approximately 40,000 seats for FY '25. The same guidance remains for FY '26.

Moderator: The next question is from the line of Shivkumar Prajapati from Ambit Investment Advisors.

Shivkumar Prajapati: First of all, congratulations on a great set of numbers. So, sir, my first question is on sector exposure. I believe around close to 50% of our top line comes from IT and IT-enabled services.

And currently, some layoffs has been announced. So, I just want to understand what impact does this have on us? And going forward, how we plan to deal with these things? And if you could share the churn rate sector-wise, that would be really helpful?

Amit Ramani : So, to answer your first part of your question, we currently have about 35% to about 37% of our business comes from IT/ITES. Overall, 65% is from large enterprises and corporates. And then, obviously, in addition, about 10% comes from BFSI, 10% from consulting and 10% from sort of other service offerings, right? So, we have a diverse base of this happening currently.

In terms of IT/ITES, if you really look at it from the outside, it all looks as one, right? But there is 3 parts to the IT/ITES that is there, which is, essentially, we are looking at the India-facing IT, which is one-third ; the GCC, which is seeing a huge growth and then obviously, ITES.

You are absolutely right that in some of the IT/ITES, which was the offshoring part of it, there is some bit of challenge that is there. But all other -- the 2 segments, so the India facing as well as GCC is kind of filled up that demand. So, we don't anticipate any challenges coming overall from an industry standpoint. And currently, we are not seeing, in the last few quarters, any changes to that as well.

Shivkumar Prajapati: Okay. Great, sir. So, I mean, there are no issues in contract renewals or any cancellations from these sectors, right?

Amit Ramani : So, specific by sector, we don't see any challenge. And typically, our churn is roughly about 1% - odd, right? So, it continues to remain in that range. So, I don't see any challenges in the first quarter itself.

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Shivkumar Prajapati: Sir, my next question is, like a few new IPOs that are in the market, which are largely traditional lease models. So, are we experiencing any pricing pressure in any of the markets or any expected pricing pressure in the coming time?

And we -- like will we be able to maintain our INR9,000 plus of per seat realization given we have -- like most of our centers are in G

rade A assets in the last 1 year. So just want to understand

this INR9,000 realization per seat, where can we see this at the end of FY '26?

Amit Ramani : So, to answer the first part of your question on the competitive landscape, obviously, the competition has been there in private as well as public, right? Obviously, now we see a few of our other sort of counterparts going public.

So, I don't think the competition intensity has not been there. It's been there for the last, I would say, 5 -odd years since we have had a great run post the blip in COVID, and the flexibility has established itself as a part of the commercial real estate market.

So, I think, from that standpoint, I don't see any changes in that sense. As far as the INR9,000 goes, that is a factor clearly of the micro market rental, right? And I think the micro market rentals have been robust over the last couple of years. I think we have seen one of the best years last year for commercial leasing and also for Flex Space , right?

So, from that standpoint, I don't anticipate any challenge on maintaining or upping the per seat price. I probably cannot give you specific guidance on the FY '26 end-of-year number. But clearly, maintaining or having upward bias towards that number, I don't think has been a challenge, and it's been demonstrated over the last few years as well.

Shivkumar Prajapati: All right. And sir, did we benchmark ourselves with the peers? I mean, in case of cost per seat, like capex , opex or return ratios? If you could highlight a few of the positives that we stand out against the peers?

Amit Ramani : So, it's very hard to compare without a context, right? I mean our model is very, very different. For us, clearly, our managed aggregation continues to remain one of our hallmarks. We have

been able to prove that for the last few years to maintain the kind of seat capacity addition that we have done.

Second, the network, currently, 210 -odd centers that are live. There are another 30, 40 that are on the horizon. So, 250 -plus centers, 18 cities, almost 60 -plus micro markets. That gives us a very different edge and clearly something that we continue to focus on.

The client diversity, we demand diversity. We have a healthy mix of more than 100 seats, about 49%. 41% is less than 100 seats. So we service every type of customer, every type of cohort in the market. And then clearly, I think the customer centricity, obviously, is at the core of it.

And hence, today, we are able to service 3,200 client companies in the portfolio, right, which is probably a large portion of private and publicly listed companies. So, from that standpoint, I think these are the key differentiators. We don't benchmark specifically on specific metrics, clearly, but these are the differentiators for us.

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Shivkumar Prajapati: And sir, my last question is, like in retail business, we track same sales growth to understand like the real growth of the business. So, in this, do we track some same center revenue growth kind of thing? I mean if you can share the growth for mature centers on Y-o-Y basis?

Sumit Lakhani: On an annual basis, while we are not tracking and reporting the SSG aspect. But if you look at the fundamental business because the customer cohort comes at different times of the year on every contract, there is an escalation clause. So, on average, from every customer, we end up getting or a blended average about 5% -odd kind of an annual escalation.

It could be generally between 3% to 5% for a larger cohort and between 5% to 7% -odd for a smaller cohort. And we see the margins generally intact or having a bit better around in the coming years. So, we see the mature centers give a better kind of overall margin as well as the revenue profile.

Moderator: The next question is from the line of Vikrant Kashyap from Asian Markets Securities.

curities.

Vikrant Kashyap: Congrats on a strong set of numbers. You highlighted a strong growth in Coworking space this quarter, and just wanted to know what are the demand -- growth drivers in this segment and how sustainable are they? Are you able to maintain such kind of growth going forward in this year and ahead?

Sumit Lakhani: Yes. See, like the Coworking segment grew by 49% year-on-year, and -- so it was primarily driven through strong seat sales momentum and then better occupancy in various centers and disciplined capacity expansion into Grade A assets. If you look at in Q1 alone, we have sold 15,000 new seats.

Further, we have approximately 18,000 client seats, which are signed and which are scheduled to move in during Q2 and Q3. And this is expected to generate a locked-in revenue of almost about INR463 crores.

We've also seen strong momentum from first-time GCC entrants, companies like ABC Fitness, Meltwater, amongst others, they're signing up for multi-market presence along with us and especially in key micro markets in Bangalore and Hyderabad.

The Elite product launch also has given a boost to this momentum for larger MNCs and GCCs signing up with us. So, we expect the Coworking segment growth momentum to remain strong through the remaining FY '26 as well.

Vikrant Kashyap: Okay. My second question on the Elite. So how many seats are under Elite portfolio? And going ahead during FY '26 and '27, how many seats are we expected to add under office Elite version?

Sumit Lakhani: So, as of now, we have 3 centers live in Elite, which are approximately closer to about, you could say, 2,800 to 3,000 -odd seats would be across these 3 centers. For the remaining part of the year, we are expecting to add closer to 3 to 4 more centers.

Moderator: The next question is from the line of Yashowardhan Agarwal from IIFL Capital Services.

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Yashowardhan Agarwal: Sir, earlier you have told that contribution margins in MA model is around 23% to 25%, between 30% to 35% for SM, and blended contribution margin for the center level would be 27% to 28%.

So, sir, what would be the EBITDA margins and what are the costs between EBITDA and contribution margin. Can you please explain that?

Sumit Lakhani: So, Yash, what I explained over there is a scenario with respect to an ideal center once it hits maturity. So, in an ideal scenario when we get about 27% across the whole portfolio we expect -- and I'm talking more about a bit more long-term kind of situation where the percentage of mature centers to the total portfolio is quite different than the current color.

We would expect, in an ideal scenario, to reach closer to about 18% to 20% -odd of EBITDA under the contribution margin, we would expect closer to about 7% to 8% -odd as the overall corporate overhead.

Yashowardhan Agarwal: Okay. So, 18% to 20% EBITDA margin, that is corporate expenses at the company level?

Ravi Dugar: So, the current EBITDA margin, what we have reported is around 14.5%. What Sumit is mentioning is what we desire to reach, which is around 17% to 18%. The difference between 14.5% and 26% is around 10 -11% of corporate overheads.

Yashowardhan Agarwal: Got it, sir. And sir, in terms of margins. If I look at the current quarter...

Moderator: Sorry to interrupt. Sir, we would request you to come back for a follow-up question as there are several participants waiting in the queue.

Yashowardhan Agarwal: Okay.

Moderator: The next question is from the line of Abhishek Khanna from Kotak Securities.

Abhishek Khanna: I just wanted to check, and sorry, a basic question, but the INR50 crores of reported EBITDA that you shared for 1Q, is this the cash EBITDA or is that the -- is that a different number that way? I mean, is the cash EBITDA different from this INR50 crores number?

Ravi Dugar: So, the cash EBIT that we

have reported, I mean, what you can calculate is around -- including other income is around INR67 crores. Now, if I have to add the other income component in this INR48 crores of operating EBITDA, it would be around INR57 crores to INR58 crores.

Abhishek Khanna: So, the cash EBITDA excluding other...

Ravi Dugar: So, the cash EBIT, excluding other income, would be around 60 -- sorry, INR58 crores.

Abhishek Khanna: About INR9 crores out of the INR67 crores gets netted out?

Ravi Dugar: Yes. But that's more of a reflection of the cash EBIT.

Abhishek Khanna: Fair enough. And when you say that you have this INR60 crores of revenue coming from construction and fit-out projects, is there an EBITDA number that you could attribute to this, Awfis Space Solutions Limited

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maybe an 8%, 10%, whatever margin this works at? Or if you could just give some sense on the number?

Ravi Dugar: Yes. So, the segment margin for that particular segment is around 7.5%, which is after all the costs. That's the PBT...

Abhishek Khanna: At the EBITDA level?

Ravi Dugar: That's the PBT level. Yes.

Abhishek Khanna: It won't be too different -- because there would be limited depreciation and finance cost for that, I understand right.

Ravi Dugar: Yes.

Abhishek Khanna: And that 7.5% has been that way for a while? Or has that number changed in the last 1 or 2 years?

Ravi Dugar: So, in the last 1 or 2 years, that number has actually improved. So, it was earlier in the range of around 6.5%. Now it's around 7.5%.

Abhishek Khanna: All right. And just one last thing. When you say that you're trying to move more towards these premium centers, which I understand are more on the owned business model from Grade A developers. Is that a strategic shift because of the lack of availability of revenue sharing agreements as much as you would want it or is that irrespective of you getting the revenue sharing agreements? I mean, would you do it still if you had the availability of these revenue share/managed agreements still?

Amit Ramani: So, the availability of managed aggregation profit share centers continues to be very strong, right? I mean the pipeline there. Last year, you saw was the hottest market ever in history of India of 80 million square feet of commercial real estate, and we added the highest capacity ever in our own history in last year, right, 40,000 seats, of which about 65%, 66% was in the MA model. So, I don't think that has been -- is an issue, and I don't believe that in the future, it will be an issue.

But having said that, to answer your question on the premiumization, clearly, as you saw some of the markets, right, post-COVID, enterprises came in, in a big way. And about 18 months ago, some of the large multinationals and GCCs after the uncertainty of COVID went away, started expanding aggressively, right?

So, we clearly believe that we need to be able to service every type of customer. And hence, we are almost 40% in less than 100, 60% in more than 100 feet core. So, we are servicing every type of customer.

The tiering of the model, which is basically our flagship product, which we believe does really, really well, then our Gold centers and now Elite provides the ability to service every type of tiered customer, be it a GCC, multinational, be it a premium -- Indian multinational or be it a more, I would say, SMEs and mid-corporate type customers.

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So, I think the intention to expand there was not because of supply. It was clearly to address every single customer segment and to address every type of need that exists in the market, And we clearly believe that at the premium end, just like you get luxury cars, right, the opportunity is there, but it's limited.

But India being a value country, clearly, a large opportunity exists in our fla

gship product as

well. Hence, we are continuing to grow each of them in a similar segment where 85% of the product will continue to be in flagship and about 15% will be a mix of Gold and Elite.

Sumit Lakhani: Okay. So, the point I wanted to add over here was, as a conscious move over the last 4 to 5

quarters, what we have done because the MA model also became very, very established. The quality of assets which we are picking up in MA has improved significantly than what we used to do about 3 to 4 years back. So that's where in the commentary that we are highlighting.

Abhishek Khanna: All right. That is helpful. Just maybe one last question that I wanted to add. Would that mean that your more premium products would generally and historically have been on the straight lease model, and they continue to be that way? And revenue share plus premium products aren't generally something that go hand in hand or is that maybe not the right understanding that I have?

Sumit Lakhani: No. So, that won't be the right understanding. See, Elite as a category is one very specific category, which probably may not come a bit straightforward in MA. But the MA itself gives a lot of opportunity for premium product, and we are going for more grade A assets or only grade A assets in managed aggregation as well.

We have a couple of Gold centers under managed aggregation model as well. So, at least internally, we would endeavor that in the next couple of quarters, we would have Elite centers also coming under MA model.

Moderator: The next question is from the line of Shamit Ashar from Ambit Capital.

Shamit Ashar : So, I just wanted to know if you are seeing some sort of ripple effect from the slowdown in the IT sector because last quarter in your presentation, your approximately 45% of the clientele was from the IT sector. So, could you point out that number this quarter?

Sumit Lakhani: So, the percentage remains almost the same from IT sector. So, it ranges between 45% to 47 - odd percent from IT/ITES for us. We are not seeing any kind of decline in terms of demand coming up from the sector, I mean, despite what we hear about the commentary. Probably it's a function of the kind of space they are taking from flex players. So, from the whole sector, we are not seeing any kind of change in demand.

Shamit Ashar : All right. And I've gone through a couple of DRHPs from your competitors. So, a lot of players are reporting the revenue to rent multiple. So, have you worked out that number for Awfis yet?

Sumit Lakhani: So, I don't have an immediate kind of -- current for this quarter. But generally, on an ideal center basis, our rental revenue ratios range from about 2.2 to 2.5.

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Moderator: The next question is from the line of Pranav Shrima from PINC Wealth Advisory.

Pranav Shrima: Most of my questions have been answered. Just a couple of questions, sir. Speaking about the micro market, are we seeing any demand increasing from Tier 2, Tier 3 cities? And are we thinking of expanding our portfolio further? Or are we focusing on Tier 1 cities at the moment?

Amit Ramani : So, as we have been giving the guidance, I think, for a while now that the current Tier 1 and Tier 2 city split is about 89% and 11% in Tier 2 cities. We believe that clearly having a diversified network across some 18, 19 -odd cities that 18 of those we have already launched. We are in the process of launching Vijayawada, so about 19 -odd total cities.

We believe that having a diversified network is very, very important. And hence, we have established that these 19 cities will be the growth for the future. Now, the demand in Tier 1 cities will continue to be strong. And hence, about, I would say, 85% to 90% of our portfolio, we will continue to expand in Tier 1 cities. While we want to continue to expand in Tier 2 cities as well, obviously, the b

ase is smaller, hence the growth seems higher in the initial years.

We also believe that over the next 3 to 5 years, all of these Tier 2 cities will become fairly established. And as they become established, we want to be the market leader, like we are the market leaders in Tier 1 cities as well.

Pranav Shrima: Understood. One last question, sir. You said that we have approximately commitment of 18,000

seats coming in Q2, Q3. So -- and we are going to open 3 new centers. So, are they related or the 3 new centers -- does the 3 new centers include the 18,000 number or is that separate only?

Sumit Lakhani: Okay. So, I'll just clarify for everyone. When I say 18,000 seats, these are the seats which are coming from the demand side, not the supply side. So, these are the seats which we have signed up for customers whose handover will happen of the space in Q2 and Q3, and we will start getting revenue from these seats in Q2 and Q3. So, there's a committed kind of demand which we have signed up.

Moderator: The next question is from the line of Devang Patel from Sameeksha Capital .

Devang Patel: You mentioned strategic focus on GCC and enterprise clients. What will be the share of GCC clients today? And in 3 years from now, where do you see that going? Also, does it mean increase in the size of new centers that you put catering to GCC demand and also would be looking at managed campus at some point of time?

Sumit Lakhani: Can you repeat your second part of the question?

Devang Patel: Would it lead to increasing size of centers as you cater to more GCC demand, including putting up managed campus for GCCs?

Sumit Lakhani: Okay. So, primarily, from our perspective, the way we are tracking is more on the first-time GCCs, which are coming to India because the existing GCCs are already part of our ecosystem for a much longer time. I don't have a percentage as of now with respect -- to the percentage of these GCCs, the first-time GCCs as a percentage of total occupied seats as of today.

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But probably in the next couple of quarters, once this number becomes meaningful, we'll share it with you. I'll just give you a straightforward aspect. In the last 6-odd months, we would have signed 9 new GCCs, which are coming -- which have come to India for the first time. Now, generally, if you look at a couple of these GCCs, they are starting with 50-odd full-time employees. This could translate to maybe 75 to 80 seats in our perspective. Two, they are starting with and growing to certain GCCs, which are starting with almost about 250 full-time employees kind of situation.

So, we have signed up for the range of 50 to 650 seats across these GCCs. And broadly, our sweet spot when we sign an enterprise customer is generally about 30,000 to 50,000-odd square feet of centers. And that discipline we are maintaining around -- and because we -- on a case-by-case basis and on a very strategic basis, we end up doing very large centers for a single client.

Devang Patel: Okay. Could you repeat how many seats in Q1? I'm sorry, I missed that.

Sumit Lakhani: No. So I said we have signed almost about 9-odd GCCs in the last 6 months, which are the first-time GCCs coming to India.

Devang Patel: I got that. Separately, I was asking how many -- 1,000 more seats to be leased in 2 quarters, but how many were leased out in Q1, around 15,000?

Sumit Lakhani: Yes, 15,000 seats.

Devang Patel: Okay. And lastly, on the furniture business, you're looking for some more investment. Where would you be looking to do that investment? And what is your thought process around starting a third vertical?

Amit Ramani : So, if you look at -- I'll answer the second part of the question, and I'll come back to the first part. So, second part, what is the new logic, right? So, if you look at our discussion that we did about a quarter

ago for the full year guidance, we were clear that we were evolving from just a coworking managed office operator to a platform that's integrated and provides all the different services that a workplace user requires, right?

So, hence, we have coworking. We have managed office, which are fully established. In the last 3 years, we have established design and build services, which is our fit-out business. We expanded our Allied Services where we added the TechLabs, which is our IT solutioning. We added food and beverage cafeteria management. We added mobility. We added the transportation solution through our partnership with ECOS Mobility.

So, a user that requires any of these services can come to a kind of a one-stop shop solution, right? So, it's going to a bank where you can get a savings loan, you can get a personal loan and you can get a credit card. Similarly, if you think about furniture, the buyer of the furniture is the same buyer of the coworking or managed office solution. And hence, we believe that adding the furniture business adds to that element.

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Today, almost less than 10% of our customers are co-working. 90% of their portfolio is in

conventional space, where they are buying design -build services or furniture or any of these aspects from other providers . We believe that having access to 3,200 client companies gives us the ability to offer furniture also as a service offering.

To answer the first part of your question, this year, we anticipate somewhere around INR7-odd crores, INR10-odd crores of investment that will go towards establishing the capacity, firstly, for our own consumption and then obviously expand into third -party solutioning as well for furniture.

Moderator: Ladies and gentlemen, due to time constraints, that was the last question for today. I now hand over the conference to Mr. Sumit Lakhani for closing comments.

Sumit Lakhani: We thank everyone for joining the call today. We hope we have been able to give you a detailed overview of our business and also answer your queries. Should you have further queries or clarifications, please feel free to reach out to SGA, our Investor Relations Advisors . Thank you.

Moderator: Thank you. On behalf of Awfis Space Solutions Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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CIN: L74999DL2014PLC274236
Date: 17/11/2025

To,
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("NSE")
Listing Department
Exchange Plaza, C-1 Block G, Bandra Kurla
Complex Bandra [E], Mumbai – 400051 To,
BSE Limited ("BSE")
Listing Department
Corporate Relationship Department
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai - 400 001

NSE Scrip Symbol: AWFIS BSE Scrip Code: 544181

ISIN: INE108V01019 ISIN: INE108V01019

SUBJECT: Transcript of the Earning call on financial results of Awfis Space Solutions Limited ('the Company') for Q2 FY26

Dear Sir/Ma'am,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earning call for the quarter ended on September 30, 2025, held on Tuesday, 11th November, 2025 at 05:30 PM (IST) with the senior management of the Company.

The above information is being made available on the website of the Company at <https://www.awfis.com/investor-relations>

This is for your information and record.

Thanking You,

For Awfis Space Solutions Limited

Shweta Gupta
Company Secretary and Compliance Officer
M. No. F8573
Address: C -28 and 29 Kissan Bhawan, Qutub Institutional Area New Delhi 110016

Encl: a/a

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"Awfis Space Solutions Limited
Q2 & FY26 Earnings Conference Call "
November 11 , 2025

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 11th November 2025 will prevail.

MANAGEMENT : MR. AMIT RAMANI – CHAIRMAN AND MANAGING
DIRECTOR – AWFIS SPACE SOLUTIONS LIMITED
MR. SUMIT LAKHANI – CHIEF EXECUTIVE OFFICER –
AWFIS SPACE SOLUTIONS LIMITED
MR. RAVI DUGAR – CHIEF FINANCIAL OFFICER–
AWFIS SPACE SOLUTIONS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Awfis Space Solutions Limited Q2 and H1 FY26 Earnings Conference Call hosted by Asian Markets Securities Private Limited. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions, expectations of the company as on the date of this call. These statements are not guarantee of future performance and involves risks and un certainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Ramani, Chairman and Managing Director of Awfis Space Solutions Limited. Thank you, and over to you, Mr. Amit.

Amit Ramani: Thank you. Good evening and a very warm welcome to everyone present on the call. Along with me, I have Mr. Sumit Lakhani, CEO; Mr. Ravi Dugar, Chief Financial Officer; and SGA, our Investor Relations advisers. For the Q2 FY '26 results, we have uploaded our presentation on the exchanges, and I hope everybody had an opportunity to go th rough the same.

Let me start with a brief overview of the business for the year. At Awfis, we take great pride in the journey we have undertaken, a journey that has transformed us from being a pioneer in flexible segment to becoming India's largest and most trusted workpl ace solutions provider. What began as an idea to make workspaces more accessible and agile has evolved into a national platform that is redefining how India works, collaborates and grows.

Over the years, we have continuously adapted to shifting market dynamics, anticipating the changing needs of enterprises and professionals while remaining steadfast in our mission to deliver high -quality, technology -driven and future -ready work environment s. Today, we stand tall with 247 centers and nearly 175,000 seats across 18 cities, serving a diverse base of over 3,400 client companies from dynamic start -ups and emerging enterprises to large corporates and GCC.

This scale is not just a reflection of our size, but of the execution excellence and operational depth we have built over the past decade. Our ability to scale consistently and profitably in a rapidly evolving commercial real estate environment underscores the strength of our business model and the resilience of our team.

As we look ahead, we are strategically leveraging our strong leadership in the value segment to move up the value chain. The future of workspaces is being shaped by flexibility, quality and technology and Awfis has positioning itself as a full spectrum acr oss both value and premium offerings.

We have increased our focus on Grade A buildings and premium locations, aligning with the evolving requirements of GCCs, large enterprises and global clients seeking high -quality, tech -enabled and sustainable workspaces. The approach is already reflected i n our new supply acquisition with 70% of our new supply now coming from Grade A+ assets and 100% from Awfis Space Solutions Limited

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Grade A assets. This reconfirms our continued progress towards premiumization of our portfolio. Our portfolio mix is also evolving. Our premium workspaces now feature 21 Gold and 5 Elite centers across some of the most prestigious micro markets in the coun try. Further, our

geographic expansion strategy continues to strengthen the pan -India presence.

Our Tier 2 seat capacity grew by 28% year -on-year, showcasing the growing acceptance and adoption of flexible workspace model beyond traditional metropolitan centers. Both the flex an

d

the enterprise segment of our business continues to grow at a strong pace.

The enterprise segment is propelled by the entry of new mid-sized GCCs setting up operations in India. Our ability to deliver customized high -performance workspaces supported by cutting -edge technology and robust project execution has made Awfis the partner of choice for large organizations seeking speed, quality and flexibility. On the flex side of the business, which includes co -working centers and less than 100 seats cohorts , we are witnessing a strong network effect across our client base, expansion from existing clients, both within current centers and new locations. This continues to drive steady growth, complemented by healthy new client acquisition.

A significant milestone in our strategic journey is the planned subsidiarization of Awfis Transform. Our high potential design and build business. We believe this vertical represents a key growth engine for Awfis and tracking it separately will enable greater focus, strategic clarity and scalability. This move is designed to optimize management bandwidth and unlock new growth opportunities by providing entity with the enhanced flexibility in capital deployment, strategic partnerships and expansion initiatives to scale the business. The business now aims to expand beyond workplace design and build into new segments such as retail, hospitality and institutional projects, supported by a dedicated leadership team and a clear financial visibility. Over time, our vision is to position Awfis Transform as a leading full -service design and build platform serving clients across all sectors.

Now coming to our financial performance in H1 FY '26. Awfis maintained its strong growth trajectory supported by sustained client demand, healthy occupancy levels and operational efficiency. For H1 FY '26, our operating EBITDA grew by 44% year -on-year. Revenue expanded by 28% and PAT rose 49%, reflecting both top line growth and improved profitability. Revenue for this quarter grew by 26% year -on-year to INR367 crores, while EBITDA increased by 32% to INR132 crores, with margins expanding by 180 basis points compared to the same period last year. Our co -working and allied services segment in Q2 FY '26 continued to lead the growth, rising 36% year -on-year to INR297 crores and contributing to about 80% of the total revenue.

This momentum was driven by our ability to maintain high occupancy across all expanded seats today, coupled with strong traction from GCCs and enterprise clients. Our construction and fit -out projects grew by 19% quarter -on-quarter to INR69 crores. We see this segment gaining significant traction in the coming quarters, buoyed by a healthy order pipeline and a favorable market outlook and we remain confident of meeting our full year guidance.

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The Indian office market continued its strong momentum in Q3 despite global macroeconomic uncertainties, including changes in U.S. tariffs and visa policies. As of year -to-date FY '25, cumulative gross leasing volumes stood at approximately 64 million square feet, putting the market on track to match or surpass last year's record high. GCC transactions remain a key growth driver, contributing 32% of the quarterly gross leasing and about 30% year -to-date, underscoring their expanding footprint in India.

India has firmly established itself as one of the world's most mature and dynamic flexible office ecosystem. At a time when global occupiers are recalibrating portfolios for greater agility, India's flex sector is not merely keeping pace , it's setting global benchmarks for scale, maturity and innovation.

By Q2 2025, India's office footprint stood at about 80 million square feet across the top 8 cities, the largest in APAC region and on track to reach about 85 million square feet by year -end, and looking at crossin

g about the 100 million square foot milestone by 2026.

Demand has grown in tandem, rising nearly sixfold since 2022 as occupiers increasingly favor shorter turnaround time, a turnkey managed solutions and faster go -to-market setup. In 2024, flexible workspace contributed to around 15% of total new office leasing, underscoring their mainstream acceptance and central role in shaping India's modern workspace landscape.

With over 65% year -on-year surge in net absorption, industry analysts expect flex penetration to soon reach one -fifth of all commercial take -ups in India, positioning the country as a dynamic hub for innovative workplace models and reinforcing its appeal to both domestic and global enterprises.

Flexibility and agility are driving India's flex space story and this trend is set to accelerate as

firms actively seek business-ready offices to rapidly scale or adjust headcount as needed while facilitating a premium experience for their clients. As we move forward, our focus remains unwavering to build the most agile, high-performing and future-ready workspace ecosystem in India.

On the client side, we continue to enhance the experience through technology, integration, superior design and sustainable operations. Our aim is to position Awfis not just as a workspace provider, but as a long-term strategic partner that empowers businesses to scale with agility and confidence. Let me now hand over the call to Mr. Sumit Lakhani, our CEO, to share H1 FY '26 and Q2 FY '26 operational highlights. Over to you, Sumit.

Sumit Lakhani: Thank you, Amit. Good evening, everyone. I would like to share with you the operational highlights for Q2 FY 2026. On the supply side, during the quarter, we added 14,000 new seats, bringing our total capacity to around 147,000 operational seats pan-India as of September 2025, a 33% year-on-year growth, including centers currently in the fit-out phase and those under LOI. Our total capacity now stands at over 170,000 seats across 247 centers, covering an expansive 8.4 million square feet. As of September 2025, our exit month occupancy stood at 74%, while centers operational for over 12 months achieved a robust 84% occupancy. Year-on-year, our growth remains robust.

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Operational seats and total seats grew by 33% and 23%, respectively. Looking ahead, we have a pipeline of centers under fit-out, along with signed LOIs for 22 new centers, adding approximately 24,000 seats and 1.1 million square feet of chargeable area. On the premium workspace side, we now have 26 centers divided between 21 Gold centers and 5 Elite centers. On the demand side, we signed contracts for 15,000-plus new seats in Q2 FY 2026 and approximately 30,000 plus for H1 of FY 2026 compared to almost about 25,000 seats in H1 of FY 2025, reflecting a robust revenue pipeline. Approximately 61% of our occupier seats are taken by large corporates and MNCs, 23% by SMEs, 15% by start-ups and remaining share by freelancers.

Notably, 44% of our clients operate across multiple centers within our network. The average client tenure is 36 months with an average lock-in period of 23 months, demonstrating strong long-term client commitment. For clients with greater than 100 seats, the average client tenure is 47 months with an average lock-in period of 30 months. Our client base remains highly diversified with more than 3,400-plus active clients as of September 30, 2025.

Our portfolio continues to demonstrate strong enterprise depth with large cohorts, which are listed 200-plus seats now accounting for nearly half of our total client base, including 34% from 500-plus seat segment and overall 61% from 100-plus seat cohort. Over 10 GCCs are already operating out of our 5 Elite centers, further reinforcing our capability in delivering a premium global experience.

In H1 FY 2026 also saw us sign 9 -

plus large corporates MNCs, taking up 5,000-plus seats. An existing Fortune 500 IT client, who currently has a portfolio with us across 5 locations, signed further expansion of 1,000 seats across 2 Tier 2 cities. That concludes my update. I will now hand over to Ravi, our CFO, for the financial discussion.

Ravi Dugar: Thanks, Sumit. Good evening, and a very warm welcome to everyone. Let me give you a quick overview on our financial performance. For Q2 and H1 of FY '26, our consolidated operating revenue stood at INR367 crores, which is a strong growth of 26% on a Y-o-Y basis. And for H1 FY '26, it was INR702 crores, which is again a growth of around 28% on a Y-o-Y basis.

The operating EBITDA stood at INR132 crores, which is a growth of 32% on Y-o-Y basis. The margins stood at 36.1% for Q2 FY26. As of H1 FY '26, the EBITDA stood at INR259 crores, a growth of 45%, with EBITDA margins at 36.9%. In Q2 FY '26, PAT was at INR16 crores versus a PAT of INR15 crores, which excludes all the exceptional items.

And for H1 of FY '26, PAT was INR26 crores versus a profit of INR17 crores, excluding exceptional items. On the IGAAP equivalent basis, which is adjusted for Ind AS 116 on lease rentals and other IndAS, namely IndAS 109 and IndAS 102, for Q2 FY of '26, our consolidated operating revenue stood at INR366 crores, which is a growth of 25% on a Y-o-Y basis. And for H1, the number was at INR701 crores, a growth of 28% on Y-o-Y basis.

The operating EBITDA stood at INR52 crores in Q2, which is a growth of 18% on Y-o-Y basis. For H1 FY '26, the EBITDA stood at INR100 crores, which is a growth of 38% on Y-o-Y basis. For Q2 FY '26, IGAAP equivalent depreciation was at INR29 crores and finance cost at INR5

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crores. And for H1, equivalent depreciation stood at INR56 crores and finance cost was at INR11 crores.

We continue to maintain a strong liquidity position. Our gross debt stood at around INR21 crores in Q2 FY '26 as against INR28 crores in Q2 of last year, resulting into a debt -equity ratio of 0.04, a notable improvement from 0.07 in Q2 of FY '25. Our net debt -to-equity ratio is at negative 0.18.

With continued improvements in profitability and liquidity, we expect to remain in a very comfortable position on debt -to-equity ratio. Our return on capital employed is at 65% annualized for Q2 FY '26 versus 62% for the entire financial year FY '25, under scoring the strength of our financial performance. With this, we now open the floor for Q&A.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Adhidev Chattopadhyay from ICICI Securities.

Adhidev Chattopadhyay: Sir, I have actually one question, which may have two or three parts to it. What I noticed is now that our MA share has now come down to around 61% of the overall total supply. Obviously, I understand we are trying to premiumize our product and hence, the quality of real estate and daily developments would require us to go the straight lease way.

So could you just help us understand over more medium term, what does it mean for our realization and also our EBITDA margins, right, as we move away to more straight lease? And consequently, even on our capex requirement, how does it change our capex requirements versus what we have been doing historically? So that is what I wanted to understand first

Sumit Lakhani : Sure. So Adhidev, primarily with respect to managed aggregation, there is no change in terms of strategy. The current pipeline of new centers, which you see with respect to managed aggregation is almost about 65% -odd. It's just that in the last two odd quarters, we had seen a bit more straight leases and a couple of Elite centers which came on board. So from our perspective, the overall strategy with respect to managed aggregation continues to stay the same.

e.

Adhidev Chattopadhyay: Okay. So -- but to understand for more premium grade properties, right, Grade A, are you able to still source managed MA deals as easily or are you compelled to go to straight lease? I think that was more the -- what I was trying to target ?

Sumit Lakhani: So fundamentally, if you look at the way the supply strategy is happening, with respect to Elite properties, as we have also explained over the last couple of quarters, the supply acquisition is primarily around on straight lease properties, whereas over the last 1 -odd year, we have taken a specific focus with respect to increasing the building quality for the managed aggregation properties also which we source.

With respect to the managed aggregation properties, which we are sourcing, we are able to source more successfully the better Grade A buildings. As mentioned during our commentary, now in terms of the new additions over the last 1 year, 70% of properties which we have sourced is under Grade A plus supply and 100% across Grade A. And one of the strategy which is

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working well for us is forward leasing of new buildings under managed aggregation. So from that perspective, we feel very confident in terms of acquiring supply under MA model.

Adhidev Chattopadhyay: Okay. Sure. That is clear. I think last part on the margins. Now we are, I think, settled at this 14% to 15% sort of margin range. So when do you see maybe some uptick from here at a portfolio level?

Sumit Lakhani: See, like probably in the last one or two quarter results also, I would have given a guidance that for the current year, financial year, we expect margins to stay stable between 14% to 15%. Next financial year, we expect a kind of a positive upside on the margins as the blended occupancy increases a bit.

Adhidev Chattopadhyay: Okay. So just trying to understand again because with our premiumization strategy and how it helps our margins overall in the -- from a 2 - to 3-year point of view, just wanted to directionally get some idea?

Sumit Lakhani: So directionally, premiumization is going to help us with respect to improving the margins. But the impact of it would require at least four to six odd quarters and a bit more a larger portfolio of premium centers. As you would have noticed that from this quarter, we have also started reporting the number of portfolio of our premium centers, which is almost about 26 centers. So as this 26 -odd centers starts increasing and as a percentage of the total portfolio, it increases, it will start having a positive impact on the margins.

Moderator: The next question is from the line of Girish Choudhary from Aventus Spark.

Girish Choudhary: Firstly, on carving out the design and build to a wholly owned subsidiary. If you can help us understand how you're thinking about capital allocation and leadership bandwidth and also the corporate overhead sharing between the core and the subsidiary business? And as a follow-up,

if you can also help us understand , so I read that you're expanding into newer sectors like retail and hospitality. So what gives you the right to win there in terms of capabilities or relationships or any execution expertise over there?

Amit Ramani: Sure. Thanks, Girish. So obviously, the move is intended to provide greater flexibility in terms of capital deployment, strategic partnerships and expansion into new initiatives. And again, when you look at the co-working business and our Transform businesses, one of the feedbacks that we have always gotten is that can we split these costs properly.

So I think what it will do for us is that 2 businesses on its own -- on a stand-alone basis, you can track. In terms of the corporate costs that you mentioned, obviously, anything that even today, whatever is allocated to the co-working managed Awfis businesses or the Transform business, I

think, can be seen clearly in our financials as how it's demarcated. So those costs obviously will get realigned.

In terms of your question on retail and hospitality, obviously, in commercial interior space, we have the market leadership. We do a fair bit of work across different client types in that space.

On retail and hospitality, some of that expertise will have to be built either organically or

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inorganically going forward. And we will continue to look at opportunities of expansion both in these sectors and kind of take it from there.

Girish Choudhary: Got it. And also on this business, what I'm seeing is that the revenue momentum is lacking this year, right, first half. So how should we see this business going heading into, let's say, '26 and '27, '28, maybe more, let's say, near to medium term and even long term, how should we look at what's the order book visibility?

Amit Ramani: Yes. So Girish, there's a very strong demand in this segment. Obviously, a better way of looking at this segment is over a long period on a yearly basis, right. Because every quarter, you could have some changes. But for example, Q1 to Q2 of '26, we have grown by almost 20%, right. So there is a time gap between the booking of the project, the revenue delivery. And -- but clearly, we are seeing a good growth momentum as we go forward. We strongly believe that the commercial interior design and build is an extremely large opportunity as conventional leasing continues to grow in this country as we have seen over the last few years.

We will continue to see momentum in the design build, fit-out space. So obviously, we are very, very bullish. I think this a little bit of a blip is more of a quarterly thing. But I think on a yearly basis, we are very, very bullish on the overall expansion opportunity and as well as how we see the space growing. So the guidance for the year remains the same.

Girish Choudhary: Got it. Secondly, in terms of your guidance, like your earlier guidance, you had indicated that you would want to consolidate in first half, drive occupancies and maybe start your expansion or resume our expansion in second half, right? So where are we in that journey currently? And I also see that occupancies have increased by around 2% in the last 6 months. So do you see any further room for pickup the trajectory there and also the expansion momentum?

Sumit Lakhani: Yes. So Girish, with respect to blended occupancy, yes, you are right. We have seen improvement around on that, and we are on a strong path with respect to increasing the blended occupancy. As you would see, in H1, we have already sold almost about 30,000-plus seats and a lot of those seats will get occupied in Q3 and Q4 as well, which is going to have a positive impact on us.

In H2, we see -- we are already started gearing up for a larger kind of supply acquisition. So that has already happened. We're also doing a lot of projects are under fit-outs. So Q3, Q4, the supply acquisition is going strong. And so that for FY '27 and H1 of FY '28, we are able to deliver a strong growth.

Because if you look at primarily at broadly our numbers with a 74% of blended occupancy, we still have a very significant lever of growth only by bringing in occupancy from the current seats, right? So now the supply which we are picking up and building up the pipeline is going to help us with respect to driving growth for H1 of FY '28.

Girish Choudhary: Got it. And lastly, I mean, the presentation talks about a one-off of INR3.5 crores related to FA write-off. What is that about?

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Ravi Dugar: Yes. So as part of a regular review of our portfolio, there are a few centers which have been closed down or terminated. So this is the write-down what we have taken on account of non-movable as

sets from those centres .

Girish Choudhary: Okay. Got it. So this is like a recurring thing or like you keep seeing centers getting closed on an annual basis, right? So...

Amit Ramani: On an annual basis, we keep doing this exercise. So I think the way to look at it is, obviously, there are -- we've been in business for almost 10 years, right . There are centers which have probably completed one cycle or maybe two cycles in some cases. As part of our portfolio strategy to have a consistent experience.

In some cases, we close down a center , which does not work with our current brand ethos and/or it could be that, that center was done at a stage and a time where the fit -outs that we did does not work with our current design guidelines and so on. So there are multiple reasons for which we exit the centers .

And we feel that every year, there could be two or three centers that will get closed down every year. And every 6 months in terms of hygiene, we are basically taking the write -off for the fixed assets and their written -on value. So this is that part. So there would be some charge related to closure of centers every year, maybe 2 to 3 -odd centers every year.

Moderator: The next question is from the line of Yashowardhan Agarwal from IIFL Capital Services Limited.

Yashowardhan Agarwal: Okay. So my question is on the seat addition . So how should we look at it in terms of timeline ? Because as per our earlier guidance, we should be adding -- total seat should be around 175,000, which means that around 28,000 should be added in the upcoming 2 quarters. So will it be sequentially or is it going to be the last quarter heavy?

Sumit Lakhani : So I would say it's going to be a bit more last quarter heavy in terms of supply acquisition. If you look at the trend for the last financial year as well, in H2 of FY '25, we added closer to about 25,000-odd seats. And so over here, as I answered in one of the earlier questions, H2 of FY '26 is where we are also pushing more on the supply acquisition and H1 was more of a consolidation phase around for us.

Yashowardhan Agarwal: Okay. Sir, my second question will be on the margin. So excluding INR3.5 crores written off that we have taken, our margins were around 15%, right? And so there are currently 3 things at play. First, the margin from the mature centers. Second would be the drag from the new centers, which are not mature. And third is the contribution from D&B segment. So could you please give us a breakup so that we could get to know that how are mature centers performing and what is the drag from the new centers?

Sumit Lakhani: So with respect to the overall margins breakup between mature and the growing centers or centers with less than 12 months of vintage, we are currently not sharing that data point. Probably we can look at sharing that data point on an annual basis. But currently, the blended occupancy as well as the occupancy for 12 -month plus center is what we are giving right now.

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Yashowardhan Agarwal: Okay. And sir, what is the breakeven occupancy for us?

Sumit Lakhani: --So typically, in a managed aggregation center, where we have a profit share model with a space owner along with a minimum guarantee situation, the operating breakeven at the center is about 30% to 35% of occupancy. For a straight lease center, the similar operating breakeven is at about 55% to 60 -odd percent kind of occupancy. Generally, we hit about 80% of occupancy within first 9 to 12 months of center operations. Just to add to your point, what we try to do is that the new center portfolio or the new centers are not a significant drag on the mature portfolio. That's what we intend to do and try to create a mix around on that.

Yashowardhan Agarwal: Okay. And sir, on the balance sheet, I can see contract assets of INR77 crores. So sir, how should I read

that?

Ravi Dugar: Contract assets for us are the D&B project assets. So typically, what we have is around 45 to 60 days kind of a receivable on that side , the assets till the time they are billed to the customer. So this is actually the work in progress on the D&B side.

Yashowardhan Agarwal: Got it, sir. And sir, how is furniture segment shaping up? Any guidance on that?

Amit Ramani : So on the furniture side, obviously, we continue to remain quite active around it. And we are obviously continuing to evaluate all the opportunities in that space. So our long -term strategy is to continue to strengthen the backward integration, enhance supply efficiency and then focus obviously remains on identifying the right operating model and partnership.

So at this stage, I think we have been able to curate quite a few partnerships where these partners will allow us to expand that whole business vertical for us. Obviously, we have a phased plan.

And I think over the next 3 to 6 months, you will see us obviously growing that segment.

Last few months were obviously around curating the partnerships, setting the portfolio, the kind of product offering we were enabling. And the next 3 to 6 months is obviously to continue to drive this growth forward. So you will see quite a bit of action over the next quarter -- few quarters.

Yashowardhan Agarwal: Yes. So in the presentation you had mentioned that we are moving up the value curve with focus on Grade A plus and Grade A building. So if you could elaborate a bit on that, how is this transitioning and moving? And how will it impact our market as well as our positioning in the market?

Amit Ramani: Yes. So Yash, as we move up the value curve, our focus on Grade A and Grade A+ assets being driven by the rising demand that's coming from the GCCs, the large enterprises, the premium clients that are seeking obviously high-quality tech-enabled workspaces. A number of these premium transactions are under the straight lease model, which typically delivers a higher margin at the center level compared to our MA structures.

So that said, our overall strategy remains asset-light with over 65% of our portfolio under fit-out pipeline is still under the MA model, right, demonstrating obviously, our continued commitment

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to an asset-light, sustainable kind of growth that we have. So that's kind of where we are headed with that.

But at a very basic level, the MA straight lease mix, we don't anticipate changing. As I said, under fit-out centers still are in that split of 65-35. And yes, in the short term, we did see some, but that was because we were adding a few more Elite centers in the first phase of our growth. But overall strategy continues to remain asset-light.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: Great set of numbers. I'm trying to understand in terms of the growth which we are delivering, right, we have improved our occupancy this quarter, but that is not getting reflected somehow in our operating margin improvement because the belief and the model itself is such that a large part of fixed cost should get absorbed with the higher occupancy.

The FA one-off is -- even if I adjust that, the growth in expenses is faster than the revenue growth for the quarter. So -- and this is I'm seeing for last three, four quarters as well. So because one of the reasons I understand that we are expanding on the seat capacities and the supplies.

And that is hitting while a little bit more on the expense side. But with the occupancy improving, the expectation was that we start to see the leverage kicking in, in terms of profitability, higher profitability. If you can run us down in terms of how should one look at it going forward and what has happened so far?

Ravi Dugar: So Chintan, there are a couple

of things which are happening at the same time. So for the quarter, if you have to talk about specifically, there are 2 impacts which have come in the quarter. One is the FA impact what we spoke about, which is what we have taken on a few of the properties, which is around INR3.5 crores.

Chintan Sheth: How many seats got closed or at this stage?

Ravi Dugar: I'll have to -- that's around 900.

Chintan Sheth: 900, okay.

Ravi Dugar: The other thing what has happened is in quarter 2, as part of the annual appraisal process, there are ESOPs issued to the employees under the ESOP 2024 scheme. So there's an additional charge which has happened on the ESOP side. So that is around INR2.4 crores approximately, which has impacted the current quarter versus the previous quarter.

But however, that said, we have been kind of holding on to our margins over the last 2 or 3 quarters. And obviously, there's also an impact which is there because of the number of seats which have been rolled out in the last 1 year. Approximately, I believe, around 35,000 seats have been rolled out in the last 1 year.

So obviously, there will be a time when the occupancy will take time to build up and then there's a cost impact due to that. So as Sumit mentioned in earlier reply, - for the current year, we see

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the margins to be holding on to this level. However, we see the margins improve after maybe five or six quarters.

Chintan Sheth: Got it. And if you can just one bookkeeping on the profit share part, if you can share, which typically I had asked on every quarter call, that will be helpful. And lastly, on the industry point of view, one is the GCC focus has been all along for most of the peers as well, they've been very upbeat about the segment.

And per se, we also started incrementally focusing more on the enterprise side, not that we are not defocusing from the flex side or co-working side. But incrementally, our focus is on the enterprise clients and GCCs. In that light, what is the outlook? How the industry is evolving

from the co-working flex to enterprise-driven demand, which is in the market right now driven by the GCCs. If you can just sum up your views and thoughts about the industry overall?

Sumit Lakhani: Sure. So Chintan, I'll answer the second part of the question and while Ravi can give you the thing on those numbers. So the way we look at business, we are excited on both sides of the business. One is the flex side and the enterprise side. Flex has always been the core. We love catering to smaller cohorts across and catering a very large network of centers across India. And that's the strategy which we intend to follow over the next couple of years. Center sizes of 30,000 to 40,000 square feet and end up catering to a multiple segment of cohorts. So I see this side of the business and demand significantly growing and there is no doubt rather -- what we see is a large part of the competition because we are only focused on only larger cohorts, here, we have a kind of an advantage now, and this is the segment which ends up giving us better pricing realization as well. Then over the last couple of quarters, we started consciously taking a call with respect to moving on the premium segment because this segment, we started realizing that with the behavioural change of occupiers moving towards flex spaces and adopting flex spaces, the larger MNCs and larger corporates for their mid to large sizes of requirements, so size of requirements ranging from 50 to 500 plus are focused around on it. And they were looking to give longer lock-ins and better kind of pricing. So we specifically started moving towards more premium segment of customers for enterprises. So when we do enterprises, we are a bit more focused around on Fortune 500 companies, larger corporates and MNCs so that we end up getting a bit better

price realization and don't end up getting into a situation where after 3 or 4 years of lock-in that when the client moves out, we don't have any recourse. So we are being very selective with respect to the enterprise clients we sign up. How we safeguard ourselves is with respect to the size of these clients. So most of the enterprise clients, when we are doing managed office as the industry normal places exist, we prefer doing that also from a mid-sized deals, generally about 30,000 to 50,000 -odd square feet. But on selective basis, with respect to specific GCCs, where we are completely confident with respect to their plans over a longer tenure or very large kind of corporates where we know the kind of workspace plans they have like a couple of quarters back.

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we signed up National Stock Exchange, we take larger bets as well. So from that perspective, the strategy is very -- to grow across. One differentiator, if I could say, between us, our approach and generally, what I see in the market is we grow very significantly with one single customer. About 45% of our clients have taken seats with us in more than one center. So even the larger enterprises we sign up, you would see they would have taken seats with us across many multiple locations, 5 to 7. And they not only work with us only in co-working or flex side in managed office or enterprise side, but also on the D&B side. So that's how we have been looking at growing the business.

Chintan Sheth: And the furniture piece will be part of D&B or it will be separate? How are you kind of thinking about structuring them?

Sumit Lakhani: Yes. So currently, the plan is to keep it as part of the core entity as well, not move into the D&B entity.

Chintan Sheth: Okay. And the bookkeeping one, I'll join back in queue.

Moderator: The next question is from the line of Heet Parikh from Ashika Institutional Equities.

Heet Parikh: My first question is on the rent outflow for the first half. What is the actual rent outflow? And second is on the capex number. Now with Elite center more focused, what is our current per square feet capex? And how is the number going for the full year?

Ravi Dugar: So, this is Ravi. So the rent outflow is INR187 crores, which is there flowing from the ROU, which are the lease payments, and the other number, which even Chintan was asking is around INR56 crores, which is on the variable side, which includes the MA payouts, the profit share on the MA deals and also the under 1 year, which typically are routed through the short-term leases, so to speak. What was the other question?

Heet Parikh: Capex on the Elite center, what is the difference delta there? On the Elite center or Gold centers?

Amit Ramani: So essentially, the average capex on super built-up area is about INR1,700 to INR1,750 on a super built-up area. The premium center, a Gold center would cost about 15%, 20% higher. So that would be another INR200 to INR250 more. And then the Elite would be another 20% from Gold. So that would be another INR250. So a difference is about INR250, INR250 between flagship, which is INR1,750, about INR2,000 and INR2,250 on the Elite center.

Moderator: The next question is from the line of Devang Patel from Sameeksha Capital.

Devang Patel: Sir, on the D&B segment, our revenues are flat in the first half. What is the reason for that slowdown? Earlier, we said 50% is our own and 50% is third-party work. Is that mix still true

today? And is the slowdown in any one of these segments?

Amit Ramani: So there's a very strong demand in this segment as we see it. As I said earlier also that the way to look at this is on a year-on-year basis. Some of the projects have their own time lines to start. Obviously, there's a time gap between the booking of projects and the revenue delivery. We have seen 20% growth

quarter-on-quarter this year. And we believe that on a yearly basis, this growth
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will continue to the guidance that we have given till now. So I don't see this as any -- I think the way to look at it is the revenue here is on a year-on-year basis.

Sumit Lakhani: But it's an interesting point what you put across over there. As you would see, the H1, a larger number of seats which went live were primarily around on straight leases and Elite and GCC side. So a larger booking of revenue in H1 came around from the third-party revenue and not from the managed aggregation landlord side of the Transform business.

So that's why there is, at our end, a significant level of optimism around on the D&B segment because where we feel comfortable is that more number of larger third-party clients now are becoming our clients for D&B and are choosing our services. And with the kind of order book which we currently hold for H2, we are fairly confident around on our -- the whole annual numbers.

Devang Patel: Okay. My other question was on your adjusted EBITDA to adjusted CFO conversion this first half, it's again improved versus the second half last year. Can we expect that this conversion to be more than 1 going forward before we get the breakup of D&B and co-working businesses? Can this ratio remain more than 1?

Ravi Dugar: So broadly, it will be in the same range. Right now, the ratio is 1x for H1. The ratio will continue to be the same.

Moderator: The next question is from the line of Sabyasachi Mukerji from Bajaj Finserv AMC.

Sabyasachi Mukerji: So I'm asking that what is the capex number for FY '26 given we have already spent INR110 crores in H1, what is the FY '26 capex?

Ravi Dugar: So, Sabyasachi, the cash outflow on account of capex in H1 is approximately INR110 crores. In the coming remainder of the year, as we see, the company will continue to evaluate the capex spends depending on our growth aspirations. We are seeing a good growth in our overall portfolio with a healthy mix of enterprise client acquisitions.

So to answer your question, in number sense, it would be around INR220 crores kind of a thing or in that range. So initially, we had given a guidance of around INR180 crores to INR200 crores.

So it would be in the range of around INR220 crores.

Sabyasachi Mukerji: Okay. But I mean, given the guidance that H2 will see aggression in terms of seat addition, will that number have an upside risk, I mean, going above, let's say, INR220 crores and annualizing that INR110 crores for H1?

Amit Ramani: At this stage, we don't see that happening because as Sumit had alluded earlier also, in H1, we obviously expanded our straight lease. And hence, the spend was a bit higher. And in H2, the focus is for us to keep a healthy mix of our 65-35 between MA and straight lease. And hence, we don't see any major deviation from what we are projecting for H2 as well.

Moderator: The next question is from the line of Aayush Saboo from Choice Institutional Equities.

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Aayush Saboo: Congrats on a great set of numbers. Can you just throw light on what is the possibility of us increasing our seat addition targets for FY '27, FY '28 from what we guided? And what is the upside in seat addition that we see?

Amit Ramani: So at this stage, I think we are not obviously able to give a guidance for '27 and '28 in terms of the seat addition. In terms of FY '26, the guidance continues to remain what we have given. And obviously, we are still evaluating our FY '27 and '28 plans. And maybe by end of the year, we'll be able to share that further.

Moderator: The next question is from the line of Sweni Shah from Share India Securities.

Sweni Shah: Congratulations on good set of numbers. I just want to understand on a larger level,

for a flex

market space, can you let me know on how the total supply versus the total demand is going to flow for the next, I would say, FY '27, '28 estimate, if you have?

Amit Ramani: Sure. So obviously, the Indian market continues to perform strongly with 64 million square feet of gross leasing for year-to-date, right? With this leasing activity likely to match or even exceed

last year's record level, we feel that GCCs will remain a key growth driver accounting for nearly one-third of the overall demand.

On the flexible workplace side, India is now the largest market in APAC with almost nearly 80 million square feet of stock expected to cross 100 million by end of 2026. The demand for agile, tech-enabled managed solutions has risen sharply. If you look at the numbers, just our numbers, we are essentially doing about -- in the H1, we have done about 30 -odd thousand seat just as a single operator itself.

And today, the flex industry is about 15%, 16% of the total overall leasing that we are seeing in the market. So overall, the outlook remains very, very positive. Flexibility, speed to market, all of these great quality design solutions are obviously driving sustained demand. And India increasingly emerging as the global benchmark for modern workspace needs in the flex space. So all of it looks bright. As I said, I gave some metrics, but overall, the growth journey for flex as well as on the supply and the demand looks very, very strong.

Sweni Shah: Okay. That is quite understandable. But I just want to know a little more detail on if I see personally in the flex market, I just feel supply may be more than the demand. Is that the situation going forward or like how would it be? Would it be at a breakeven or if you see demand will be more than supply? Is what I'm trying to understand a little?

Amit Ramani: So see, again, it's a bit of a hard question to answer at a macro level because the demand and supply is very micro market level, right? So you could have, for example, in a micro market like BKC today, supply is probably in single digits. But in certain markets like, let's say, Hyderabad Financial District, it could still be in double digits.

So I think it's very hard to answer that question. Overall, if you really look at the absorption, right, the absorption last year was 65 million. This year, we are going to cross that somewhere between 75 million to 80 million. So clearly, the supply has only been acquired because the demand continues to be strong.

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And the demand drivers are multinationals expanding, GCC is expanding, India facing IT expanding, India business is growing. So all of the macro, despite all the challenges that we have had in the first H1 of FY '26, the demand has continued to remain strong in each of the micro markets. So it's very hard to answer on an overall India basis.

I think overall trajectory for both supply and demand continues to be good. There will always be some catch-ups that will happen because if you add a lot of supply, and it takes time to fill up. If you did not add supply for a number of peers, then it becomes obviously hard to find that kind of supply in certain micro markets.

So -- but overall, I think both will go in somewhat in tandem as we go forward. Also depends what kind of supply you're looking for, right? I mean, in our case, for example, we are looking for centers which are typically at about 30,000 -odd square feet, right? Now at 30,000 square feet, this would typically be a floor or maybe two floors in a building.

Now that kind of availability, even if I was to go to BKC today where everybody is saying there's no supply available, I can find. But when you're trying to look for large assets, right, 1 lakh, 2 lakh, 5 lakh square foot, those assets obviously will be much harder to come by because there's a build cycle for them and

then there is a leasing cycle for them.

And both to match is very, very hard. So because our strategy is to go with smaller centers, diversity across those centers, we are in 247 locations. We are across 19 cities. It gives us the ability to continue to grow irrespective of how the demand and supply of a local micro market pans out.

Sweni Shah: Got it. This is quite explanatory. I have one more question. Just to know on -- I don't know if I've missed this or not, but I just wanted to know if -- how much is the number of seats that you're planning to add in the coming 2 years or 3 years plan?

Amit Ramani: So we just -- as I mentioned earlier, I think we have given a guidance for FY '26, which will hold. But for FY '27 and '28, we would not like to comment right now. Maybe by end of the year, we will be able to give a clear guidance of '27 and '28.

Sweni Shah: Sure. No problem. Thanks.

Moderator: Thank you. Due to time constraint, that was the last question for today's conference. I would now like to hand the conference over to management for closing comments. Over to you, sir.

Sumit Lakhani: We thank everyone for joining the call today. We hope we have been able to give you a detailed overview of our business and also answer your queries. Should you have further queries or clarifications, please feel free to reach out to SGA, our Investor Relations Advisors. Thank you.

Moderator: On behalf of Asian Market Securities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

Corporate and Regd. Office

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CIN: L7499

9DL2014PLC274236 Date: February 06, 2026

To,

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("NSE")

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Complex Bandra [E], Mumbai – 400051 To,

BSE Limited ("BSE")

Listing Department

Corporate Relationship Department Phiroze Jeejeebhoy Towers,

Dalal Street, Fort, Mumbai – 400001

NSE Scrip Symbol: AWFIS BSE Scrip Code: 544181

ISIN: INE108V01019 ISIN: INE108V01019

Subject: Tra

nscription of the Earnings Conference Call w.r.t. Unaudited Financial Results of Awfis Space Solutions Limited ('the Company') for Q3 FY26

Dear Sir(s)/M

adam(s),

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call held w.r.t. Unaudited Financial Results of the Company for Q3 FY26, held on Monday, 2nd February, 2026 at 05:30 P.M. (IST) with the Management of the Company.

The above information will also be available on the website of the Company at

<https://www.awfis.com/investor-relations/initial-public-offer/financials>.

We request

you to kindly take this on your record.

Thanking You. For Awfis Space Solutions Limited

Shweta Gupta

Company Secretary and Compliance Officer

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"Awfis Space Solutions Limited Q3 -FY'26 Earnings Conference Call"

February 02, 2026

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 2nd February 2026 will prevail.

MANAGEMENT : MR. AMIT RAMANI – CHAIRMAN & MANAGING DIRECTOR , AWFIS SPACE SOLUTIONS LIMITED
MR. SUMIT LAKHANI – CHIEF EXECUTIVE OFFICER , AWFIS SPACE SOLUTIONS LIMITED
MR. RAVI DUGAR – CHIEF FINANCIAL OFFICER , AWFIS SPACE SOLUTIONS LIMITED

MR. SUMIT ROCHLANI – DEPUTY CHIEF FINANCIAL OFFICER , AWFIS SPACE SOLUTIONS LIMITED

Awfis Space Solutions Limited
February 02 , 202 6

Moderator: Ladies and Gentlemen , Good Day and Welcome to the Awfis Space Solutions Limited Q3F Y26 Earnings Conference Call hosted by Amb it Capital Private Limited.

As a reminder, all participants' lines will be in a listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shamit Ashar from Amb it Capital Private Limited. Thank you and over to you, sir.

Shamit Ashar : Yes, thank you. Good evening, everyone. On behalf of Amb it Capital , I would like to welcome you all to the Third Quarter and Nine Months FY26 Earnings Conference Call of Awfis Space Solutions Limited.

From the Management , we have with us Mr. Amit Ramani – Chairman and Managing Director, Mr. Sumit Lakhani – CEO, Mr. Ravi Dugar, and Mr. Sumit Rochlani – Deputy CFO.

We would like to now begin the call with “Opening Remarks from the Management ,” post which we will have the forum open for an “Interactive Q&A Session. ” Thank you and over to you, Amit and Sumit .

Amit Ramani: Thank you, Shamit . Good evening and a very warm welcome to everyone present on the call. Along with me, I have Mr. Sumit Lakhani – our CEO, Mr. Ravi Dugar - our chief financial officer , Mr. Sumit Rochlani – our deputy Chief Financial Officer, and SGA, our Investor Relations Advisor s. Before we begin, we would like to place on record our sincere appreciation for the valuable contribution and leadership of Mr. Ravi Dugar during his tenure with the company. We thank him for his dedication and the role he has played in strengthening the company's financial framework. I would like to also inform you that the board has appointed Mr. Sumit Rochlani as the Chief Financial Officer of the Company , effective February 3rd, 2026 , based on the recommendations of the nomination and remuneration committee . Mr. Rochlani brings over 14 years of experience across audit, controllership, financial planning and analysis, corporate finance, and indirect taxation. Having previously served as Head of Finance at Awfis , he brings valuable continuity and deep understanding of the business as he steps into this role.

Coming to our “Quarterly Performance ,” we have uploaded our Q3 FY26 Results and Presentation on the exchanges and I hope everybody had an opportunity to go through the same.

Let me start with a “Brief Overview of the Business for the Year” :

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As India's largest flexible workspace provider, Awfis delivers a strong performance amid buoyant commercial real estate environment. This is supported by a record office leasing of 82 million square feet in 2025 across major Indian cities driven by sustained demand from domestic enterprises and GCC. These are operating across technology, BFSI, engineering, and emerging new sectors. In Q3 FY26, Awfis continues to maintain a strong growth trajectory supported by sustained client demand, healthy occupancy levels, and operational efficiency.

Revenue for the quarter grew 20% year -on-year to Rs.382 crores, while EBITDA increased to 30% to Rs.139 crores , with margins expanding by 270 basis points on a year -on-year basis, reflecting improved scale efficiency, a higher share of mature centers, and a favorable operating leverage. Our co -working and allied services segment continue to lead growth, rising 32% year -on-year to Rs.322 crores and contributing 84% of the total revenue. This momentum was driven by our ability to maintain high occupancy levels across an expanded set based coupled with strong traction from GCC s and enterprise clients.

Additionally, the construction fit -out projects further

referenced as Awfis transform segment

contributed Rs.60 crores during the quarter. Revenue there saw a decline primarily due to temporary project deferrals and execution delays linked to GRA P-IV pollution norms, as well as lower managed aggregation set addition during the nine months FY26 versus last year.

Looking ahead, the demand for Awfis transform remains strong. The third -party pipeline currently spans about 9 lakh square feet, translating roughly into Rs.200 crores of revenue opportunity, while the managed aggregation link transform pipeline covers about 4 lakh square feet of upcoming supply. With project execution expected to normalize and multiple large mandates moving into active delivery, this segment is positioned for a strong recovery trajectory.

Our geographic expansion strategy continues to strengthen our Pan-India presence. Today, we stand tall with 257 centers, nearly 1,77,000 seats across 18 cities, serving a diverse base of 3,400 client companies from dynamic startups, emerging enterprises to large corporates and GCCs.

We continue to focus on Grade -A buildings and premium locations, aligning with evolving requirements of GCCs and large enterprises. 100% of the new supply was on Grade -A and A -minus assets, with a rising share of gold and elite formats, reinforcing premium enterprise -led positioning. Our Tier-2 seat capacity grew by 16% year -on-year, showcasing the growing acceptance and adoption of flexible workplace models beyond traditional metropolitan centers.

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On the industry front, a key structural shift underway is growing preference for flexibility . Occupiers are increasingly seeking speed -to-market, capital efficiency, compliance, readiness, and scalability requirements that traditional real estate models often struggle to meet.

Flexible workspace solutions have therefore transitioned from being tactical or interim arrangements to becoming a core component of enterprise real estate strategy.

Flexible workspaces currently account for roughly one -sixth of total new office leasing in India and are expected to approach almost one -fifth of over the near -term.

A powerful structural demand driver continues to be the rapid expansion of global capability centers in India. Global enterprises are increasing scale their India presence through GCCs supported by countries' deep talent pool and structural cost advantages, with GCCs expected to account for approximately 40% of the total office absorption in 2026.

Importantly, this demand is becoming more broad -based, extending beyond large multinationals to include mid -market global firms, global unicorns, and emerging new age sectors.

The momentum is further reinforced by recent measures announced in the Union Budget 2026 aimed at improving long -term tax certainty for the multinational corporations. Key among these is the introduction of the long -term tax holiday for the foreign companies delivering global digital and cloud services using India -based infrastructure, which significantly reduces uncertainty around future tax liabilities and strengthens India's attractiveness as a global operating base.

In parallel, the budget introduced transfer pricing norms applicable to the multinational corporations, improving tax clarity and predictability for global enterprises, operating services in India, technology and capability centers, which are being driven from here. These measures significantly enhance ease -of-operations for MNCs, adding incremental fuel to an already strong growth cycle and supporting sustained demand for scalable enterprise -grade workplace solutions.

In Awfis , we already have 80 -plus GCCs in our ecosystem, and we have aligned our strategy to capture this opportunity by moving up the value curve, strengthening our presence in Grade-A and Aplus assets locations, and seeing increasing traction from mid -size a

nd large GCCs, with 500 -plus

seats clients now contributing to 36% of our portfolio.

Our growing Gold and Elite Center footprint and Pan India Network position us well to capture both new GCC setups and expansion -led demand.

At Awfis , we believe one of our biggest strengths is our ability to address demand across the entire spectrum of occupiers. On one hand, we are very well positioned to capture large enterprises and

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GCC demand to manage office segments, where clients are looking for speed, compliance, scalability, and long -term flexibility. On the other hand, we continue to serve small cohorts through our co -working segment, which remains a strategic part of our business.

Importantly, Awfis is the only large -scale player in India with a strong presence in small cohort co -working segments, catering to the clients ranging from single seat to more than 100 seats.

This is a highly operational -intensive business. It requires years of execution, capability, strong processes, and on -ground depth to build at a scale that we operate today.

Awfis portfolio depth meaningfully reduces client concentration risk and enhances the resiliency and stability of our revenue profile.

As we move forward, our focus remains unwavering to build the most agile, high -performing, and future -ready workspace ecosystem in India.

On the client side, we continue to enhance the experience through technology integration, superior design, and sustainable operations. Our aim is to position Awfis not just as a workplace provider but as a long -term strategic partner that empowers businesses to scale with agility and confidence.

Let me hand it over to now "Mr. Sumit Lakhani, our CEO, to share Q3 FY26 Operational Highlights." Over to you, Sumit.

Sumit Lakhani: Thank you, Amit. Good evening, everyone.

I would like to share with you the "Key Operational Highlights for Q3 FY26 :"

On the supply side, during the quarter, we added 8,000 -plus new seats, bringing our total capacity to around 152,000 operational seats across 232 centers Pan-India as of December 2025.

When including centers currently in the fit -out phase and those under LOI, our total capacity now stands at around 177,000 seats across 257 centers, covering an expansive 8.6 million square feet.

Year -on-year, our growth remains robust. Operational seats and centers grew by 25% and 20%

respectively.

Looking ahead, we have a pipeline with signed LOIs for 11 new centers, adding approximately 11,000 seats and 0.5 million square feet of chargeable area.

On the premium workspace side, we now have 32 centers divided between 25 gold centers and 7 elite centers across some of the most prestigious commercial locations in the country.

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Moving to our Supply Pipeline, Our expansion continues to be driven by a deep and high quality managed aggregation pipeline, enabling capital-efficient network growth. Currently, we have 8 lakh square feet of MA supply committed across prime micro-markets. Of this, 4.1 lakh square feet is already confirmed across the key cities, including Mumbai, Pune, Delhi NCR, Hyderabad, Chennai, and Kolkata. The balance 3.9 lakh square feet is under advanced stages of closure, providing clear visibility for asset-light growth over the coming years.

On the demand side, we signed contracts for 15,000-plus new seats in Q3 FY26 and roughly 57,000 new seats since December 2024, reflecting a well-diversified revenue base. Approximately 64% of our occupied seats are taken by the large corporates and MNCs, 25% by SMEs, mid-corporates, 10% by startups, and remaining share by freelancers.

We are very happy to announce that we have 80-plus GCCs in our ecosystem, contributing 21% of our space revenue share.

During nine months FY26, we closed 12 deals with GCCs and 11 more already logged in to go live between January to June 2026.

Notably, multi-center clients account for 46% of occupied seats for us. This cohort comprises over 300-plus clients with an average tenure of approximately 42-months, underscoring strong client stickiness. Within this space, 27% of clients operate in more than three centers, 15% across more than five centers, and 6% across more than 10 centers, reflecting sustained expansion within our network.

The average client tenure has increased to 37 months, with an average lock-in period of 26-months, demonstrating strong long-term client commitments.

Our client base remains highly diversified, with more than 3,400-plus active clients as of December 2025.

We are currently operating at an overall occupancy level of about 75% versus 73% last year, providing meaningful headroom for margin expansion and growth without incremental Capex.

Demand performance remains robust, with centers older than 12 months operating at 84% occupancy, reinforcing the steady ramp-up curve and the strength of mature centers. This segment is largely served through our asset-light managed aggregation model and supported by favorable pricing and higher ROCEs. It continues to be a highly profitable and scalable growth engine for Awfis.

Despite the competitive nature of the market, we have continued to deliver profitable growth, reflecting disciplined execution and a differentiated operating model.

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Our strategy remains focused on mid-size mandates, complemented by select large engagements such as National Stock Exchanges. We are increasingly partnering with first-time GCCs, which tend to be highly sticky and long-term in nature.

With a dedicated team systematically identifying and pursuing GCC opportunities aligned with our strategic criteria, we have strong confidence in the sustainability and scalability of our managed office growth. With India adding approximately 20 to 30 first-time GCCs every quarter, our existing portfolio of over 80-plus GCCs, combined with long-standing relationships with GCC enablers and consultants across India, US, and Europe, provides us early and consistent access at the inception stage of GCC setups.

This together with our proven enterprise-grade execution capabilities, enable Awfis to capture a meaningful share of this growing segment.

That concludes my update. I will now hand over to Ravi, our CFO, for the Financial Discussion

Ravi Dugar: Thanks, Sumit. Good evening, everyone, and a very warm welcome to everyone.

Let me give you a Quick Overview on our Financial Performance:

Our consolidated operating revenues stood at Rs.382 crores, which is a strong growth of 20% on a year-on-year basis, and for nine months FY26, it was Rs.1,083 crores, which is a growth of 25% year-on-year basis. This was supported by a robust growth in our co-working and allied services business, which grew by 38% on a year-on-year basis.

The operating EBITDA stood at Rs.139 crores, a growth of 30% on a year-on-year basis. The margins stood at 36.5%. And for the nine months FY26, the operating EBITDA stood at Rs.398 crores, again a growth of 39%, with EBITDA margins at a strong 36.7%.

In Q3 FY26, PAT excluding exceptional items stood at Rs.22 crores compared to Rs.15 crores in Q3 of last year. And for nine months FY26, PAT excluding exceptional items stood at Rs.48 crores

compared to Rs.32 crores in the nine months of last financial year.

On the normalized basis, which is adjusted for Ind AS 116 lease rentals and for Ind AS 109 and 102, the normalized operating EBITDA stood at Rs.55 crores, a growth of 18% on a year-on-year basis for this quarter. For nine months FY26, the operating EBITDA stood at Rs. 155 crores, which is a growth of 30% on a year-on-year basis.

On liquidity, our position continues to be very strong with the net debt-to-equity ratio at minus 0.06% as at 31st December

for 2025.

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This is all from our end. We now open the floor for Q&A.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Girish Choudhary from Avendus Spark. Please go ahead.

Girish Choudhary: Hi! Good evening. Thanks for the opportunity. Firstly, how should we look at the occupancies going ahead? This quarter has been 75%. If you can give a bit of detail about what can happen to the occupancy, because what I see is that the mature center occupancy has remained at around 84%, so is this optimal kind of occupancy in the mature center? The incremental ramp up has to come in from the centers which have been added in the last six to nine months. So, that is the first question.

Sumit Lakhani: Hi, Girish, this is Sumit. So, with respect to occupancy, as you would see over the last one year, the blended occupancy has increased by over 200 basis points from 73% to 75%. So, there is a serious effort with respect to improving the occupancy. The way the new sales is happening and the kind of committed new sales has happened, we see a serious improvement around occupancy build up in the next one and two quarters itself where we feel very optimistic around moving these numbers substantially. In terms of the occupancy for 12 month s-plus centers, internally, we think 84%, 85% is not the steady state. This can get increased up. We see a couple of centers are taking a bit longer. So, in the next one or two -odd quarters, you would see even this segment getting an improvement by almost about 100 to 150 basis points.

Girish Choudhary: Okay, great. So, this improvement you are expected to see in the coming one to two quarters, is that right?

Sumit Lakhani: Yes, because like I mentioned, the way we have visibility of signed seats pipeline, in the next one to two quarters, we are expecting improvement in both blended occupancy for the whole portfolio, as well as improvement around in the occupancy across the 12-month s-plus portfolio.

Girish Choudhary: Sure. Secondly, on the overall pricing, right, what is the kind of price growth you are seeing like -to-like in the centers? And also wanted to understand the margin trajectory going ahead in the co-working segment?

Sumit Lakhani: So, Girish, as we would have mentioned earlier as well, the pricing is a direct reflection of the overall micro market rental at that point of time. So, even for a mature center, any new customer who is coming in that center, the pricing reflects the current micro market rental, so which in the last one to two years is higher. So, the customer ends up paying a larger price. For the existing customer cohort, our agreements, contracts have 5% to 7% kind of escalations being built in, where for small -to-mid-sized cohorts, and 4% to 5% escalations for larger size cohorts. So, in any case, for the existing client cohorts, the overall business model enables about a 5% kind of escalation in pricing. So, that is always built in, and that is the nature of the business.

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Moderator: The next question is from the line of Yash Kishlanshi. Please go ahead.

Yash Kishlanshi: Good evening. Thank you for taking my question. The tenure bucket of greater than 24 -months has not really changed in any material way despite enterprise, MNCs, including SMEs and mid-sized corporates, making up a bigger portion of your client distribution. Please help me understand the corporates, MNCs, or SMEs in your client mix. What cohort of seats do they usually prefer? What kind of lease terms are they signing? And how do you expect this mix to evolve in the future?

Sumit Lakhani: So, if you look at the tenure bucket, the greater than 24 months tenure clients constitute about 73% of our portfolio currently, and 12 to 23 months is 20%. From my vantage point, the

the way I see is I

have seen this tenure bucket growing up significantly around over the last couple of years. Probably, you may be referring to one or two quarters of data. I do not have that data handy with me. But, if we look at over the last one to two years period, I have seen this growing significantly. And where we feel very confident around is because originally when we started the overall tenure buckets used to be between six to 12 months and now almost about two-thirds of the business, it is around more than 24 -odd months. To your question around on what kind of preferences various kind of occupiers have with respect to various tenure buckets, it is more around on the cohort sizes. Generally, a larger cohort, let us say a 200, 300 -plus seater cohort, prefers to sign up for 36 -to-48 months kind of lock-ins and 48 -to-60 months kind of tenures, whereas shorter tenure customers end up signing up more

between 12 -to-24 months. It is a bit more agnostic between enterprises, SMEs, mid -corporates, and startups.

Amit Ramani: Yes, just to add to that, this quarter, obviously , the overall locked -in tenure for the complete portfolio, is now 26 -months instead of 24 -months, and the tenure for the overall portfolio is 32 months . And if you look at the greater than 100 seats, which typically is the larger cohorts, that overall locked -in tenure is basically 37 -months , and basically, the total tenure is about 49 -months. So, there has been significant improvement as we see it in those two buckets as well. You also need to understand that a large portion of our portfolio, almost 45 %, is less than 100 seats , and in that, obviously, there will be a bit more lesser tenure.

Yash Kishlanshi: Okay, understood. And yes, indeed, I was just comparing the numbers from the previous quarter. So, I know you spoke about your blended occupancy improving because of increased sales traction.

Please help me understand what is causing that increased sales traction -- is it something that in your offering that has changed or is it something in the macroeconomic environment that you see changing that is causing these increase in sales?

Sumit Lakhani: So, primarily, this had been organic. If you would see the number of new seats sold, we have been selling every quarter. It is broadly organically increasing every quarter. There is a significant level of behavioral change with the occupiers looking to prefer flex , and that is continuing , and that is probably why the demand is going up. Now, where you are seeing also some improvement around

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in blended occupancy is also a function of the aging of centers. Till about two quarters back, a lot of our centers were aged between zero to three months kind of a bracket. As that profile of vintage of those centers became six to seven months, they have started hitting higher occupancies. We generally require about nine to 10 months for centers to start hitting 80% -plus kind of occupancy. So, it is a function of both that a lot of our centers, which we opened during Q4 of last financial year, they were more without any kind of customers. They were pure speculative centers where we opened up a center and then we were filling in the demand for those centers versus the kind of centers where you start with a new demand. So, the overall cycle is about nine to 12 months to hit occupancies. So, currently, it is more organic. Market and demand over the last couple of years had been growing steadily with the more adoption of co -working.

Yash Kishlanshi: Thanks . That is helpful. And just one last from me . Going forward what proportion of your revenue from operations is expected from construction and fit -out business?

Ravi Dugar: So, roughly about 20% of the revenue is expected from the construction fit -out business. Currently, the split is about 83 -17, but roughly this will settle

in somewhere around 80 -20 kind of a number.

Yash Kishlanshi: Got it. Thank you very much.

Moderator: The next question is from the line of Adhidev from ICICI Securities. Please go ahead.

Adhidev: Yes, good evening, everyone. Thank you for the opportunity. The first question is to Amit and Sumit is, could you help us understand what is going to be the end of '26 operational seats and a similar number for FY27 considering the pipeline which you have now? That is my first question.

Amit Ramani: So, Adhidev, the guidance for FY26 is somewhere around 32,000 seats for FY26. I would not want to comment on the FY27 guidance right now, which we will give as part of the revenue and the other financial metric guidance that we will provide in the last quarter.

Adhidev: Okay. So, then this 1,52,000 seats goes to around how much incrementally?

Amit Ramani: So, we ended FY25 at 1,35,000 seats. So , roughly you add another 30,000 seats , somewhere around 1,66,000 -odd seats.

Adhidev: Okay. So, this quarter is going to be quite a few number of seats should open up, right?

Amit Ramani: That is correct. If you see the under fit -out center is 1,66,000 seats already, right? So, these centers are already under fit -out. The 1,52,000 seats will be closer to 1,66,000 seats at the exit of March '26.

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Adhidev: Okay. And so, you alluded obviously that for '27, you do not have to share guidance, but the overall 1,77,000 seats , this is something you have clear visibility, means , over the next 18 -months, this should definitely come on -stream or how should we look at it?

Amit Ramani: We have clear visibility down to the center level. I mean, we know the name of the building asset where this will go live. So, a complete clarity on that 1,77,000 seats.

Adhidev: Okay. Fine. The second question is mainly for Ravi if you could answer . Just wanted a capex number YTD ? So, this number is around Rs.110 crores, right , in the six months. So, what is the number for nine months and '26, how much are you going to end up with?

Ravi Dugar: So, for the nine month s period, the number is Rs.159 crores , and we had given a guidance of Rs.200 to Rs.210 crores for the year, and we expect the number to be around that only.

Adhidev: Okay. So, another Rs.55, 60 crores of CAPEX . Okay. And just as a bookkeeping question, are there net cash on books as of December, do you have that number handy?

Ravi Dugar: The cash balance in the books what we have is around Rs.96 crores.

Adhidev: Okay. Including investments?

Ravi Dugar: Including investments. Yes.

Adhidev: Okay. Around Rs.96 crores.

Ravi Dugar: Yes. Rs.96 crores is including FDs and the cash balance and whatever we are carrying.

Adhidev: Okay. This taxation, are we out of it from the fourth quarter onwards or do we move to a normal tax rate means, or there are still some losses and all, which we can cover in the thing?

Ravi Dugar: So, we have a runway of one more year, Adhidev, from here.

Adhidev: Another three or four quarters.

Ravi Dugar: Yes, we will be out of it most likely.

Adhidev: Okay. Fine. That is it from my side. All the best. I will come back if I have more. Thank you.

Moderator: The next question is from the line of Vikrant Kashyap from Asian Market Securities. Please go ahead.

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Vikrant Kashyap: Hi, good evening to the team. My first question pertains to the seat addition. So, the industry has shown a very strong seat addition during the quarter, while if you look at, we have added only 8,000 seats compared to around 11,000-plus seats same quarter last year. So, where we went wrong this quarter? The seat sales number are very high compared to what industry standards are. But in terms of seat addition and also the share of managed seats which used to be 65, 67%-odd is now 62%

of

the portfolio. So, where the deferrals are and how we are planning ahead because we had earlier guided for 40,000 seats in the beginning of the year, now we are guiding for 32,000 seats, so can you please show some more lights on that?

Sumit Lakhani: So, the original guidance for seat additions had been around 40,000 gross addition in a year, whereas we are now guiding around 32,000 to 33,000 seats to be added in this financial year. See, it is primarily from a perspective that we do not need to add a lot of seats for our revenue growth. Our focus is more around on building blended occupancies for the current portfolio and run it that way. So, we are taking a more balanced approach around on it because if you look at the last six to nine months had also been a very peak commercial real estate cycle and we are playing it very guarded and conservatively because we do not want to be stuck with signing up deals at prices which are not conducive for us in long-term. So, that is primarily one of the reasons where we had been a bit more conservative in the whole financial year with respect to our seat additions. Second, we had been balancing our overall blended occupancy along with the margins because we do not want to be in a situation where we add up more seats and sit with a bit more muted kind of occupancy which will have a negative impact on the overall margins. If you look at now, currently in our presentation also, we had given the complete pipeline of our seats especially in the managed aggregation way and the numbers and the kind of pipeline looks very promising. Third, if you see our business model is significantly different than most of the peers. For most of the peers, they end up taking very large spaces. So, the seat addition numbers becomes straightforward and their model is more around on straight leases. Our model is more around on setting up mid-sized co-working centers which cater to the larger number of clients around and which we believe works in a better form both from a capital-light perspective as well as managing the risk perspective and that is the model we follow. So, there the seat addition will always grow in a bit more organic way versus what the peers do. If I can take an example, it is more like building a retail banking book with doing some level of managed offices could be some larger loans happening versus building a complete NBFC book. So, our approach to life is build the business more organically on a brick-by-brick basis in a fundamentally right manner. So, that is what we have been doing. My last point over here would be like if you go through our presentation, we have also given guidance around on how the seat addition is happening across the various quarters. Lot of our managed aggregation seats have already been forward leased. We have signed up these buildings which are brand new buildings which will go live in the coming quarters. And that is the reason why a bit less addition of seats in this financial year.

Vikrant Kashyap: Okay, so the second question is on your transform business. So, for the last two quarters, we have seen deferral in execution or may delay by the landlords in the handover. Still in the nine months

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numbers we look at we are down by around 10% on a YoY basis and we are still Rs.200 crores of pipelines. Please highlight what went wrong this financial year because you are growing very strongly in the transform business, suddenly everything is stuck and the margin profile also deteriorated. So, what kind of steady run rate, we can see and what kind of margin profile if you look at in the transform business?

Amit Ramani: So, the D & B revenue obviously should be viewed on a year-on-year basis. So, Q3 FY26 was impacted, as we said earlier, due to the GRAP restrictions in North and had three large client

projects that

obviously led to a revenue dip. The office and the construction fit out have two revenue streams,

managed aggregation, which is landlord spend and the external client design and fit out projects. The lower managed aggregation, seat addition in nine-month period, obviously last year has impacted the revenue as that number came down. The second piece is that the external client pipeline is obviously very, very strong and Awfis is seeing growth and obviously in this revenue segment and providing obviously a positive outlook going forward. As far as the margin profile goes, it is a fixed cost business, right? So, as the revenue dips, obviously, the margin will dip, because the fixed costs of people continues even when your revenue might drop for reasons such as GRAP or reduction in the number of managed aggregation things.

Vikrant Kashyap: That clarifies. Thank you. One thing that you did very well that you have given the bifurcation of gold and elite models. And also would request if you can give a bifurcation of your co-working and managed enterprise models bifurcation if you can?

Amit Ramani: Sure. Happy to do that from the future. Right now, obviously, I do not have the data handy with me, but absolutely happy to do that.

Vikrant Kashyap: No issues.

Amit Ramani: Thank you very much.

Moderator: Thank you. The next question is from the line of Yashowardhan Agarwal from IIFL Capital Asset Management. Please go ahead.

Yashowardhan Agarwal: Yes. Hi, good evening. Thanks for taking my questions. A couple of questions from my side. So, initially we had guided for 30% growth in revenue and 30% growth in EBITDA. Does that still hold true for us?

Sumit Lakhani: So, if you look at the way the overall business is going. And from a co-working segment perspective, both the revenue guidance as well as the margin guidance we are meeting, but as of nine months, the design and build business as Amit has explained, is an area where the guidance is not going as per

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plan. But, otherwise, in a co-working segment, both the margin as well as the revenue guidance we are going as per the guidance.

Yashowardhan Agarwal: Okay. And sir, coming on to the occupancy, it has improved year-on-year by 200 bps, but if I look at the occupancy of the new seats that we have added, so that has been different quarter-on-quarter, so what is the reason that we are unable to scale up or ramp up the occupancy in the new seats that we are adding?

Sumit Lakhani: So, can you explain how you are figuring out the occupancy for the new seats?

Yashowardhan Agarwal: Sure. So, I do have the data for total operational seats last year, that is in Q3, '25, right? So, in that, the total operational seats were around 122,000. And so I do have the number of occupancy for more than 12 months that is 84%. Sir, I can calculate what would be the occupancy of those seats plus the new seats that we have added this year, so current it is around 152,000 seats and the blended number is 75% is given. So, 122,000 into 84% will give me the occupancy of the mature seats and 152,000 into 75% will give me the blended occupancy. So, this is how I have done the calculation. I hope that is okay with you or else I can share it later on as well.

Sumit Lakhani: So, the way I look at is the overall blended occupancy, the way it is working is a couple of times there is a churn in our mature center also and then the whole occupancy ramp up for the center also needs to do. From our vantage point, the business is not working in a manner that the seats which we have signed up over the last 12-months, that there is any slow ramp up of occupancy for those seats. It is more of a blended portfolio that a couple of times, even the mature center, there is a churn and it takes a bit longer time around on it. So, we look at the occupancy rig

ht now more on a blended

basis and we feel that the centers we have signed up since Q3 of last financial year, the occupancy buildup is happening as per plan.

Yashowardhan Agarwal: Coming on to the churn, is that too high, because if I look at a presentation from first quarter till third quarter, it is mentioned that we have signed 15,000 seats in each of these quarters, right, that is 45,000 seats signed versus if I see the change in total occupied seats, so that is coming around 16,000 seats, so is the ramp up happening too slow or is the churn so high that on a blended level basis, we are seeing the occupancy lower than it could have been, what if the churn would be less?

Sumit Lakhani: No, it is more of a function that most of the seats were added around in Q4 of last financial year. That is why I mentioned in the first question also that I am expecting in the next one or two quarters that the blended occupancy will grow significantly. See, it is also a function like a lot of seats get added in let us say, Feb or March of financial year, then we still have the new centers are in seventh or eighth or ninth month of operation around. So, even the seats like 15,000 seats, which we have signed up in this quarter, the client join in generally happens within 60 to 120-odd days from the day they have signed up the seat. So, there is a lag of almost about 60 to 120-odd days. So, the centers where

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we have signed up or the centers which went live in Q4 of last financial year, we expect a ramp up in occupancy or the occupancy going up beyond 80% -plus in those centers let us say in Q4 of this

financial year as well as in Q1 of the next financial year.

Yashowardhan Agarwal: So, if I look at the depreciation per seat that has increased meaningfully versus last year versus our revenue per seat has been constant. So, what is the reason for depreciation increase? And sir, if it has been the more increase through straight lease model, so why are our margins not increasing in the same direction? So, that is my question.

Ravi Dugar: So, Mr. Agarwal, the depreciation has increased because obviously we are actually focused on the elite and the MO seats what we are talking about, that has led to an increase in depreciation.

Obviously, on the margin side, you will see an uptick in the coming quarters because these seats have been filled over the last one or two quarters. So, this will obviously give an uptick in the margins profile for these seats.

Yashowardhan Agarwal: Okay. I will come back in the queue soon. Thank you.

Moderator: The next question is from the line of Akshata Telisara from Aionios Alpha. Please go ahead.

Akshata Telisara: Yes, hi. Thanks for the opportunity. The capex number, correct me if I am wrong, was Rs.200-210 crores for 40,000 seats and now you are guiding for the same number despite that number coming down to 32,000 seats. Is it largely because of the elite part or there is something more to it?

Sumit Lakhani: So, you are right. If you look at the whole nine-month financial year, the larger portion of seats which went live had been more on the straight lease side versus the managed aggregation seats which are right now skewed for Q4 and Q1 of the next financial year. Why we ended up doing a bit more straight leases is two reasons. One is we set up more few elite centers which came in more straight lease model where the whole fit-out capex needed to be done from our side and it also has a higher capex as compared to our flagship product. Second, we saw significant traction in GCC business where we set up new centers for these GCCs and the supply structure in these were primarily straight leases and where we ended up doing our own fit-outs. So, it is a function that in nine months, the more nature of the business was around on GCCs as well as elite versus typically our

managed
aggregation model.

Akshata Telisara: Okay. And despite the occupancy jump that has not really flown down to Ind AS EBITDA margins. Would you only assign it to the transform business or there is something beyond that?

Ravi Dugar: The main reason for that is the transform business because if you otherwise look at it, the margin would have certainly improved in the co-working business, but because of the transform business

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having a bit of a dip this quarter because of the reasons we explained earlier, it has had an almost negligible impact on overall EBITDA improvement in Ind AS.

Akshata Telisara: Okay. And would you be able to share capex for '27 right now?

Ravi Dugar: I would not be.

Akshata Telisara: Okay. Sure.

Moderator: The next question is from the line of Siva from Ithought PMS. Please go ahead.

Siva: Hi, thank you for the opportunity, sir. So, my first question is regarding Awfis Transform. In the last call, we had an update that we are expanding into a new segment of clients like retail, hospitality, and others as well. So, could you share an update on how it is working out for us and out of the pipeline that you mentioned how much do these segments contribute?

Sumit Lakhani: Sure. So, I do not think we said that we would immediately move into these categories. The majority of the focus for us is on commercial workplace interiors, which we have done in the last four years since the business has been kind of inceptioned, has primarily focused on commercial workplace interiors. The plan was not to immediately go into these new segments, but as we subsidize this business, the idea was that this would give the leadership of that business the opportunity to expand into those avenues. Today, almost I would say 95% of the business comes from commercial workplace interiors. Even the pipeline that I mentioned earlier of almost 8 lakh square feet, 100% of that is basically from the commercial workplace opportunities. Obviously, the sectors are diverse; they are across industrial chemicals, across IT, ITES, across BPO, etc. But currently, the business does not do any major, I would say, non-commercial workplace interior. We do a little bit of educational spaces that we have recently started, but that is about only 5%. Rest of the segments is negligible. These will develop over the next two to three years. Today, we have a market leadership in IT, ITES and BPO, etc., these kinds of service offerings, especially under 100,000 square foot area. We want to make sure that we continue to have a market leadership position in that space, and then obviously, once we have established that, then expand it to the other category.

Siva: Yes, I understood. Thanks for the clarification. And so my next question is regarding the investment that we made for a furniture capacity. So, we made a Rs.7 crores to Rs.10 crores investment, right? And do we have any update on the same? So, what is the revenue potential here that you are looking at apart from capital consumption?

Ravi Dugar: So, we have not made any investment into the furniture manufacturing. Currently, all the manufacturing has gone through contract manufacturing. There is actually no zero capital investment and there is very negligible investment that has gone into the furniture business. We will in the fourth

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quarter be able to give a more clear guidance for the furniture business, which currently is in a very nascent stage, but we have not invested anything in that business at all.

Siva: Understood, sir. So, what is our refurbishment capex cycle looking like, so how many years do we wait until we renovate the property, and what is the capex per square feet for refurbishment?

Ravi Dugar: So, typically, if you look at our centers, the average tenure of a center is between

nine to 10 years.

At a five-year mark, we believe that at that mark, the center requires probably 15 % to 20% of investment to refresh it for another five years. Essentially, every month, we have what we call a repair and maintenance, depends on the center, age, etc., but it is basically enough for us to keep the center fresh for the first five years with that minimal investment that happens as part of the operating expense every month. Essentially, at the five-year mark, there could be one or two things. One, we could obviously continue in that center. Sometimes we decide not to continue, but ideally, 80 % to 85% of centers, we look at a 10-year tenure. In that situation, at the five-year mark, we do a 15 % to 20% in refurbishment.

Siva: Understood, sir. That is it from my side. Thank you.

Moderator: The next question is from the line of Aditya Sharma from Shikara Investments. Please go ahead.

Aditya Sharma: Hi, sir. Thanks for the opportunity. Trying to understand the reasons why we reduced the guidance from 40,000 seats to 32,000 seats. So, one of the reasons you highlighted was basically we are trying to go slow in the larger seat format, the 500-seater. So, that is the understanding that we are trying to maintain a mix? So, around 500-seater plus is currently around 35 %, 36%-odd. So, are we trying to maintain a mix which is leading to a lower seat addition?

Sumit Lakhani: So, I will explain and clarify it a bit. We are not averse to signing up 500-plus-seater clients. But, as a business model, when we sign up a speculative center, so let us define a center where we do not have a demand on day one, these centers, we prefer to sign up generally at 30,000 to 40,000 square feet kind of size, not very large kind of centers like 100,000 or 200,000 square feet where the seat sizes would almost be 2.5-4x of that. So, by default, we look forward to more number of sites to be selected, more number of cities to be covered, more number of micro-markets to be covered, because we love setting up a larger network. So, by nature of this, when we sign up these mid-size centers, we get a mixed cohort. So, our typical center gets cohort of one or two customers of 200-plus, two or three of 100 to 200, and lot between one to 100-seater cohorts. We love doing this site because the diversity of clients, the diversity of supply, the diversity of buildings, the diversity of locations ensure that we are able to run through any kind of macro headwinds for 10-to-12-year period in that center. Second, if you look at the other big advantage, what we see is, we have a clear market leadership in one to 100-seater cohort, which ends up yielding better price realizations for us as compared to the larger cohorts, so that is the kind of business we do. Now, this is a typical co-working business. For Awfis Space Solutions Limited

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lot of GCCs and large strategic clients, which we have disclosed earlier as well, like National Stock Exchange and couple of GCCs, we have set up centers which are much larger, which are dedicated to them, and they are in the 500-plus or 1,000-plus-seater cohort, and we continue to do it, but we do it in a more strategic kind of manner. What we see as a risk is if we grow a business very large kind of dedicated centers for these larger cohorts, the challenge is that after their locking period ends, which could range from 36 months to 60-odd months, these centers are very, very customized only to that client's requirement, and the occupancy buildup at that point of time could have a negative impact on the P&L. Second, the refurbishment cost would end up being a bit more. So, there we are a bit more strategic and a bit more conservative for doing back-to-back businesses, but this we are doing very seriously and very aggressively for first-time GCCs. If you would refer to our presentation this time, we have

also given two case studies on how we are growing this segment of business, which in our industry is called "Managed Office" with respect to the first-time GCCs.

Aditya Sharma: Yes, got it. If you could touch on that point, how are you strategic in the sense like how do we circumvent these risks that you highlighted in the time with GCCs?

Sumit Lakhani: So, one, we are strategic in a manner that we select the customers with whom we work and provide more larger kind of projects dedicatedly, so for whom we are setting up larger kind of contracts. So, these are either the strategic clients with whom we have worked across the multiple centers. So, like one of the IT majors, we have probably delivered almost about 500,000 plus square feet for them across five to six different locations. So, tomorrow, if they come back to us and they want us to even set up a 100,000 square feet center, we are very clear because we are aligned with the team, we know their teams well, we know their strategy well, and we feel comfortable that they would be there with us for a long time. So, these are a group of almost about 15 to 18 different large occupiers with whom we work. Second, a case in point, a company like National Stock Exchange with whom we have a relationship across four plus centers. Second, the segment of customers which is helping us grow

this managed office business is the first time GCCs. There, we see a very strong stickiness which comes across with these GCCs. For them, a flex operator is the preferred choice because they are looking at us, we add significant value for them in terms of execution of space, finding the space and running the space, and they want preferably one single player to run and manage the whole thing, and they end up giving a more longer kind of lock-ins to us.

Aditya Sharma: Got it. Thank you.

Moderator: Ladies and gentlemen, due to time constraint, we are taking it as a last question. I would now hand the conference over to the management for the closing comments. Over to you, sir.

Sumit Lakhani: So, we thank everyone for joining the call today. We hope we have been able to give you a detailed overview of our business and answer your queries. Should you have further queries or clarifications, please feel free to reach out to SGA, our investor relations advisors. Thank you.

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Moderator: Thank you. On behalf of Ambit Capital Private Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

Corporate and Regd. Office
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CIN: L74999DL2014PLC274236

Date: May 29, 2026

To,
National Stock Exchange of India Limited
("NSE")
Listing Department Exchange Plaza, C-1 Block G, Bandra Kurla
Complex Bandra [E], Mumbai – 400051 To,
BSE Limited ("BSE")
Listing Department
Corporate Relationship Department Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai – 400001
NSE Scrip Symbol: AWFIS BSE Scrip Code: 544181
ISIN: INE108V01019 ISIN: INE108V01019

Subject: Transcript of the Earnings Conference Call w.r.t. Audited Financial Results of Awfis Space
Solutions Limited ('the Company') for the Financial Year ended March 31, 2026

Dear Sir(s)/Madam(s),

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015, please find enclosed the transcript of the Earnings Conference Call held w.r.t. Audited
Financial Results of the Company for the Financial Year ended March 31, 2026, held on Monday,
May 25, 2026, at 05:30 P.M. (IST) with the Management of the Company.
The above information will also be available on the website of the Company at
<https://www.awfis.com/investor-relations/initial-public-offer/financials>.

We request you to kindly take this on your record.
Thanking You.

For Awfis Space Solutions Limited

Shweta Gupta
Company Secretary and Compliance Officer M. No. F8573
Address: C-28-29, Kissan Bhawan,
Qutab Institutional Area, New Delhi – 110016

Encl: as above
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Awfis Space Solutions Limited
Q4 FY26 Earnings Conference Call
May 25, 2026

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio
recording uploaded on the stock exchange on 25th May 2026 will prevail.

MANAGEMENT : MR. AMIT RAMANI – CHAIRMAN AND MANAGING DIRECTOR
M R. SUMIT LAKHANI – CHIEF EXECUTIVE OFFICER
M R. SUMIT ROCHLANI – CHIEF FINANCIAL OFFICER

MODERATOR : M R. VIKRANT KASHYAP – ASIAN MARKETS SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Awfis Space Solutions Limited Q4 FY '26 Earnings Conference Call hosted by Asian Market Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Mr. Vikrant Kashyap from Asian Market Securities. Thank you, and over to you, Mr. Kashyap.

Vikrant Kashyap: Thank you. Good evening, everyone. On behalf of Asian Market Securities, we welcome you to the Q4 FY '26 Earnings Conference Call of Awfis Space Solutions. Today, we have from the management team, Mr. Amit Ramani, Chairman and MD; Mr. Sumit Lakhani, CEO; and Mr. Sumit Rochlani, CFO. I now hand over the call to Mr. Amit Ramani for his opening remarks. Thank you, and over to you, sir.

Amit Ramani: Thank you, Vikrant. Thank you, and good evening, everyone. A very warm welcome to all of you joining us on the call today. I'm joined by Mr. Sumit Lakhani, our CEO; Mr. Sumit Rochlani, our Chief Financial Officer; and our Investor Relations Advisors from SGA. Our Q4 and FY '26 results presentation has been uploaded on the stock exchanges, and I hope you have had a chance to review it.

FY26 has been a defining year for Awfis. It was a year marked by strong execution, deeper enterprise adoption, sharper premiumization of the network and disciplined capital deployment. More importantly, it has been a year where the Awfis platform has demonstrated that scale, profitability and industry-leading returns on capital can all be delivered together consistently and at pace.

Before I get into our performance, I want to spend a moment on the broader landscape because the structural backdrop today is exceptionally supportive of what we have been building. India's commercial real estate market is at one of the strongest phases. CY 2025 saw record office leasing of 82.6 million square feet.

The third consecutive record year with new Grade A supply, completions also reaching a peak of 58.9 million square feet. The momentum has carried into CY 2026 with Q1 recording 21.9 million square feet of gross leasing, a 13% increase year-on-year despite a noisy global environment.

GCC continues to lead the chart, now accounting for over 40% of total CRE leasing, while flexible workspace operators contributed nearly 23% of the leasing activity. Demand from
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premium Grade A assets is strengthening across the top micro markets. The Flex segment itself has grown eightfold over the past 8 years with penetration rising from 5% to 21% and expect it to reach 25% by 2027 as per leading industry estimates. Flexible workspace stock has grown roughly 3.5x since 2020 and continues to grow at a rapid pace.

The shift from real estate as a cost line to workplace as a managed business outcome is no longer a thesis. It is now visible in the numbers. Two forces are amplifying this further. The AI wave is reshaping how global enterprises view India as a true innovation and product development hub rather than just a cost destination driving GCC mandates that are larger, longer and more premium.

India's GCC ecosystem has now crossed 2,100 GCCs, generating nearly \$100 million in revenue with over 500 new GCCs and 1,000 new units established in the last 5 years alone. More than

1,200 of these GCCs now have active AI and ML capabilities and India ranked number 1 globally in AI hiring intensity across GCC markets.

What is particularly significant is the pace of maturation. 48% of India's GCC now operate at portfolio or transformation of maturity, up from 42% just a few years ago and 26% of new GCCs are reaching portfolio stage within 5 years, a journey that has historically took a decade.

At the same time, Indian IT services companies are returning with larger workspace mandates as cost parity narrows and AI-led delivery mode I scale up. Both forces play directly to our strengths across GCC's, managed office, and even the coworking segment, where AI-

nativestartups and distributed teams are driving incremental demand.
 Again, this backdrop Awfis delivered a strong Q4 and are defining full year performance.
 For FY '26, revenue from operations grew 24% year-on-year to INR1,493 crores with our
 coworking and allied services segment growing 35% to INR1,237 crores, a meaningful acceleration over the previous year.
 To put that in context, this segment alone added INR321
 crores of incremental revenue during the year.
 Operating EBITDA grew 37% year-on-year to INR550 crores with margins expanding to 36.8%.
 This expansion is a cumulative outcome of several things working in our Favor at once, deeper
 enterprise demand, operating leverage as the network matures, the premiumization mix shift and
 the rising contribution of mature centers flowing through at full economics.
 PAT before exceptional items grew 66% to INR71 crores reflecting the underlying earning
 quality of the platform. We continue to operate at industry-leading capital efficiency with ROCE
 sustaining at 60% plus and maintained at a net flat position through the year.
 Let me now turn to strategic themes that defined FY '26 and that will continue to shape FY '27
 and beyond. We see 5 engines driving the next phase of our growth, and I will walk you through
 each of them. The first engine is premiumization at scale. Premiumization has now become
 default at Awfis, not a strategy overlay.
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Every new center signed during the year was in a Grade A/A+ asset with top demand
 micromarkets. That's standard now and non-negotiable. Nearly 60% of our new supply signed
 during the year was with institutional landlords, a significant step-up in our partnership with
 India's marquee developer ecosystem. These institutional assets are increasingly the natural
 home for gold and elite formats, which continue to see disproportionate traction from enterprise
 and GCC clients.
 We closed FY '26 with 35 Gold and Elite centers across key GCC and enterprise hubs in India
 and the premium footprint continues to scale. The average size of a center signed across FY '25
 and '26 is approximately 20% larger than our legacy portfolio, reflecting our deliberate shift
 towards enterprise-ready format, which are better aligned with GCC and managed office
 mandates.
 We also became the first coworking brand in India to achieve three WELL certifications,
 simultaneously across Health & Safety, Equity, and Coworking ratings, a meaningful differentiator as GCC and large
 enterprises increasingly value the wellness and compliance credential.
 Premiumization is translating into structurally better realization, stronger pricing power, longer
 client tenures and a meaningfully higher quality of revenue. The full financial benefit of this
 shift is still ahead of us and as the FY26 cohort of premium centers mature into steady-state
 economics, they are designed to deliver.
 The second engine is multi-format supply. Our supply strategy today operates across 4 distinct
 pillars, and I want to walk you through each briefly.
 The first is a revamped managed aggregation engine. We are increasingly using forward leasing
 as a strategic tool locking in Grade
 A/A+ assets in high-demand micro markets well before they
 are ready for fit out. We have already pre-committed over 4 lakh square feet under our MA model through Q2 FY '28. We are
 forward leasing, securing Grade A+ supply and with capital-
 light assets in advance.
 The next evolution of this is developer partnership model. We are in advanced discussions with
 2 marquee institutional developers for structured partnership built around shared capex, premium Grade A+ assets and Awfis
 managing the end-to-end operations. For us, this means
 premium supply at materially lower net capital intensity and sharper ROCE compounding. We
 expect these partnerships to become a meaningful supply pillar in FY '27 and '28.
 The second is the next wave of enterprise supply anchored by 2 formats: Partial Managed Office
 and Demand Side Innovation where Awfis signs a new property, where only when 40% to 70%
 of the seats are already anchored by the enterprise or GCC client at the time of signing. The
 balance is filled through coworking, giving us anchor economics from day 1 and yield upside of flex inventory at center fill.
 We have already a few partial MO centers started to go live soon with marquee anchor clients
 secured across Pune, Mumbai, Bangalore at the time of signing itself. Alongside this, premium
 managed office mandates from Fortune 500 GCC clients are driving large long tenured, high
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realization requirements that add clear revenue visibility to our pipeline. The third is disciplined risk mitigated supply acquisition.

Our supply portfolio is built to perform across cycles. Every deal goes through an asset liability mismatch validation before signing and we are locking in flagship under construction assets, only where we have prevalidated demand and return signals.

We are also increasing the signing supply with a forward view, securing the best assets early in building a pipeline that is resilient regardless of where the CRE cycle moves. And the fourth is Premium by Design, 100% of new supply is in Grade A/A+ assets. We now have 35 Gold and Elite centers growing with a deepening presence in marquee IT parks and over 60% of new leasing time with institutional landlords.

The premium filter is non-negotiable and is what drives the realization trajectory we are building towards.

The third engine is GCC: Structural Demand Engine. GCC demand in India is no longer a cyclical theme. It is structural multiyear tailwind, and it is accelerating. India continues to add 20 to 30 first-time GCCs every quarter and the mid-market segment, which is our primary focus area, remains the fastest growing and most underpenetrated GCC category in India today.

The fourth engine for our organic growth, which is often underappreciated is conversations about our business, but is of the most powerful compounding levers we have. Our existing network itself is the growth engine.

Renewals and seat expansion within existing clients are deepening every quarter, and the multicenter client base, which today accounts for 48% of our total clients. This continues to grow as enterprises consolidated their Pan-India workspace requirements with Awfis.

To give you a sense of demand velocity, we sold over 58,000 seats across the platform in FY '26. What makes the compounding particularly powerful is the butterfly effect within our client base. A client entering through coworking often expand into managed office and then into full design and build mandate through Awfis Transform.

This is not a sales motion. It is a natural progression that plays out every quarter.

The fifth engine is the Value Beyond Flex, the set of adjacencies that compound of our core platform. Let me start with Awfis Transform: a design and build business. FY '26 was a softer year on overall D&B revenue, driven by project timing and lower count of managed aggregation deals. But the structural

shift in the business is the real story.

Third-party revenue, our external client work outside of Awfis centers grew from INR95 crores in FY '25 to INR152 crores in FY '26, a 27% CAGR over 2 years. Third-party share has moved from 47% to 59%, and the average ticket size has nearly doubled. We closed 5 orders above INR10 crores in FY '26 compared to just 1 in FY '24 and '25, and 17 orders above INR5 crores in FY '26 versus 11 in prior 2 years combined.

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Transform is now delivering across sectors as diverse as BFSI, pharmaceuticals, telecom, industrial, consulting and aviation, and we executed projects over across 20-plus cities in FY '26 alone. The pipeline going into FY '27 is materially stronger with INR130 crores of mandates already won in delivery across the next 6 to 7 months.

This is no longer a support function. It's just a stand-alone business with its own client relationships, its own capability stack and its own compounding pipeline. The cross-sell flywheel is one of the most powerful aspects of this business. 80% of our external D&B revenue comes from our flex clients. And it works the other way too.

Transform clients are now anchoring future flex and managed office demand back into the Awfis network. We have also been building Frame by Awfis, our furniture business over the last few quarters. The approach is deliberately capex-light rather than building own manufacturing infrastructure.

We have assembled a contract manufacturing setup across 5 plus partners covering all major furniture categories, giving us quality control and scalability without the capital commitment. The majority of our new coworking centers will have frame furniture deployed by H1, making it the default for our own center rollouts. Beyond that 30% to 40% of our D&B deployments are now integrating Frame through our existing transform pipeline.

And by H2, we expect to have 2-3 large external mandates closed with corporate clients where we are not engaged in Flex or D&B relationship, which is the first proof point of Frame as a stand-alone revenue channel. FY '27 will be a year of building this vertical with quality, discipline and right unit economics before we accelerate further.

Elite services across IT, F&B, transport, business support, continue to scale rapidly with attached rates increasing at our enterprise and GCC mix deepens. Each of this is a high-margin layer on top of our core seat economics and a meaningful differentiator after compound wallet shares per

client over time.

Taken together, these 5 engines, premiumization, multi-format, GCC demand, organic growth and adjacencies are not separate initiatives. They reinforce each other. A premium center attracts a GCC client. A GCC client multicenters into our network and absorbs the allied services, a managed office mandate, converts into Transform engagement and each of these makes the new partial MO or develop a partnership easier to sign. This is the compounding flywheel we have been building towards in FY '26 is the year it has visibly started turning.

Before I close, a word on FY '26 guidance. Our coworking and allied services segment comfortably met both revenue and EBITDA guidance for the year. Consolidated revenue growth was slightly impacted by softness in Design Build segment, where EBITDA held up strongly, which speaks to the operating leverage and the earnings quality of the core platform.

To summarize FY '26 has been a defining year for Awfis. We have scaled the premium portfolio meaningfully, deepened our GCC enterprise base, built our new adjacencies in Transform and Frame, delivered industry-leading returns on capital and stayed net cash through it all. The 5 engines I walked you through are not a plan for tomorrow.

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They're already in motion, each one reinforcing the

other and each one positioned to compound

through FY '27 and beyond. The business is in the strongest position yet. FY '27 is not about building for the future, it's about compounding on every strong present.

With that, I would now like to hand over the call to Sumit Lakhani, our CEO, to walk you through the operational highlights in greater detail. Over to you, Sumit.

Sumit Lakhani: Thank you, Amit, and good evening, everyone. Let me walk you through the operational highlights for Q4 and FY '26. And then let me also pick up on a few items Amit referenced.

During FY '26, we added nearly 30,000 seats across the network on a gross basis across 41 new centers with 100% of new supply in Grade A/A+ assets.

As of March 2026, our total supplies stood at 250 centers and approximately 167,000 seats across 18 cities, while signed supply expanded to 266 centers and approximately 184,000 seats.

Operational capacity today stands at 156,000 seats. We were highly selective on supply this year, focusing only on Grade A/A+ buildings, prime micro-markets and centers with strong anchor demand.

More broadly, our supply additions are now increasingly optimized for revenue per seat rather than headline seat count. So while the headline number looks a bit smaller, the underlying economics are materially stronger.

Our supply pipeline going into FY '27 is robust with a meaningful share already secured through signed LOIs and centers under fit-out. All occupancy, mature centers defined as those operating for more than 12 months sustained at approximately 84%, while the blended occupancy stood at 76%.

To put that trajectory in context, over the last 4 quarters, we have moved blended occupancy up by 300 basis points on an average seat base of over 145,000 seats, which is a meaningful lift at this scale. We are also increasingly anchoring new client additions on pre-committed demand, either through full or partial managed office arrangements before setting up a center.

What that means is new centers are coming online with a higher starting occupancy than what has historically been the case, which structurally reduces the drag from new additions on blended numbers.

Demand quality has continued to deepen meaningfully. Enterprise and MNC clients now account for 64% of our client base. Average client tenure has strengthened to 37 months with lock-in tenure at 26 months, both of which reinforce the durability and predictability of our revenue base.

The 500-plus seat cohort, which is the most premium and stickiest segment of our portfolio now represents 37% of our overall portfolio mix. Multicenter client penetration is one of the strongest signals of platform value in our business.

Today, 48% of our client base operates across multiple Awfis centers and depth here is accelerating. Clients operating in 3 more centers now account for 31% of our seats up 300 basis

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points quarter-on-quarter. Those in 5 or more centers account for 18%, also up 300 basis points and the share of clients operating across 10 or more centers has risen by 600 basis points quarter-on-quarter.

When a client expands from one center to multiple centers across cities, they are not just renewing a contract, they are choosing Awfis as their national operating partner. What is also worth highlighting is the density we have built within the key micro markets. We have a strong and deep presence across the

most important micro markets in every major Tier 1 city with multiple format types co-located in the same catchment serving start-ups, corporates and GCCs simultaneously.

Like, for example, Outer Ring Road in Bangalore alone houses 12 of our centers, offering the full format stack from Value, Gold, Elite to Awfis 6.0 and managed office within a single micro market. BKC in Mumbai houses 5 centers serving BFSI, GCC and start-ups in India's most premium address.

This cluster

creates network effects that are very difficult to replicate. Each new center strengthens the network, we can see risk drops as the catchment deepens, wallet capture per client increases and shared operational infrastructure across clustered centers drives lower operating expense and higher margins over time.

Our diversified client mix remains one of our strongest structural differentiators. We continue to serve across enterprise clients, SMEs, start-ups and mobility led users each through differentiated formats and solutions. This breadth gives us occupancy velocity at the entry end, anchor stability at the enterprise end and the funnel of clients who scale from one to another over time.

Our GCC business has continued to scale meaningfully. Before I get into the Awfis aspect metrics, it is worth noting the broader landscape. India's GCC ecosystem has now crossed 2,100 GCCs, operating across 3,700-plus units with the mid-market segment, which is our primary focus area remaining the most underpenetrated relative to its corporate base.

Over 100 new GCCs were established in India in FY '26 alone per the latest industry data and the tailwind from AI adoption is driving both new entrants and the expansion of existing GCCs at a pace we have not seen before. Two-third of new GCCs continue to choose Bangalore and Hyderabad as their primary location, but emerging hubs are also gaining traction.

And our 18 cities presence across Tier 1 and Tier 2 markets give us a network to serve these clients wherever they choose to set up. Within this landscape, Awfis now serves 100-plus unique GCC clients across 9 cities contributing approximately 23 % of our rental revenues.

We closed 14 major GCC mandates in FY '26 with 6 already committed for FY '27 and another 7 in advanced stages of discussion. The momentum here is real and visible. Our strategic focus, as Amit mentioned, is the mid-market GCC clients typically entering with 25 to 200 seats and scaling rapidly across multiple cities.

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The GCC client lifecycle within Awfis follows a very predictable pattern. Client typically enters at 25 to 50 seats in our working on board formats, expanding to 100 to 200 seats as operations mature and increasingly take up managed office mandates over time.

This creates long-term revenue visibility, deep stickiness and rising allied services rates as the relationship grows. Each new GCC cohort is materially larger and stickier than the previous one, deepening the compounding effect we see across the client base.

On the premium portfolio, we closed FY '26 with 35 Gold and Elite centers comprising 27 Gold and 8 Elite, and this segment continues to grow as a share of new supply. Our premium footprint now covers 8 key GCC hubs including all 7 Tier 1 cities, giving us the right presence in the market where premium demand actually sits.

Premium centers are increasingly the front door for enterprise conversions, large managed office mandates and higher allied services attached. They also command structurally higher realization. And as this cohort matures further through FY '27, the realization and margin contribution will continue to flow through.

A quick word on the 3 adjacencies Amit referenced earlier. On Awfis Transform, Amit walked you through the structural shift in the business, the third-party revenue trajectory and FY '27 pipeline. From an operation standpoint, I would add that Transform is increasingly becoming a national multisector platform.

The flywheel between our Flex business and Transform continues to strengthen, and we see this as a meaningful driver of per client revenue going forward. On Frame by Awfis, we have built the foundations through FY '26.

The team is in place, the contract manufacturing setup is operational across 5 plus partners and FY '27 will be a year of deliberate build for this vertical. Allied services

across IT, F&B,

transport and business support continue to scale steadily as a higher-margin layer over our core seat economics.

Before I close, one important point on our coworking business. Coworking is sometimes overshadowed in conversations about enterprise and GCC growth, but it remains one of our deepest structural advantages. Awfis is the only scaled flex operator in India with a genuinely

deep and diversified presence across the small and midsize cohort of coworking segments from single seat users to 100-plus seat clients.

What is particularly interesting is that around half of our sub-100-seat clients are large enterprises or MNC clients. Even at entry point scale, we are adapting blue-chip demand, not just filling seats. This is a highly operations-intensive business and with meaningful entry barriers built over more than a decade of execution, technology integration, operation depth and network scale. It is also the segment that creates the funnel for everything else where the network effect begins and the moat that is very difficult to replicate. Overall, what we are seeing across the operational

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metrics is a network that is maturing well. A client base that is deepening rapidly and a platform that is set up to compound.

With that, I hand over to Sumit Rochlani for the financial update.

Sumit Rochlani: Thank you, Sumit, and good evening, everyone. Let me walk you through the financial performance for Q4 and FY '26 in detail. Starting with the fourth quarter, consolidated revenue from operations for Q4 FY '26 stood at INR410 crores, growing 21% year-on-year. Within this, our coworking and allied services segment grew 27% year-on-year to INR342 crores, continuing the strong momentum we have seen through the year.

On a sequential basis, this segment also grew 6% quarter-on-quarter, reinforcing the consistent compounding trajectory. Operating EBITDA for the quarter stood at INR152 crores, a 31% increase year-on-year with EBITDA margins expanding to 37%. Profit before tax and exceptional items grew 97% to INR24 crores, and PAT for the quarter came in at INR23 crores, compared to INR11 crores in Q4 FY25, a growth of 107%.

Moving on to the full year. Consolidated revenue from operations for FY '26 stood at INR1,493 crores, a 24% increase year-on-year. Our coworking and allied services segment grew 35% to INR1,237 crores adding INR321 crores of incremental revenue in a single year. To put this in context, INR321 crores of incremental CW (Co-Working) net revenue in 1 year. Operating EBITDA grew 37% to INR550 crores, with EBITDA margins expanding by approximately 350 basis points to 36.8%.

PAT before exceptional items grew 66% year-on-year to INR71 crores. As a reminder, the exceptional gain in FY '25 related to our exit from Awfis Care business and there are no exceptional items in FY '26.

On a normalized basis, adjusted for Ind AS 116 and other accounting items, normalized EBITDA for FY '26 stood at INR213 crores a 27% increase year-on-year, with normalized EBITDA margins at 14.3%. Our balance sheet remains in excellent shape. We maintained a net cash position throughout the year.

With net debt to equity at negative 0.20 and gross debt to equity at 0.09, reinforcing the financial discipline that underpins our group. Cash generated from operations for FY '26 stood at INR655 crores.

After tax payments, net cash from operating activities came in at INR616 crores as per Indian accounting standard. On a normalized basis, adjusted for lease liability outflows, normalized cash flow from operations was at INR216 crores, reflecting strong cash conversion with operating cash flows to EBITDA of 1.01x. On returns, ROCE sustained at 60% and annualized ROE stood at 17%.

Just as importantly, our revenue to gross fixed assets ratio came in at 1.5x, which is best in the industry, reflecting the asset producti

vity advantage of our capital-light managed aggregation model. On capex, total capex deployed towards capex during FY '26 stood at approximately INR208 crores, primarily directed towards Grade A/ A+ centres in premium micro markets.

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With that, we conclude our opening remarks and would like to open the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question is from the line of Murtuza Arsiwalla with Kotak Securities.

Murtuza Arsiwalla: Just 2 or 3 questions. One is when you refer to your occupancy, is the base on operational capacity or on the total supply of 167,000 seats. So that's first one. Second, what's the margin profile on the D&B business or roughly INR250 crores of external revenues? And the third one was on, I don't seem to see revenue to rent kind of a ratio, which is a lot of your peer set sort of reports. So if you could give us some indication on that?

Sumit Lakhani: I'll start answering your question, this is Sumit. So with respect to the occupancy, we look at the

occupancy calculated on the total operational seats, so which in this case would be around 157,000 seats. With respect to your second question around on design and build revenue and margin. I'll request Sumit rochlani to answer that.

Sumit Rochlani: The design and build margins are close to 7% to 8% , and this is the net margins that I'm referring to. And the last question you had was on rent to revenue ratio, is it?

Murtuza Arsiwalla: Yes.

Sumit Rochlani: Yes. So the revenue-to-rent ratio for us comes around 2.3x.

Moderator: Our next question is from the line of Yashas Gilganchi with BOB Capital Markets Limited.

Yashas Gilganchi: Would you be able to share what is the operational chargeable area as of 4Q '26? And also the centers assigned to the partial managed office? Are these centers also likely to be bigger than the typical Awfis center or is it right to assume that from now on, the average Awfis center is likely to be bigger across all offerings?

Sumit Lakhani: So the operational chargeable area, we are looking at every seat as 50 square feet. So across various metrics of seats, which we have given you could directly just multiply by 50 for the area.

So that's the standard metrics we have been following over the last couple of years. In terms of your question around partial managed office centers, the primary goal for us is to set up centers in the range of about 30,000 to 50,000 square feet.

However, in partial managed office centers, we are a bit agile in terms of -- if the size of the center increases. There are certain discussions where we would be looking at signing closer to about 65,000 to 70,000 square feet centers where the client demand ranges from about 40% to 50% day 1.

Yashas Gilganchi: Okay. Understood. And what is the highest sustainable level blended occupancies can be treated in your portfolio? And what would drive that improvement?

Sumit Lakhani: So primarily, the overall -- if you look at the headline blended number, over the last 4 quarters, as I mentioned, it has gone up by 300 basis points at an average seat base of about 145,000. The blended figure of 76%, it's essentially a function of the large cohort of new centers added during

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FY '26 still being in the ramp phase. So as long as we are growing at this pace, there is always going to be some drag on blended occupancy, right.

On our mature cohort, the centers, which are operating for more than 12 months, we are at 84%.

This is healthy, but this is also where we believe there is a room to do better in FY '27. So primarily 3 actionable levers over here from our side, more deeper GCCs and enterprise penetration across these centers.

Second, what we are aiming for is longer tenure deals into these centers. And a straight

forward

actionable for is more active renewal and churn management across the portfolio. Broadly in this kind of a cohort, we would prefer that at least we have a couple of 100 basis point increase over the next couple of quarters.

Yashas Gilganchi: Understood. And if I could just squeeze in another question. With the meaningful improvement of growth in your D&B business and a higher proportion of Elite and Gold centers, how do you expect EBITDA margins to trend over the next few years?

Sumit Lakhani: Sorry, can you repeat that question?

Yashas Gilganchi: Sure. With the meaningful growth in your D&B business and a higher proportion of the Elite and Gold centers, how do you expect EBITDA margins to trend over the next 3 years?

Sumit Lakhani: So see, fundamentally, if you look at a broad view of next 2 to 3 years, we think that all the interventions which we are making right now with respect to moving into the whole premiumization strategy, we think we will move into a serious kind of uptake around on EBITDA margins going forward. And a D&B business with a good portion of D&B business coming from third party over the course of next 2 to 3 years will help contribute further in improving the EBITDA margins.

Moderator: Our next question is from the line of Shamit Ashar with Ambit Capital.

Shamit Ashar: So I just wanted to know what would be the seat addition for FY '27 be. And what kind of capex number are you looking for in FY '27, given that we'll be adding more of Gold and Elite centers and some elevated capex in '27?

Sumit Lakhani: So, the way of what we have done in FY '26. So the FY '26 seat addition is reflecting more of a deliberate choice of quality over quantity. If you looked at , we were very highly selective on supply this year, focusing only on Grade A and A+ building. So we would look at following a similar kind of a trend around on FY '27 as well . Because the supply additions, the way we are looking at is now increasingly optimized for revenue per seat rather than the seat count.

And what we expect to do is probably around 22,000 to 25,000 gross seats translating closer to 1.25 million square feet. We have a decent kind of a pipeline and already a significant kind of visibility around on achieving these seats. In terms of the overall capex, the way we are

projecting and seeing is it would be almost on similar lines of FY '26 across for these seats.
Moderator: Our next question comes from the line of Aditya Sharma with Shikhara Investments.
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Aditya Sharma: Just trying to understand what happened in this quarter? In last quarter, we reduced our guidance from 40,000 to 32,000 seats, and I think what we have done is 26,000. So if you could just help us understand what has led to this reduction in terms of what we had guided.

Amit Ramani: So on the coworking and allied piece segment, we obviously comfortably we met both revenue and EBITDA guidance, right? So 35% revenue growth and 37% EBITDA growth, obviously, speaks for itself. On basically the seat addition its elf, obviously, it's a deliberate choice of quality over quantity. We were highly selective on our suppliers this year.

We focused on only Grade A plus buildings, prime micro markets centers with strong anchor demand, and a larger share of elite and managed office center, which carry obviously longer fit-out timelines also shape the whole phasing. More broadly, our supply additions are now increasingly optimized for revenue per seat rather than the headline seat count. The underlying economics per seat are still materially strong.

Sumit Lakhani: So just one more point around here. The gross addition for FY '26 had been around 30,000 seats and not 26,000 seats...

Aditya Sharma: Can you help in terms of clarifying that because when you put in the presentation first half was 14,000 and then we did 8,000 and then we did 4,000.

So my math suggests it's 26. So I didn't

understand how did you put 30,000 plus seats added because if we just go back in previous presentations, H2 was 14 last quarter was 8. This quarter was 4?

Amit Ramani: So the seat addition still is 30,000. It's because of some of the closures that have happened. So the gross addition is 30,000. There are a few centers that have been closed and hence, because of that number, again, there is some mismatch in what you're saying and what we are seeing.

Aditya Sharma: Okay. So the number, the 26,000 is the net addition and 30,000 is the gross solution. That's how we should look at it?

Amit Ramani: So about roughly 22,000 is the net addition and 30,000 is the gross addition.

Aditya Sharma: Okay. Okay. And then where does this number come in 26. So the one that we keep guiding like 4,000 that you've highlighted in this quarter. If we add that is 26, so what does that number mean?

Sumit Lakhani: Sorry, you would have to give us, again, some context around 26,000 number?

Aditya Sharma: I'll repeat yes.

Amit Ramani: So, last year basically, last year, we ended the year at approximately about 135,000 seats. And right now, we have 157,000 seats that are operational. So that's the 22,000 net addition. And overall, we added 30,000. And hence, obviously, we closed 8,000. So hence, the net add is 22,000.

Aditya Sharma: Got it. Got it. Okay. And second question is, so some of the players with similar size are talking about higher growth in terms of space addition? So if this choosing premium offering, is it a

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onetime exercise or if we're going to continue this and this is going to impact our growth expectation for the medium term as well. Is that how we should look at it?

Amit Ramani: So I think, obviously, the premiumization has now obviously become default at Awfis. So it's not a onetime deal for '27. It's an overall strategy overlay. And obviously, every new center that we are going to sign now is going to be in Grade A and Grade A+ assets, obviously, in top demand micro markets. So there's not -- it's a non-negotiable and it's a fundamental shift that we are doing.

In terms of -- as we said earlier, we have given guidance on the number of seats that we would add this year would be between 22,000 to 25,000 seats that we would add. Now from our standpoint, the headline number of seat is not critical for us. I think what that per seat realizes for us is more critical. So at the end of the day, growth is a factor of number of seats multiplied by the realization from the seat. So obviously, if my realization is higher from lower seat addition, I can achieve the growth that we have projected out there.

We are currently saying that, obviously, our growth is essentially going to be overall somewhere in the 25% range, where coworking will translate to about 25% to 27%, and the design and build business will be about 22% to 25%.

Aditya Sharma: Got it. Got it. Just final question. Like with the increase in supply -- incremental supply from enterprise developers, will we see reduction in share of our managed aggregation format?

Amit Ramani: Managed aggregation for us continues to remain a core strategy. I think as we explained in

points that we highlighted, clearly, I think from our standpoint, this is fundamentally, we are doing 2, 3 things here, right? One obviously, we are looking at managed aggregation, but a better quality of supply and managed aggregation and that is happening through the developer partnerships that we spoke about. I think we are in advanced stages of closing these 2 large developers, where they would essentially be a partnership and essentially, the investment will go in and Awfis will manage and run the show just like our managed aggregation model. So I think that clearly drives that for us. And then as we are obviously moving into some of these micro markets, where we have

done

partial MO where we are doing MO, it gives us credibility in those markets to continue to expand those relationships with our developers.

And currently, we anticipate that this will -- the managed aggregation continues to remain a core strategy for us. And I think going forward, we will continue to maintain the ratio in the 60-40 kind of a range, which we have done over the last few quarters as well.

Moderator: The next question is from the line of Vikrant Kashyap from Asian Market Securities.

Vikrant Kashyap: Two questions. One, you mentioned partial MO is a new format. Could you walk us through what it is and why it matters for Awfis going forward? And the second question is been on

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developer partnership that you were just talking about? There has been talk about your developer partners. Could you explain what these deals look like and how they fit in your strategy going ahead?

Sumit Lakhani: Sure. So see, partial MO is something where Awfis signs a new property, and day 1 there's almost about 40 to, let's say, 60%-odd of the seats are already anchored by an enterprise or a GCC client at the time of signing. So the balance is filled through coworking. So this gives us best of the both worlds. So it gives us anchor economics from day 1 and the yield upside of flexible inventory as the center fills.

So we have been following it up since last couple of quarters, and now this is becoming more important part of our strategy. In terms of our developer partnerships, as Amit has mentioned, this is a variant of our managed aggregation model only.

Here, we are looking to have more portfolio level relationship with developers driving coworking and flex centers within their tech parks, where we'll have put out skin in the game in terms of putting a portion of capital from our side, giving a portion of MG but going more deeper and more larger kind of relationship with those partners.

The only difference here would be most of our managed aggregation so far has been hedged around all non-institutional space owners. And now we are seeing an opportunity that we can get more to build these partnerships with larger developers.

Vikrant Kashyap: Okay. So in terms of the occupancy and risk mitigation, how these 2 strategies put together will help you out in terms of getting higher occupancy since partial would be taken care by your coworking and with this new strategy of sourcing, how would you minimize your risk?

Sumit Lakhani: See, both are primarily anchored around on risk aversion and risk mitigation. As you see, most of the partial -- all the partially managed office centers or partial MO centers are going to be straight leases. So we are starting these straight lease centers with a kind of an anchor demand so that the complete rental or a portion of the fixed rental is covered day 1.

So it helps us reduce the occupancy buildup losses. In terms of developer partnerships, in any case, it's going to be risk averse because the risk will get shared between us and the developer, both in terms of occupancy across the tenure.

Second, it also helps us drive a capital-efficient model and give a way to drive more managed aggregation transactions. Why this is specifically we are calling it out because the MA transactions, what we are doing. We want to highlight that we are doing the MA transactions and attempting to do these MA transactions more Grade A and A+ building now.

Vikrant Kashyap: In your presentation, you also mentioned about the Elite 2.0 and Awfis 6.0, you are going to build more of the premium versions. So in terms of capex per seat or maybe capex per square feet, how would you differ from your base versions of Elite and Gold, per say, and these 2 formats will have more of the incremental suites and centers going ahead in '27, '28?

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Amit Ramani: So

I mean, if you really look at it, 6.0 from a spend standpoint is not going to be very different than 5.0. It's a complete refresh on the design, but as far as the capital towards those centers go, the 6.0 centers, it would not be very different than what was being spent in 5.0. This 6.0 also

will continue to be a majority of the overall seat count that we will add, right.

Obviously, we currently, as we had mentioned earlier, out of the 250-odd centers, 35-plus are in gold and elite. So we'll continue to maintain the ratio. And hence, I don't think the capital spend would be very different than what we have done for FY '26.

Moderator: Our next question comes from the line of Fenil Brahmbhatt with Choice Institutional Equities.

Fenil Brahmbhatt: So my first question is on the segment side. So what is the management guidance on the revenue from construction and fit-out projects? Any Y-o-Y growth we are expecting for next FY '27, '28? And from where we are expecting this growth. The second, we have not reported any other income like revenue from others versus around INR132 million in FY '25, so it would be great if you throw some color like we are going to expect anything on this side or there will be zero for next coming years?

Amit Ramani: Sure. So I'll answer the first part of the question, and then I'll request Sumit Rochlani, our CFO, to answer the second part. So let me walk you through the FY '27 outlook across the key parameters. So starting with revenue, our Coworking and Allied segment is expected to grow in the range of 25% to 28% (Correct number: 25% to 27%, previously stated on call) in FY '27.

Awfis Transform is expected to grow in the range of 20% to 23% (Correct Number: 22% to 25%, previously stated on call) over FY '26 levels.

Together, this total will constitute a revenue growth of approximately 25% to 27% for the full year. Our confidence is obviously coming currently from specific drivers, committed GCCs sign-ups that we have done, both on megascaling increasing in micro and nano GCC segment.

Obviously, the MO and the partial MO that we've spoken about where conversion is already visible and the premiumization mix that shift that is driving obviously structurally better realizations across the total portfolio. On terms of the second part of the question, I will just ask Sumit Rochlani to address that, please.

Sumit Rochlani: The line item, which says others in the segmental results that you are referring to represents revenue and results from the facility management services business that we had sold last year in September '24, sorry.

Fenil Brahmbhatt: Okay. So now we are not expecting anything on that side. Got it. Got it. And the second question is on the payment of principal portion of lease liability, which has increased significantly for FY '26. So can you throw some light over there and what we can expect for upcoming quarters on this?

Sumit Rochlani: So we have also added supply in a meaningful way this year alone, we have added 30,000 seats. So that alone contributes to the increase in the payment of lease liabilities. Also some of the centers that we have added towards the fourth quarter of last year, we initially had some rent-free period.

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Once that rent-free period is over, which got over and this year, there was a rent outflow on those leases as well. And then since we have been in business for a decade there have been properties which have come up for renewal.

So there were escalations on that as well. So these are the contributing factors. But the primary factor is the seat addition that we have done this year and towards the end of last year in the last quarter.

Fenil Brahmbhatt: So just want to understand what was the escalation percentage, if you can share the average escalation percentage or something, which would be helpful for us?

So I would not have that handy in terms of the av

erage escalation. But typically, the way the

leases work is that for the first 3 years is fixed, then it's a 15% escalation. And typically, depending on the fifth year, if you are renewing again, then there could be escalation at that stage, but I don't have that number handy on the overall portfolio level.

Our next question is from the line of Hita Pradhan with Maximal Capital.

I hope I'm audible. The first question is just a clarification on the seat addition. So 22,000 to 25,000 is our net additional guidance, right?

Gross addition guidance. Okay. And sir, this addition would be 60-40 percentage that you mentioned, that would be coworking versus the managed office?

No, just to clarify, we were talking about the managed aggregation ratio which is currently at 60% is managed aggregation, about 40% is straight lease, and this has trended in the last few quarters at the same level. So this is not a mix of coworking versus managed office. This is a mix of managed aggregation versus trade lease.

Okay. So on this, sir, the incremental additions this ratio would be broadly maintained or will be pivoting more towards... Yes.

Our next question comes from the line of Shrinjana Mittal with MS Capital. I have 2 questions. First thing is in FY '26, we saw 30,000 seat gross addition and net addition

being 23,000. So that means approximately 5% was the closure rate if I take last year's base. So is this a level of churn that you would characterize as omni course of business or was there some specific element of some portfolio readjustment which happened this year? Yes, that would be my first question. Amit Ramani:

Moderator:

Hitaindra P radhan:

Amit Ramani:

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Amit Ramani:

Hitaindra Pradhan:

Amit Ramani:

Moderator:

Shrinjana Mittal:

Sumit Lakhani: So Shrinjana, you're right. So FY '26 was a year of portfolio rebalancing for us. As we were premiumizing the network towards Grade A and A+ assets. So we thought there are certain centers which we should exit. So out of the broadly 8,000 seats, which we closed one specific instance was there 3,000 seats, which were from a short-term space setup, specifically for a Awfis Space Solutions Limited

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single client, which we exited because this was more of a time bound arrangement and not a permanent addition.

The remaining closures primarily fell into 2 categories, one at the time of lease renewal, we evaluated each center against the return thresholds, the micro market outlook and asset quality. So wherever the terms did not justify renewal or where the buildings no longer met our Grade A+ bar, we exited.

So in a couple of these cases, we consolidated demand from older centers into newer centers in the same micro market. So we did not lose all the customers on the revenue, but we upgraded the experience for a significant portion of the customers. So broadly, we don't expect this percentage of seat closure across every year.

Shrinjana Mittal: Understood. Understood, Sumit, that's helpful. So, but going forward, you would say that this 5% is not the kind of churn that we're looking for, maybe some on the lower side?

Sumit Lakhani: Yes. 5% is not the kind of a churn which we would look at.

Shrinjana Mittal: Understood. Sir, my second question is a bookkeeping question. So if I look at the adjusted rent number, which is reported in the normalized P&L, that stands about INR350-odd crores for FY '26. But the cash flow rent number is INR412-odd crores, which is a gap of about INR60-odd crores. And in H1, this gap was about INR20-odd crores, and it was explained at that time that there is some cash flow accrual, timing mismatches and lease payments and IT products because of which this gap exists.

But the understanding then was that this gap would not widen in absolute terms, but it appears to have, so could you help me understand that what is the reason for the increase in this gap in absolute terms?

Sumit Rochlani: Yes. So the reconciling items that we had shared earlier, more or less, those reconciling items are still there as far as items like operating lease and as far as operating lease is concerned, of course, that with the passage of time as a higher number. We do have a reconciliation and we can connect on this one-on-one, and we can walk you through this calculation.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take that as a last question for today. I would now like to hand the conference over to Mr. Sumit Lakhani for closing comments. Over to you, sir.

Sumit Lakhani: Thank you, everyone, for joining us today. We hope we have been able to give you a detailed overview of our business and answer your queries. Should you have any further questions or required clarifications, please feel free to reach out to SGA, our Investor Relations Advisors.

Thank you once again, and have a great evening.

Moderator: On behalf of Awfis Space Solutions Limited and Asian Market Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines